

Entero Healthcare (ENTERO)

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To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001.

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai- 400051
Scrip Code: 544122 Scrip Symbol: ENTERO

Dear Sir/Madam,

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call
In Continuation to our letter dated March 11, 2024, bearing reference no. 13/SE/LC/2023-24, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on March 11, 2024 at 16.00 hrs (IST) to discuss the Company's financial results for the Quarter and Nine months ended December 31, 2023 is annexed herewith.
This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Jayant Prakash
General Counsel, Company Secretary & Compliance Officer
(Mem: F6742)

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"Entero Healthcare Solutions Limited Q3 FY '24
Earnings Conference Call"

March 11, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th March 2024 will prevail.

MANAGEMENT : MR. PRABHAT AGRAWAL - MANAGING DIRECTOR AND
CEO
MR. C. V. RAM – GROUP CFO
ANALYST : MR. ABDULKADER PURANWALA – ICICI SECURITIES

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Moderator : Ladies and gentlemen , good day and welcome to Q 3 FY '24 Earnings Conference Call of Entero Healthcare Limited hosted by ICICI Securities.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

Please note, this conference call may contain forward -looking statements about the company, which are based on the belief, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Abdulkader Puranwala from ICICI Securities. Thank you and over to you.

Abdulkader Puranwala : Hi. Good afternoon, everyone. Thank you for joining us on Q3 and 9 months FY '24 Earnings Conference Call of Entero Healthcare Limited .

On the call today, we have with us Mr. Prabhat Agrawal - Managing Director and CEO and Mr. C. V. Ram – Group CFO.

I will now hand over the call to the management for the opening remarks and then we will open the line for Q&A. Thank you.

Prabhat Agrawal: Thank you, Abdul. Hi, this is Prabhat here from Entero . Good evening, everyone, and thank you for joining on our first Earnings Conference Call to discuss the “Operational and Financial Performance ” for Quarter 3 and nine months ended FY '24.

On this call, I am joined by Ram, our Group CFO, and SGA, our Investor Relation Advisors . I hope everyone has had an opportunity to go through the financial results and investor presentation, which has been uploaded on the stock exchanges and also on our company's website.

In February 2024, our company achieved a significant milestone with its successful listing on stock exchanges. We hereby express our sincere appreciation to all our shareholders, capital market participants, and all other stakeholders for their steadfast support on this remarkable journey.

For those joining us for the first time, allow me to provide a brief introduction to our company, after which Ram will delve into our financial performance. Entero Healthcare Solutions Limited was founded in 2018 by Prem and myself with a clear vision to build an organized pan -India, technology -driven, and integrated healthcare products distribution platform that delivers value across the healthcare ecosystem.

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The company focuses on serving healthcare product manufacturers by offering them access to pharmacies, hospitals, and clinics across India. Additionally, the company offers comprehensive commercial solutions such as sales, marketing, and supply chain services to pharmaceutical companies, medical device companies, and other healthcare product manufacturers.

Today, Entero is one of the top healthcare product distributors in India with a pan -India network serving retail pharmacies, hospitals, and clinics.

As of December 31, 2023, the company has 78 warehouses located across 38 cities in 19 states and union territories and a customer base of over 79,400 plus pharmacies, which translates to Entero supplying to approximately 1 out of 10 pharmacies in India and 3,300 plus hospitals, which makes us the largest hospital distributor in the country. The company has very wide geographical presence covering 501 districts across India.

With supply relationships established with over 1,900 plus healthcare product manufacturers providing access to over 67,100 product stock keeping units (SKUs) , we aim to provide a one - stop shop to our customers ' healthcare product needs.

Leveraging our pan -India

warehouse and delivery infrastructure backed by strong relationship with pharmacies, hospitals and clinics as well as with healthcare product manufacturers, We deliver Everything in Pharma ...Everywhere in India ...

Our commitment to compliance ensures that our warehouses adhere to the highest standards providing safe and secure storage for pharmaceutical products and devices.

Our integrated systems and technologies provide manufacturers with valuable insights enabling informed decision -making and targeted strategies for sales and marketing. We are not just distributors ; we are partners in growth , offering end -to-end solutions that encompass both demand generation, distribution and marketing support.

To grow our operations and bring efficiencies in the healthcare products distribution ecosystem , we adopted a technology -focused approach , which is anchored on our proprietary integrated

technology platforms and business intelligence tools and solutions. We see opportunities to enhance efficiency in various aspects of the supply chain within the healthcare industry through digitization leading to benefits for the entire ecosystem. For example, the company's technology platforms provide a positive buying experience through our digital solutions such as Entero Direct B2B application where customers have real-time visibility of product range, pricing, inventory levels, order status, outstanding balances, promotional offers. Entero Direct can be used for order management, 24 hours a day, 7 days a week. Using these tools, the company strives to streamline its internal operations, boost sales and delivery performance and enhance inventory management and procurement efficiencies.

To strengthen our capabilities, we have consistently invested in improving our technology platform.

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Our aim is to capitalize on the fragmented distribution market by providing integrated tech driven distribution solutions, expanding our product offerings and forming strategic relationships with manufacturers, pharmacies, hospitals and clinics. This comprehensive approach has enabled us to scale operations rapidly, reporting significant increases in operating income, customer base and product SKUs managed.

Within five years of operations, we have rapidly scaled up our operations to reach revenue of about 3,300 crores in FY '23. In Q3 of FY '24, the company's revenue increased by 20% year-on-year to Rs. 993 crores, significantly outperforming the IPM, which is Indian pharmaceutical market growth rate of 9%.

Entero has consistently outperformed the growth of the IPM achieving a significant increase in revenue and market share. This consistent performance can be attributed to our unique and differentiated business model in a highly fragmented market and robust supply chain capabilities.

Our growth trajectory has been fueled by both organic expansion and strategic acquisitions. With 34 acquisitions since our inception, we have consolidated our market presence across India expanding our geographical reach and market share.

Entero's inorganic growth strategy includes acquiring smaller distributors to increase our geographical reach and customer base and enhancing our product portfolio. This inorganic approach has helped us to enter new geographies, acquire local know-how and relationships and create a pan-India distribution platform in a very short time.

Post acquisition, we deploy our growth strategies such as product portfolio expansion, increase d customer reach, improved service levels and technology-based solutions to increase our market share. The acquired entities also benefit from our technology infrastructure, manufacturer relationships, central procurement support and banking relationships. This helps the subsidiaries to grow their business and increase their market share in their respective local marke

ts.

Given our track record in acquiring and integrating smaller distributors across India, we have been able to continuously attract distributors to become acquired by and integrated with us. We have dedicated team on ground across regions to identify acquisition opportunities in the market for entry or expansion. As we speak, we are working with multiple potential acquisition targets which are at various stages of the acquisition process. With the robust balance sheet post IPO, we would aim to accelerate our pace of acquisition, which would further enhance our growth opportunities.

Entero's growth lever s focuses on benefiting from market consolidation through strategic acquisitions, enhancing market position by increasing customer base, wallet share and geographic penetration. We aim to forge comprehensive marketing and distribution collaborations with healthcare product manufacturers and continue investing in and leveraging

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our technology. Additionally, the company plans to expand its product adjacencies, private label and service offerings to drive efficiencies and profitability.

We are focused on enhancing margins through various initiatives such as leveraging scale for better procurement outcomes, optimizing product mix, improving operating leverage and operational efficiencies in our distribution network.

With this, I will now ask Ram to summarize the company's financial performance for Q3 and 9M FY24, as well as give an update on the recently concluded IPO of the company.

C. V. Ram: Thank you, Prabhat. Good evening, everyone. This is Ram, Chief Financial Officer, Entero Health care. We have completed our IPO in February 2024 and were listed on NSE and BSE on 16th February 2024. We thank all the stakeholders for their support. We raised Rs. 1,000 crores

through fresh issue of shares. The monies raised through IPO will primarily be utilized for funding working capital, pursuing inorganic growth opportunities and repayment of borrowings. Coming to "Financial Performance ":

In Q3, FY '24, we have delivered a revenue growth of 20%, EBITDA growth of 54% on a year -on-year basis, whereas for 9M, FY '24, our revenue growth has been 20%, EBITDA growth of 90% on a year -on-year basis.

To detail Q3, FY '24 consolidated financial highlights, revenue stood at Rs. 993 crores with a growth of 20% on a year -on-year basis. The robust growth in revenue was on account of the addition of new customers, new districts, new SKUs, as well as new healthcare product manufacturers that we could add.

Gross profit margins stood at 9.1% vis -a-vis 8.3% in Q3, FY '23, an improvement of 81 basis points . The improvement in gross margins was largely due to a change in product mix and procurement efficiencies.

EBITDA for the quarter is at Rs. 29 crores , with a growth of 54% on a year -on-year basis.

EBITDA margins stood at 2.9% , which improved by 64 basis points. The improvement in operating profitability can be attributed to better gross margins as explained above.

Profit after tax for the quarter is at 7 crores, a growth of 96% compared to last year.

Now coming to 9 months, "FY '24 Consolidated Financial Highlights ":

Revenue for 9 months, FY '24 is at Rs. 2,888 crores with a growth of 20% on a year -on-year basis. Gross profit margins stood at 9% , an improvement of 80 basis points. EBITDA for 9 months is at 83 crores, an increase of 90% on a year -on-year basis. Operating margins for 9 months, 2.9% , which is an improvement of 107 basis points.

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Profit after tax for 9 months, FY '24 is at 19 crores as against a loss of Rs. 7 crores in the same period last year.

On the "Working Capital Front ":

Our working capital days as on 31st December 2023 stood at 66 days. During the 9 months, FY '24, we have witnessed a strong improv

ement in return profile of the company with an annualized

ROC E improving from 5.6% last year to 10.3% whereas our annualized return on equity improved to 5.5% from negative last year.

With this, I would like to conclude the presentation and open the floor for questions and answers.

Moderator : Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Yash Goenka from Awriga Capital Advisors LLP . Please go ahead.

Yash Goenka: So, my question is , what is the targeted ROC E for the company over next 3 to 5 years ? And will it be through the numerator or denominator largely? That's all.

Prabhat Agrawal: Yes. So, the improvement in ROC E is supposed to come from both numerator and denominator. Under numerator, we are working on expansion of operating margins and on denominator, we are working on reducing or improving the capital efficiency in the business. So, both these combined levers, with this, we expect over the next 2–3-year period, the ROC E to increase above 20%.

Moderator: Thank you. The next question is from the line of Sriram R , an investor. Please go ahead.

Sriram R: Thank you for the opportunity. The present industry structure of the pharma retail as well as distribution is fragmented, right? So, what is your outlook on the future of the pharma retail industry? Because if consolidation happens in the pharma retail, is that not a negative for us because they will have more command on pricing, right?

Prabhat Agrawal: Yes, this is Prabhat here. So, pharma consolidation we have been witnessing for last 20 years, but it has reached only a limited potential, right? Because in India, the retailing is extremely fragmented. There are more than 900,000 pharmacies and only 10,000-12,000 pharmacies belong to the chain, right? So, less than 2% on store count front is consolidated into chains and we believe that in the near to long future, we don't see a massive consolidation happening on retail.

Sriram R: Okay, but whereas you expect the rate of consolidation to be faster in the distribution space . Is that right?

Prabhat Agrawal: Yes, I think the distribution space is more conducive for consolidation as compared to the retail space.

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Sriram R: So, how does it work in developed countries like U .S.? Can you throw some light on that?

Prabhat Agrawal: See, U.S., both retail and distribution is consolidated. You know, the U .S. top three distributors have more than 90% market share.

Moderator: Thank you. The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Hi, Prabhat. Just wanted to understand the organized wholesale distribution, I think you mentioned about 10% is organized. So, how you see that share going and within that how is Entero positioned today and if you can throw some light on expansion, particularly, inorganic, what are the sort of areas which are missing? How much more you grow through acquisition and what type? I am just asking Prabhat, how should we think about growth in terms of acquisition, what is the kind of network that you want to establish, let's say three, five years down the line, I mean, if you have any targets around that?

Prabhat Agrawal: Yes. See, if you look at today, the organized distribution is in single digits, right? Because there are only very, very few players who are working on a pan-India national level, right? If you look at the industry report of CRISIL, which was published as part of the IPO process, over next five years, they expect that this organized distribution would take up to 20% to 30% market, right? And we believe there are few people who will drive that, and we will be on the forefront of it.

Saion Mukherjee: And so, in terms of inorganic acquisitions, if you can, so will that be a large part of it, or you can do it organically? And if you have to do inorganically, like, how should we think about the kind of capital allocation that you have for inorganic expansion?

Prabhat Agrawal: So, it will be a combination of both organic and inorganic, right? And last five years, you would have seen that we have done almost 34 acquisitions and post IPO where our balance sheet is more robust than before, we would be pretty aggressive in pursuing inorganic opportunities.

Saion Mukherjee: And if you have like of the 34 acquisitions, if you, I mean, how have they worked in general? Are there situations where you found that acquisitions have not worked for you? If you can share your experience on that, what kind of returns you have earned, and what should you expect going forward? Is there a valuation challenge here in the sector?

Prabhat Agrawal: So, largely, if I have to detail out the history for last five years, the 34 acquisitions that we have done, and if you look at our growth rate for last few years, last few years, our CAGR has been 36% and out of which 22% has been organic growth rate and 14% has been inorganic. So, all the entities that we have acquired have grown very well and the reason why they grow well is because there is a clear right to win. Right to win exists from basically a huge product range that we offer to our customers, where the customers are anyway feeling a challenge on the fill rate, right?

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So, with our kind of one-stop shop solution for our customers, where we expand product portfolio, we expand the customer base, we make the buying much more easier for our customers - these things are difficult to be offered by smaller distributors, right? So, that's the reason we kind of gain market share on that front and that will continue to happen in times to come as well. So, over the next few years we will use the mix of both organic and inorganic growth to drive consolidation, as what we have done in the past as well.

Saion Mukherjee: And so typically, what's the kind of valuation multiple that prevails Prabhat at this point - that's if you have to acquire a distributor in terms of EV-EBITDA multiple or EV-sales, I don't know what kind of valuation is used, but typically have the valuations gone up, down? And what is the typical range that you get?

Prabhat Agrawal: Typically, it's a single digit, and we evaluate case by case depending on the growth potential of potential acquisition targets, but it's in single digits.

Saion Mukherjee: And just one last question on the margin levers. We have seen margin expansion happening, gross margin as well as EBITDA margin. So, how should we think about these? And what are the key drivers in terms of the key ones that you can think of, which will drive this going forward? And where do you expect this number to sort of settle at maturity? The gross and EBITDA margins?

Prabhat Agrawal: So, in next two years, three years we are targeting to reach EBITDA margin of 5% plus, and that would be driven by both operating leverage as we continue to grow our scale, and secondly, expansion in gross margins, which is through more value-added services, better procurement drive, share of private label and multiple other factors. So, through a combination of operating leverage, operating efficiencies and product mix and value-added services and procurement efficiencies, we expect that in the next two years, we should target 5% plus kind of an EBITDA margin.

Saion Mukherjee: So, you would be the second largest distributor currently in India?

Prabhat Agrawal: We would believe that, Saion. I don't have publicly available information on others because we are the only listed player, right?

Saion Mukherjee: Also typically we see distribution margins to sort of pre-cut around 5 odd percent. So,

since you

are expecting 5% over the next couple of years, I was wondering, is this an aspiration target or you think it is very realistic and when you really think the margins can even go beyond 5%, let's say, 4 -5 years down the line ?

Moderator: Yes, nothing stops us from increasing the margins in a longer period, right? But our immediate next two-year target is to reach 5% levels.

Moderator: Thank you. We have our next question from the line of Harshi Shah from Paragon Partners. Please go ahead.

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Harshi Shah: I have a couple of questions. So, just on the top line, looking at the last two years, the growth has been phenomenal, but when I see the nine months top line growth this year, it seems muted.

So, could you guide us on what has happened this year, maybe less acquisitions and what part of the growth came from organic growth and what is the steady state growth that we are expecting in the next two years?

Prabhat Agrawal: This year, inorganic element was very less no? We didn't do much of an acquisition this year. We did only two acquisitions up to now that also towards later part of the year , right? So, it has been primarily organic led.

Harshi Shah: So, any particular reason for lower acquisitions this year?

Prabhat Agrawal: Because we were in the process of raising more money and that's the reason we didn't do much of acquisition this year. So , we wanted to secure more funding and then pursue acquisitions. We had disclosed in our IPO document prospectus that we have signed almost 17 term sheets. So, the pipeline building was going on, but we didn't conclude , because we wanted to secure the funding before we go for a big spree on acquisitions.

Harshi Shah: Right . So, these potential acquisitions are all smaller distributors or are we looking at other tech platforms that are also into medical device distribution or some other side of the value chain?

Prabhat Agrawal: There is not much of tech platforms available in this market. What kind of tech platforms you are referring to?

Harshi Shah: So, a couple of other platforms that , again , do a lot of supply chain services , have their own generics business . So, on those terms. So, what are the acquisitions mainly going to be on the smaller distributor side or maybe some other businesses , maybe forward integration?

Prabhat Agrawal: No, mostly distributors because we want to expand our network. We want to reach more parts in India , right? We are there physically in 38 cities only , right? So, we want to expand our presence to many more cities and districts of India. So , our acquisition strategy is more focused towards expanding in areas where we are not there present today or in those product segments where we are not there today. But I am open , we are open to look at any other acquisition which could potentially add value or be synergistic to our business portfolio.

Harshi Shah: Understand . And some more color on private level, I understand the mix has changed and that's aided our margins. So , what is our plan going forward? Just some more color on what are those sort of new product additions that we are doing that side?

Prabhat Agrawal: Private level is not a very - it's a very small part of our business today, less than 1%, right? And as our business grows in those product categories where there is not much of a conflict with our manufacturers and where the products are sold without prescription in OTC, surgical devices - those kind of space, we are looking to grow our business.

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Moderator: Thank you. We have a next question from the line of Tanmay Gandhi from Investec. Please go ahead.

Tanmay Gandhi: Sir, firstly, can you give some color that how various business segments have performed like, how has t

he healthcare segment has performed, private labels and your third -party marketing?

Prabhat Agrawal: So, we are reporting consolidated revenue, right? And the distribution services, which is the primary or the majority part of our business and most of the revenue growth is driven by that.

Private label, as I told you, is a very small part of our business as of now. Okay. So, that growth rate is not going to impact significantly our overall growth rate.

Tanmay Gandhi: Sure. And sir, for the acquired entities, how do we look at organic growth, let's say two, three years after the acquisition? So, I think this quarter we did 17%, but again, there could be some benefit of calendarization and some scale up. But generally , how much time it takes to scale up the business and over the long term, what kind of organic growth do we expect for the business?

Prabhat Agrawal: So, we target 2x of industry growth rate, and traditionally, last three years, organically we have grown 22%, right? So, 20% kind of organic growth rate is what we target.

Tanmay Gandhi: So, sir, I think this quarter, it was only 17%. So, I just wanted to check that if there is any one-off or there is some volatility on a quarterly basis.

C. V. Ram: There is no one-time in this. 17% is organic growth, there is no one-time revenue in this.

Tanmay Gandhi: And sir, for the gross margin expansion, right, we have already seen a very good improvement of almost 100-110 bps for the year so far. Just wanted to check that what are the additional levers which are available for expansion? Is it largely coming from a private label, or we think that even healthcare distribution has more room for expansion?

Prabhat Agrawal: Even healthcare distribution has more room for expansion because all the procurement efficiencies are not kicked in up to now, and as we grow our scale, we expect more efficiencies to lie in.

Tanmay Gandhi: And sir, lastly, given this is our first quarter, would you be able to give us some guidance on how are we looking at FY '25 in terms of revenue growth, acquisitions or you can give us some color that how should one look at the business?

Prabhat Agrawal: See, as I told you, organically, with the kind of capabilities we have, the kind of differentiated business model that we have, we expect to drive organic growth rate around 20%, right? And inorganic - we will complement that growth rate with inorganic, right? And inorganic, as we said, post IPO with a stronger balance sheet, we will be more aggressive than what we were there in the past.

Tanmay Gandhi: And generally, sir, whenever we do acquisitions, those are generally margin accretive, right?

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Prabhat Agrawal: Yes, yes.

Moderator: Thank you. We have our next question from the line of Faisal from H.G Hawa And Company. Please go ahead.

Faisal: So, sir, most of these acquisitions that we do, apart from the EV-EBITDA that you give, is it like an NAV basis, like, they are debtors minus creditors, multiply by like 1.5 x and why would these owners want to actually even sell? That's one. Second is, our ROCE remains very poor. So, how can we really go up to 20% in a short period of time? And third is that, do these pharma companies have very rigid rules as to giving distributorship to a new distributor or would you be able to probably enter into any pharma distribution company and take the distributorship up?

Prabhat Agrawal: Let me try to break your question in two, three parts, right? The first question that you asked was on the valuation methodology, right? And why are these distributors selling off, right?

Faisal: Yes, yes.

Prabhat Agrawal: So, we give EV-EBITDA multiple. So, we value the business based on the EBITDA, delivered EBITDA by them, right? And apply a multiple to it and then calculate the enterprise value for the organization and that's how we value a distributor acquisition.

Secondly, why do they sell is for a variety of reasons. Sometimes the issue is related to succession planning where there is no second generation available to carry on that business. Sometimes people are more keen to be part of a larger platform like us and then continue to grow with us. So, there are various reasons why we have been able to acquire and integrate the smaller distributors.

Secondly, on the ROCE, as I told you ROCE is 10% for the nine months, right? So, we have reached the double-digit numbers. And we said that as we continue our journey of expansion in margins, this ROCE target for next two, three years, we expect easily we should be able to move towards 20% plus.

Faisal: And sir, as far as our expansion into cities is concerned, would it not make more sense to go deeper into these 38 cities and where we have, because like it or not, distributorship in India involves a lot of understanding of customers, geography, how various customers' payment patterns are, and even doctors for that matter. So, would it not make more sense to go deeper into these 38 cities rather than expand city wise and then having to undergo the learning curves?

Prabhat Agrawal: So, precisely for that learning curve only we acquired distributors in those new cities, because when we acquire a distributor, we get a readymade team, we get an understanding of the market, the know-how and everything. That's the reason why we are pursuing inorganic route to enter into new cities, right? In the cities where we are present, we are not looking for much acquisition opportunity. There we can grow organically above the industry growth rate.

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Faisal: But once the owner is gone from the company, the kind of, I mean, that personal element is also gone. So, how much does that affect us?

Prabhat Agrawal: No, so, not every time the owner goes. The owner also continues. Most of the owners have continued also. And it's always a team. It's not a one man show. Distribution is not a one man show. Most of the time the team continues, and the customers in those markets get a better value proposition when we join hands. They get a much better product range. They get a much better

fill rate . They get a much better service level . They get better technology to interact on . They get a wider product range . So, there is a lot of positives that the customers experience in those markets and that's how we have been not only able to retain the customers , but also grow the customers in those markets where we have entered .

Faisal: And sir, lastly , will we be able to take debt also to expand our businesses that the ROC E also improves there and if at all yes, what kind of levels of interest rates that we could get ?

C. V. Ram: Yes, definitely there is a lot of room for taking additional debt, but we would continue to balance debt and equity in terms of leveraging that for the working capital requirement. So, there is a lot of room. Currently, we have leveraged 30% to 40% on the working capital that we currently have. So , we will continue to balance this part from the interest cost perspective and also from the debt equity perspective , exposure point of view.

Faisal: Do we have any kind of tie -ups with any MBA colleges or pharma colleges to have a continuous stream of people coming into our company for more marketing professionals that we need?

Prabhat Agrawal: There are no strategic tie -ups with any colleges, but we continue to hire from both tier one and tier two MBA schools in the country. Most of our top leadership as well as the middle management, even city level leadership is from good MBA colleges.

Faisal: And sir, we have doubled our sales in the last two year

s. So , would it be a fair assumption to make that we will probably double our sales again in the next two years?

Prabhat Agrawal: I have given overall guidance on organic growth and inorganic, right? So , with a combination of both, why not?

Faisal: It is a fair possibility to pencil into our estimates.

Prabhat Agrawal: Ultimately, these are all forward -looking statements, right? So , I have told you what our strategies, what our growth levers are . So, you can factor it in your models.

Faisal: Correct.

Moderator: Thank you. We have our next question from the line of Alok Dalal from Jefferies India . Please go ahead.

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Alok Dalal: Prabhat, you gave guidance of 5% EBITDA margin over the next two, three years. Can you talk us about the EBITDA margin over a slightly longer term? Let's say if you take fiscal '29, fiscal '30, which is five years out, how do you see a distribution business like yours growing organically and inorganically achieve margins beyond the 5%?

Prabhat Agrawal: It is very difficult for me to forecast till 2030, Alok. I don't know in 2030 how the situation could be. We gained significant market share in this country where our position is extremely well strengthened , right? And that could lead to higher margins than 5% , right? Or the market goes generic and there are a lot of uncertainties over a longer -term period. So, it is difficult for me to give guidance over a long term.

I would rather say that in the next two years, this is what our target is. There is much more visibility on that front , right? But nothing stops us from increasing , I am not saying that our journey will end at 5% , right? The journey will happen as we continue to grow , operating leverages will keep on happening. Private label share will keep on growing. Procurement efficiencies will keep on dialing. Nothing stops at 5% , right?

Alok Dalal: Yes. So, Prabhat, 5% is not the peak margin for the business. That's what I was trying to ask.

Prabhat Agrawal: Yes, it's not the peak.

Alok Dalal: Good. And Prabhat, in the DRHP, there was a mention that the working capital days will reduce to about 53 , 54 in the next 2 , 3 years. Are you on track to achieve that ? And what will be the catalyst to achieve those numbers?

Prabhat Agrawal: We are right now at around 65, right? 65 , 66 kind of a thing, right , as of now. And the catalyst for reducing is again the scale. Scale brings everything. We can better optimize our inventories.

Today we are at 34 , 35 days of inventory. There is scope for 5 , 7 days reduction over there. We can improve our payment terms as we grow bigger and bigger. We could enjoy better terms with the manufacturers. So , there are multiple avenues available to improve our working capital.

Moderator: Thank you. The next question is from the line of Jagannathan from Jagan M and Company. Please go ahead.

Jagannathan: You mentioned about some of the wholesaler , distributor coming on your platform. In those cases, are they selling their business and coming to your platform, continuing the business or they do own the business, but just simply come on your platform?

Prabhat Agrawal: So, in the past, a lot of distributors have sold the business and continued with us. So, they sold the business to us and reinvested a part of the proceeds in Entero shares , right? So, a round 3% of Entero is owned by these distributors, who at the same time sold the business and at the same time bought shares in Entero with those proceeds.

Jagannathan: And are there any purely distributors who just come on your platform , just to use the platform?

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Prabhat Agrawal: No, there is no such thing that you can just come on the platform and use the platform. I mean, we have to acquire the

company. We have to acquire the distribution business. There is no other way to join the platform.

Jagannathan: Understood. The second question is on the EBITDA 5% margin. So, I have a few relatives who are distributors. So, sir, I was asking, there are a few relatives of mine who are in this business. They are distributors. They have been in the business for 15-20 years and what I see is that they generally make a margin of about 3-4% max and that's been consistency performance for last many years because of the reason that one, on the supply side, the manufacturers, they provide the margin. And as well as on the retailer side, they have to provide a certain margin. So, from that perspective, when you say 5% or even more margin as possible, is it because of the platform that you have, or it is because of the pan-India presence that you are going to have? How is it going to happen?

Prabhat Agrawal: It is because of the scale. You are right about your relatives, but they are not enjoying the same level of scale that we are enjoying, right? They don't have that kind of relationships with the manufacturers that we have.

Jagannathan: One, because of the relationship with the manufacturer. Second, because of the system and the scale, which will give you that additional margin.

Prabhat Agrawal: Yes.

Moderator: Thank you. The next question is from the line of Devanshi Vaghela, an investor. Please go ahead.

Devanshi Vaghela: Sir, I had the same question regarding the profitability in the future, like where do we see the top line going forward in the next year? Where do we see FY '25 and where can we close FY '24 from the point of view of revenue?

Prabhat Agrawal: Devanshi, I think I have answered this question in terms of guidance on profitability as well as guidance on growth.

Devanshi Vaghela: Like do we have a figure, certain figures? Do we have that?

Prabhat Agrawal: We can't give specific figures. No, it's not possible to give specific figures, right?

Devanshi Vaghela: No estimates going forward?

Prabhat Agrawal: I have given you some guidance on growth and on margin expansion.

Devanshi Vaghela: And, sir, another question is that do we have some major acquisitions in the next coming year in FY '24 and FY '25, some major acquisition?

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Prabhat Agrawal: We are continuously looking for acquisition opportunities. I have given this thing that we have signed some term sheets. So, we will be pursuing those opportunities and converting them into actual acquisitions.

Devanshi Vaghela: Sir, you have given, in your presentation, the IPO proceeds, you have left a significant amount for utilization in FY '25. So, any guidance on what is the plan for this 4,750, sorry, 475 crores?

Prabhat Agrawal: Just one second.

C. V. Ram: So, hi, this is Ram. So, the Rs.1,000 crores is what we raised primary. Out of that, Rs.951 crores post IPO expenses is the net proceeds company has received and the utilization plan for FY '25, I think, towards, you could see that for working capital, about Rs.250 crores and then pursuing the growth opportunities, which is including inorganic growth is about Rs.177 crores in FY '25, if you are referring to the specific slide, and general corporate purposes is about Rs.48, because we would have repaid Rs.142 crores that we have stated in our objects by this year-end itself. So, other three objects are these. So, any other specific question that you have? This is part of the plan and part of the objects that we have stated in the prospectus.

Devanshi Vaghela: That's all from my side.

Moderator: Thank you. The next question is from the line of Nishid Shah from Ambika Fincap.

Nishid Shah: So, Prabhat, thanks for taking my question. First of all, your IPO came at Rs.1,258. Currently the price hovers around

around maybe 15%, 20% lower. Just wanted to understand what was the benchmarking for the IPO, the sanctity of the price that you arrived at? And to start with, that is my first question.

Prabhat Agrawal: You know, pricing was all based on this investor feedback and merchant banker consultations and all that. I don't have any new comment to offer on pricing.

Moderator: Mr. Nishid, does that answer your question?

Nishid Shah: No, I am not fully satisfied on the answer, but Prabhat has a right to stand where he wants to.

The other question is, how will the margins improve, Prabhat? If you can give me a roadmap apart from the efficiencies and the scale of the business, which I understand that as you improve

the scale and efficiencies , your margins will improve . What are the key things you are looking at beyond 5% , what will that be ? Will it be a private label? Will it be third -party distribution ? What else?

Prabhat Agrawal: Well , the two big levers as I told you before is the scale and procurement efficiency and third -party services , value -added services , the product mix, share of private label and operating leverage . So, it's all a combination of all four , five factors that can bridge the gap between current 3% EBITDA margin to 5% target , right .

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And coming back to your comment , pricing , it's an investment in a longer term , right ? So, as I told you , this market is very , very ripe for consolidation and in the last five years we have proven that from zero to Rs.4,000 crores kind of a company we have been able to create in a five-year timeframe with a limited capital. So, now we are much better positioned in this space, right?

And space is evolving. So, it's a very futuristic business.

Nishid Shah: Well, the point here is very simple, you know . We left nothing on the table for the investors and in fact, investors are minus 15 % , 20% to start with . So, that's where I'm coming with, you know . I mean, it doesn't leave a good taste and good image for us, when we start with such a steep pricing.

Prabhat Agrawal: Again, I have no more comments to add to that , Nishid .

Moderator: Mr. Shah? Are you through with your question?

Nishid Shah: Yes, please.

Moderator: Thank you. We have our next question from the line of Faisal from H.G Hawa And Company . Please go ahead.

Faisal: So, for previous to this, we did not have any kind of experience or even background in a pharma company before 2018 and all this has been achieved in five years' time. And sir, the second is that what is called a kind of training that we impart to the people who come new to our organization in marketing ? And how much time does it take them to be on the bench while they are being trained?

Prabhat Agrawal: Can you repeat? I didn't understand the first part of your question that we didn't have any experience prior to.. .

Faisal: So, your presentation says that we are incorporated in 2018.

Prabhat Agrawal: Correct.

Faisal: So, previous to that, do you have some kind of a partnership company or some background in pharma? Or it was just that you started this company, and it has reached the Rs.4,000 crore turnover?

Prabhat Agrawal: The company only came into existence in 2018. Prior to that, I was the CEO for Alkem Labs. So, in terms of personal background in healthcare, we all had it. But the company was started in 2018.

Faisal: But no background as such in distribution?

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Prabhat Agrawal: No, not as a separate distribution company. But most of my team, personally, my background has been, I was the CEO for Alkem Labs , as I said before . Prem was the director in IQVIA, which is a healthcare consulting company. And the top leadership, if you look at our this thing, everyone has come

from healthcare background , right? So, everyone knows this space very, very well. And you asked about training. A lot of people that we have , they are all coming from this space only. So, they are coming with requisite expertise. Of course, we do continuous training and all that, but then it's not that they are coming with zero knowledge on this sector. They are coming with a very good knowledge on this business.

Faisal: Yes, I am not doubting that, but in each profession, there is a lot of fine tuning that has to be done. So, a guy may be an MR with a pharma company, but here he has to now deal with retailers. So, that's again a different cup of tea. But in any case, I mean, to build up a company and reach Rs.4,000 crore revenue, even if it's a distribution company, it's like a real kudos to your management team and to yourself also. I mean, this is something really commendable.

Prabhat Agrawal: Thank you so much. And I can only tell you the future is looking even brighter than before.

Faisal: And we have examples of Redington , Ingram Micro, who have totally dominated this industry even globally. I mean, you are absolutely right. There is a super opportunity, and it will consolidate even more because it's a difficult business with a very low margin. So, for any proprietary guy to really sustain it will be tough.

Prabhat Agrawal: And in this business, the beauty of that is that both the supply side is also very fragmented, and the customer side is also very fragmented. So, if we are able to consolidate in between, we add

a lot of value both to the manufacturers as well as to the customers.

Faisal: Correct. But fragmentation itself also has its own problems. I mean, there is another business called OFBusiness who have also tried the same distribution model, but at least their supplier side is very consolidated. They are into steel distribution. So, you are solving the problem on both ends. So, sir, what is the contribution of our top five suppliers to our total revenue?

Prabhat Agrawal: So, see, we will be reflecting, or we are reflecting kind of the market shares of individual companies, right? So, as we become bigger, anyone who enjoys X percentage market share in overall, will reflect X percent market share in our business also. So, we kind of mirror the image of their national market shares.

Faisal: No, my question was, what is the contribution of your top five suppliers to your revenue as a percentage?

Prabhat Agrawal: I don't have this figure right now handy with me, but probably it could be anywhere between 25%.

Faisal: 20% to 25 %.

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Prabhat Agrawal: Yes, 20%.

Faisal: Yes, I just needed a range.

Moderator: Thank you. We have a next question from the line of Raghav from J M Financial. Please go ahead.

Amey Chalke: So, this is Amey here from J M Financial. I just... I just had one question. So, basically, what had changed over the last 5-6 years that made you think that the consolidation could be the way for distributors to grow in India and why it has not happened so far in these many years and if you can explain?

Prabhat Agrawal: Look, consolidating distribution at a national level requires a very organized effort, a very corporate effort. You have to have access to institutional capital. You need to have access to talent at top level, technology. So, all these things were not there. I mean, people who were very meritorious or who were very good in business, they could grow their market shares in their local markets. I haven't seen much of a distributor where a Calcutta distributor has ever thought of opening a shop in Bombay or a Bombay distributor thinking of going to Chennai, right? So, to consolidate at a national level, you have to create an entity at a national level. You need to have a plan and a vision to

set up your base all across the country. For that you need institutional money. All this has happened over the last 4-5 years only. We were there. A couple of, one or two more players were there who could raise money at a national level, could get good founders with a vision so that a pan-India distribution play can be created in India. So, prior to that, we didn't have any such kind of effort in my view.

Amey Chalke: Right. And so going ahead, you expect the more competition to come in, bigger players to come in this play or do you think that this might not be attractive enough for them to come into this segment?

Prabhat Agrawal: So, various people have come and gone. You know, Udaan was also there and they came with a much bigger capital but couldn't make a big dent in business. You know, Reliance also tried its hands in some way or the other. This is a business that requires a lot of focus, attention and day-to-day execution. You know, it's not another vertical to build it. I mean, healthcare is not - you can't do healthcare along with fashion and telecom, right? It has never been done like that in any part of the world. So, it requires a very focused effort. It can't be part of a conglomerate.

Amey Chalke: Right. So, going ahead, should we expect you to stay limited to the distribution space only and we won't be forward integrating ourselves or retailers or et cetera? What would be your thoughts on that?

Prabhat Agrawal: So, we have a more engaging platform to engage with retailers without actually owning the shops, right? So, we have talked about a little bit in our document also about a Health Edge program, which is like a quasi-franchisee program for retailers, right? So, the retailers can come

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onto this platform and enjoy certain benefits of scale, right? But as of now, we don't have any plans to actually go and open our own retail shops.

Amey Chalke: The last question is on the margin front. We said that the product mix can rise the margin, but how much really is in distributors' hand to change the product mix or is it the market which like rise it basically?

Prabhat Agrawal: So, we engage with a lot of manufacturers and give them value-added services in exchange of which we get better margins, right? So, you don't have to really only change the product mix. You can also work with the same set of manufacturers and provide them more value-added

services for which you can enjoy more margins.

Amey Chalke: So, these margins are basically driven by your contract with the manufacturers and not the product mix, right?

Prabhat Agrawal: Different products enjoy different margins. So, it's to an extent a combination of both. Let's say for a lot of surgical devices and surgical items, or medical devices, the margins are higher than pharma. So, that's a more product led. In terms of supplier led is where you, for example, Roche, we are doing end-to-end marketing, promotion, distribution for them, right? So, there the margins are higher. So, it's a combination of both how you engage with the manufacturer, and at the same time there are certain product categories where in spite of your different levels of engagement, the margin profile is higher. So, it's a combo of both.

Amey Chalke: But at the same time, the demand should also be there from the retailer side, right..

Prabhat Agrawal: So, we are only taking products which sell in the market. We are not kind of creating demand. We will take up those products where the demand is already there. Retailers are asking for those products.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

C. V. Ram: We would like to thank everybody for joining

the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with Strategic Growth Advisors, our Investor Relations Advisors. Thank you once again and have a great day.

Prabhat Agrawal: Thank you.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2024

Ref: 24/SE/LC/2024-25 Date: June 06, 2024

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001.

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai- 400051
Scrip Code: 544122 Scrip Symbol: ENTERO

Dear Sir/Madam,

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call.
In Continuation to our letter dated May 24, 2024, bearing reference no. 13/SE/LC/2024-25, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on May 30, 2024 at 15.00 hrs (IST) to discuss the Company's financial results for the Quarter and Year ended March 31, 2024 is annexed herewith.
This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Jayant Prakash
General Counsel, Company Secretary & Compliance Officer
(Mem: F6742)

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"Entero Healthcare Solutions Limited
Q4 FY '24 Earnings Conference Call"
May 30, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 30th May 2024 will prevail.

MANAGEMENT : MR. PRABHAT AGARWAL – MANAGING DIRECTOR,
CHIEF EXECUTIVE OFFICER AND CO-FOUNDER
MR. PREM SETHI – WHOLE-TIME DIRECTOR AND
CHIEF OPERATING OFFICER AND CO-FOUNDER
MR. CV RAM – CHIEF FINANCIAL OFFICER
ANALYST: M R. NITIN AGARWAL – DAM CAPITAL ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Entero Healthcare Solutions Limited Q4 FY '24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you and over to you, Mr. Agarwal.

Nitin Agarwal: Thank you. Hi, good afternoon everyone and a very warm welcome to Entero Healthcare Solutions Limited Q4 FY '24 Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have representing Entero Healthcare Solutions, the management team comprising of Mr. Prabhat Agarwal, Managing Director and CEO, Mr. Prem Sethi, Whole-Time Director and COO and Mr. CV Ram, CFO. I will hand over the call to the management team to make the opening comments and then we'll open the floor for questions. Please go ahead, sir.

Prabhat Agarwal: Well, thank you. Thank you, Nitin, so much for making the introductions and good evening everyone and thank you for joining our conference call to discuss the operational and financial performance for quarter 4 as well as for full year financial year 2024. On this call, I am joined by Prem, Whole-Time Director, COO and Co-Founder of the company, Mr. CV Ram, Group CFO and also our colleagues from SGA, Investor Relations Advisors. I hope everyone has had an opportunity to go through the financial results and investor presentation which has been uploaded on the stock exchanges and on our company's website.

I shall briefly provide a brief introduction to our company along with the key operational highlights after which Prem will take you through our acquisition growth strategy and Ram will delve into our financial performance. Just to recap briefly, Entero Healthcare Solutions Limited has swiftly emerged as one of India's largest and fastest growing healthcare product distribution platforms. Our vision is to create an organized pan-India technology-driven and integrated healthcare product distribution network that adds value to the entire healthcare ecosystem. Our growth strategy has been two-fold; organic expansion and strategic acquisitions. We have made 35 acquisitions since our foundation which has significantly bolstered our market presence and operational capabilities. Additionally, yesterday we announced three more acquisitions which were approved by the Board of Directors.

Since our inception six years ago, Entero has rapidly expanded its footprint across India. As of March 31, 2024, we operate 79 warehouses spread across 39 cities serving over 86,300 retail pharmacies and 3,500 hospitals. This gives us the widest customer reach in the entire country. Our extensive network includes relationships with more than 2,000 healthcare product manufacturers giving us access to over 68,900 stock-keeping units. This robust infrastructure positions Entero as one of the top three healthcare product distributors in India by revenue. Our vast product range coupled with technology-driven inventory management and customer service Entero Healthcare Solutions Limited
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helps us to deliver very high fill rates for our customers and thereby creates very sticky value proposition for our business.

Our nationwide geographic presence along with our propriety technology helps us to provide extensive distribution reach and valuable insights for the manufacturers and brands that work with us. Driving on our unique business model in just six years, our operations experienced remarkable growth with our revenue reaching INR3,922

crores in FY '24.

Further, FY '24 has been an eventful year for us with total operating revenue of INR39,223 million which is an increase of 19% over last year against a pharmaceutical industry growth rate of 7.6% and accompanied by an expansion in margins which led us to turn back positive for the year. Similarly, in the fourth quarter of FY '24, the company registered 17% year-on-year increase in revenues reaching INR1,034 crores, again delivering a growth which outpaced the Indian pharmaceutical market growth rate of 6% for the quarter.

Looking ahead, our focus is on driving growth through both organic and inorganic opportunities. With the successful completion of our IPO in February 2024, we have strengthened our balance sheet giving us the financial flexibility to pursue these strategic initiatives. We are very confident of delivering 35% to 40% revenue growth in FY '25 driven by organic growth of 20% against an expected IPM growth of 8% to 10% and at least INR1,000 crores of distributed acquisitions. We have acquired up to now four entities which had historical revenues of INR170 crores. There is a robust pipeline of acquisitions which we are working on and are confident to close in the next few months. This revenue expansion driving operating leverage, apart from our procurement efficiencies and product mix, can help us to deliver 100 basis point improvement in EBITDA margins in FY '25. We have already delivered 100 basis point improvement in margins in FY '24 over FY '23.

With this, I will now request Prem to share his thoughts on our acquisition growth strategy.

Prem Sethi: Great, thank you Prabhat and good evening everyone. Entero aims to capitalize on industry

consolidation, leveraging its access to capital, better resource management, scale advantage and superior technology. The recent fundraise from the IPO positions Entero well to acquire distributors and expand its market further.

Our strategy involves acquiring distributors at reasonable valuations, scaling up the acquired businesses by increasing SKU counts, expanding to new territories, enhancing customer reach. Well, this strategy not only provides immediate market entry but also drives substantial post-acquisition growth. Post-acquisition, Entero focuses on integrating the acquired businesses with its existing operations, optimizing processes and leveraging its technological infrastructure to enhance service delivery and operational efficiencies.

In the year FY '24, we have continued to focus on strategic acquisitions to enhance our market position and expand our product offerings. The acquisitions of Dhanvantri and RS Enterprises have been successfully integrated, contributing to our revenue growth and expanding our
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geographic footprint. In May 2024, we acquired 80% equity stake in Avenir Lifecare, a strategic move that aligns with our growth objectives and strengthens our foothold in the state of Telangana.

The acquisition of Avenir marks a significant step in expanding our footprint in specialty medicines such as oncology, critical care and blood plasma segments. I am also very pleased to announce that we have secured board approval for three acquisitions of distributors located in Noida, Bijapur which is part of Karnataka and Ahmedabad. These acquisitions align with our strategic objective to diversify our portfolio, enhance our market presence and capitalize on new growth opportunities.

The acquisition of the distributor in Ahmedabad will open up new avenues in the medical device and consumables in cardiology segment. The acquisition in Bijapur will expand our geographical reach and customer base. In Noida, our acquisition of the distributor will complement our existing business centers in the NCR region. The newly acquired entities will add Ahmedabad and Bijapur to our operational network. This acquisition will increase our total

presence to 41 cities across India.

The financial impact of these four acquisitions will be noteworthy as we expect to add close to INR170 crores plus annualized revenue from these acquisitions. We have acquired Lifecare in Hyderabad with about last year revenue of INR51 crores, Suprabhat in Bijapur with revenue of about INR26 crores, INR11 million annualized, and Visionary in Ahmedabad and Amar Drugs in Noida.

Entero also has a robust acquisition pipeline. The company plans to acquire at least INR1,000 crores of acquisition in FY'25. As we speak, we are working with various potential acquisition targets which are at various stages of acquisition process right now. We are working hard to close these in the first half of this year.

With this, I will now ask Ram to summarize the company's financial performance for Q4 and FY '24. Thank you.

CV Ram: Thank you Prem. Good evening everyone. This is Ram, Group Chief Financial Officer. To summarize financial performance for Q4 FY '24, we have delivered a revenue growth of 17%, EBITDA growth of 42% on year-on-year basis, whereas for the year FY '24, our revenue growth has been 19% and EBITDA growth has been 75% on year-on-year basis.

Coming to Q4 FY '24 consolidated financial highlights, revenue for Q4 FY '24 stood at INR1,034 crores with a growth of 17% on year-on-year basis. Gross margin of 9% in Q4 FY '24 vis-a-vis 8% in Q4 FY'23, an improvement of 95 basis points. EBITDA for the quarter stood at INR29 crores with a growth of 42% on year-on-year basis. EBITDA margins stood at 2.8% which improved by 49 basis points. The improvement in operating profitability can be attributed to better gross margins. Profit after tax for the quarter is INR21 crores as compared to loss of INR4 crores in the same quarter last year.

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Now coming to FY '24 consolidated financial highlights, revenue for FY '24 is at INR3,922 crores with a growth of 19% on year-on-year basis. We have grown significantly at a higher pace as compared to IPM growth. The robust growth in revenue was on account of addition of new customers, new districts, new SKUs as well as new healthcare product manufacturers that we have added.

Gross profit margin stood at 9% for the year, an improvement of 84 basis points from last year.

This enhancement in gross margin can be attributed to procurement efficiencies which have allowed us to manage costs more effectively and increase service fee income from our third-party marketing business. EBITDA for FY '24 is at INR112 crores, an increase of 75% on year-on-year basis.

Operating margin for FY '24 is at INR2.9%, which is an improvement of 91 basis points compared to last year. This margin expansion is primarily due to higher gross margins and operating leverage. PAT for FY '24 is at INR40 crores as against loss of INR11 crores corresponding last year. This improvement in profitability is driven by higher EBITDA, interest income from the IPO proceeds in the last one and a half months and deferred tax provisions. On the working capital front, our working capital days as on 31st March 2024 stood at 67 days as compared to 64 days last year. During FY '24, we have witnessed a strong improvement in our return profile of the company with a normalized ROCE improving from 6.1% to 10.2%, whereas our normalized return on equity improved to 6% (to be read as 5.8%) from a negative last year. With this, I would like to conclude the presentation and open the floor for questions and answers.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Gautam Gosar with Monarch AIF. Please go ahead.

Gautam Gosar: Hi sir, thank you for the opportunity. I have only one question on working capital. Your net working capital days is around 73-74 days which were around 67-68 days last year. Any reason why these working capital days have gone up?

Prabhat Agarwal: So if you calculate your working capital on an annualized basis, it will look higher. But if you just look at the quarter four numbers, using quarter four revenue, then our working capital is around 64 days. Because there is a significant scale-up of revenues from quarter 1 to quarter 4 and part of the acquisitions that were done during the year whose entire working capital has been consolidated in financials but entire year revenues have not been consolidated that has also led to an increase in number of days on a consol basis.

Gautam Gosar: But this year we have not done many acquisitions in FY '24, then too our working capital has gone up. So, I didn't understand any reason for that going up.

Prabhat Agarwal: The two acquisitions that happened in FY '24, that happened towards the second half of the year. Only partial revenues could be consolidated.

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Gautam Gosar: In the presentation, you have given our working capital as 67 days but you have calculated including GST. If you exclude GST, it is a 73-74 days number. So, why including GST you have calculated the working capital? Any comment on that?

CV Ram: Yes, the GST -- the receivables and payables if you look at it includes GST. So, to have a standardized practice, we have been doing this for the past one year in terms of adding the GST to the revenue. That gives the correct picture. The receivables and payables include the GST component as well in the working capital.

Gautam Gosar: Okay. And sir, also one more thing on working capital. So, out of the INR951 crores you have raised from the IPO, you have already utilized around INR158 crores if I am not wrong already in the working capital.

So, sir, could you highlight where this working capital has gone? Because organically also, we do not require that much working capital and inorganic acquisitions also, there was not much in FY '24. So, sir, where have you utilized this INR158 crores?

CV Ram: Yes. So, this amount we have used for the purchasing of material/goods after IPO, that is after February 16th till 31st March. So, that we have better utilized those funds for the purchase of bills in terms of goods, in terms of working reduction in capital there, while the collections has reduced our working capital limits.

That is what you can see in the reduction in the debt for us. So, that has resulted in the interest cost optimization as well for that one and a half month. So, basically, we have utilized it for the working capital for the current month at the same time the collections that we have used to reduce the debt.

Gautam Gosar: Okay, sir. Thank you so much.

CV Ram: It is not over and above the working capital that we already have. That is what I meant.

Moderator: Okay. Thank you. Next question comes from the line of Chintan Sheth with Girik Capital. Please go ahead.

Chintan Sheth: Thank you and congratulations on the successful IPO and a good set of numbers. Hope I am audible.

CV Ram : Yes.

Chintan Sheth: Yes. Thank you. So, basically, I was just looking at the full year numbers, the 100 basis point improvements in EBITDA margin which we have seen a large part of it has come from the gross

margin improvement, right?

So, 90 basis point improvement we have seen in improving gross margins. But despite 18%-19% revenue growth our OPEX has kind of stayed flat because of interest costs or other operating expenses, where we have not been able to see the leverage which one would have expected with

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the growth in revenues. Could you highlight going forward when you guide 100 basis point improvements, how much it will be leveraging from more better sourcing, better procurement, as well as from the operating leverage?

Prabhat Agarwal: So, going forward because in the next year or FY '25, we are expecting a significant revenue

expansion, right? Because both last year a large part of the growth was organically driven, right? Inorganic component was very small.

This year, we have both the levers organic plus inorganic, right? So, a large part of revenue expansion would happen and a large part of that will deliver operating leverage for us, right. So, in this year, as I guided in the beginning of the call that we are looking at 100 basis point improvement gain in this year, over last year.

So, it will be a mix of gross margin expansion which will be delivered through procurement efficiencies and product mix and operating leverage. But the operating leverage component could be bigger in this year as compared to last year.

Chintan Sheth: Okay. Got it. Secondly, on the white label part that was one of the key levers for gross margin expansion. If you can highlight or provide some detail, how was the mix this year versus last year? And what is 90 basis point, how much of it is coming from white label expansion in our revenue? And how should we, one should look share a white label going forward in terms of growth?

Prabhat Agarwal: So, see, white label has never been a very major contributor to gross margin expansion historically also. And we haven't guided that white label would be the big contributor of that, right? Our product mix is driven by those products which inherently give more margin, for example, consumable or medical devices which carry a gross margin which are 1.5x to 2x of pharma gross margin, right.

So, when I speak of product mix, it's not only private label, it includes moving the product mix towards higher gross margin products which are let's say non-pharma category. That's the last part and that journey is continuous this year for example, the acquisition that we did Visionary in Ahmedabad, Visionary Healthcare is primarily medical device distributor, right? So, that category typically enjoys 1.5x to 2x of pharma gross margins. So, these kind of acquisitions and these kind of organic initiatives from our side would help us to expand gross margins further.

Chintan Sheth: Sure and last on the thousand crore revenue, inorganic revenue addition, what is outlay we are planning to spend on expanding that growth?

Prabhat Agarwal: So, typically we have guided that based on historical averages if we look at typically our enterprise value is like one-fourth of the revenue. So you can expect INR250 crores to INR300 crores enterprise value for a thousand crore of revenue in that ballpark range.

Moderator: Mr. Sheth are you done with your questions? Since there is no reply from the line of Mr. Sheth. We have a question from the line of Amey Chalke with JM Financials. Please go ahead.

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Amey Chalke: Yes thank you it's Amey Chalke and congrats to the management for the result. So first question I have is would it be possible for you to explain how things have changed in a particular region or location once the consolidation has started happening? Is there any anecdotal evidence or some experience you can share where you have gained good market share post-acquisition etc.?

Prabhat Agarwal: Yes there are many markets where we have gained very good share in post-acquisition. For example in Bangalore our market share will be between 15% to 20%. In Vizag our market share will be in double digits. In Cochin our market share will be in double digits. In Goa our market share will be in double digits. So there are many markets where we now have a significant market share in that territory.

Amey Chalke: And what do you think would be the scope for you to keep gaining market share in these regions like do we have to keep acquiring more distributors or organically itself we can keep gaining market share as well?

Prabhat Agarwal: So as I told you our organic growth target is 20%. The market is not going to grow by 20%. So market is g

going to grow probably half of it. So naturally the additional delta 10% growth is going to come from gaining market share only. And our market share gains are basically driven by our unique value proposition which is for our customers which is a very wide product range and delivered to the customers at a very convenient three times, four times during the day. So naturally it gives a very sticky value proposition for us because the customers, they want the entire basket at one place and delivered in time. And that's how most of these even good commerce businesses or any businesses are being built where you get a good product range and certain timely delivery.

Amey Chalke: Sure. The second question I have is on the INR1000 crores target we have in mind for the inorganic thing. What would be the execution risk related to these inorganic routes? What things could basically delay some of these acquisitions and what would be our second plan for this thing?

Prabhat Agarwal: So we have enough pool of targets to acquire. So it's not that we are relying on few targets to meet those INR1000 crores targets. So we have ample pipeline available and the market conditions are such that we are one of the few buyers who are ready to buy a distribution business.

And there are many people who are feeling the heat and either because of business pressures or because of succession issues they are willing to transact and we don't see that changing in near term. Maybe I'll ask Prem to kind of add to it.

Prem Sethi: Sure. Thanks, Prabhat. So we have a very robust pipeline as Prabhat mentioned that means in every single micro market that we are currently looking at acquiring we are talking to multiple partners in the micro market. So even if one transaction or one particular deal doesn't happen, we have alternate plan B, plan C available in the same micro market to actually go ahead and then conclude on those transactions.

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So we have a fairly decent numbers as well as micro market targets available which is what we said that we're very confident of doing about INR1000 crore plus acquisition within next few months.

Amey Chalke: Sure. And the last thing on the chart which you have shown of where the India map is there, the locations I believe are related to warehouses etc. So in Maharashtra in particular we see only present in Mumbai. So is there a good scope for you to grow in Maharashtra? Is that how we should see it or like?

Prabhat Agarwal: Yes why not because the locations on the map is only where we have physical warehouses. So we have now physical warehouses in 39 cities even though we are from those 39 cities we are supplying in 540 odd districts in India. So these are only supply hubs, these are not necessarily only the places where we are serving customers, we are serving customers in much wider geographic area.

So in Maharashtra, for example, we would want more centers to be open, we are exploring in Pune, in Nasik, in Aurangabad, in Jalgaon various other micro-markets.

Amey Chalke: Sure, got it. Thank you so much.

Moderator: Thank you. Next question comes from the line of Chintan Sheth with Girik Capital. Please go ahead.

Chintan Sheth: Yes thank you. Sorry my line got disconnected. So you mentioned EV of INR250 crores to INR300 crores that's the target for INR1000 crores kind of addition?

Prabhat Agarwal: Yes in one part.

Chintan Sheth: Okay, got it. And in terms of to bring this INR1000 odd crores of revenue, how much working capital which will get blocked incrementally for us? If you can just run us through how working capital will shape up with the kind of growth we are envisaging going forward?

Prabhat Agarwal: So when we said INR300 crores of enterprise value that includes the working capital that comes along with INR1000 crores of revenue. It includes that.

Chintan Sheth: Okay. But typically it won't materially

change the working capital structure as we have currently?

Prabhat Agarwal: Sorry, can you repeat the last part, please?

Chintan Sheth: So I'm saying whether that can change the working capital profile of our company materially?

Prabhat Agarwal: So we are as of now we are at 60 days, 65 days. So more or less these acquisitions are in that ballpark range only.

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Chintan Sheth: Because what is happening is like you mentioned in your earlier remarks that the acquisition

happened at the fag end of the period where your working capital was booked for that acquiring assets fully while the revenue recognized was for the partial period and that the profile the similar effects can happen?

Prabhat Agarwal: That is determined by the timing of acquisition. So if you do more towards end of the year, you will have an impact on the closing working capital reported. It is just a timing thing. It will normalize over the next few quarters.

Moderator: Thank you. Mr. Sheth we request you to please join back the queue for more questions. Next question comes on the line of Tushar Sarda from Athena Investments. Please go ahead.

Tushar Sarda: Yes. Thank you for the opportunity. Since your strategy is acquisition-led, I have a few questions related to that. One is what price do you pay for this acquisition as multiple of sales or profit?

What is the payback period and how do you account for the acquisition cost in the P&L over what period do you write off?

And then related to this is how does the economics work for you? Do you see a jump in gross margin because you are a much larger organization? So if you can throw some light on this aspect, that would be helpful?

Prabhat Agarwal: So I had kind of explained acquisition economics in part of my road show also and maybe even in our last investor call. First of all we should not say that our strategy is acquisition-led. I would say that acquisition is a means to achieve an all India presence. It's a means to achieve a wide product segment, wide customer base. So that's not the end. Acquisition gives us a market entry and a wider customer base, a wider product segment base on which we want to create a pan India distribution platform.

Now, coming to using inorganic to do that as I told you typically we buy these targets on an EV EBITDA multiple basis and EV EBITDA multiple basis could be mid to high EV EBITDA single digit, mid to high single digit, EV EBITDA multiple basis and if you look at economics of return.

Typically, let's I give you an example. For example, if you buy a distributor whose sales is, for example, INR100 and let's say he's making INR4 of EBITDA for example, or INR5 of EBITDA. Let's use, for example, INR4 of EBITDA. Even if we value him at 6 times or 7 times let's say 6 times then we will be like INR24 of enterprise value. To run a INR100 business he would have definitely employed INR15 to INR16 of working capital.

So we are paying INR24 to acquire a revenue of INR100 which will deliver us an EBITDA of INR4 and along with it we are also getting INR16 of working capital. So the goodwill, the intangible part that we are paying is around INR8 and if we -- even if we don't do much with the business and the business continues to deliver only INR4 we will get back our money in 2 years.

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And if we grow the business that the way we have grown our business historically where we had a very high organic growth rate it can come in less than 2 years that the entire goodwill amount, the intangible amount.

Tushar Sarda: Okay. And how do you account for the acquisition cost? Do you write it off over a period of time? What is your policy on that?

CV Ram: You mean the diligence costs and all. Diligence costs will be...

Tushar Sarda: The goodwill, goodwill which you pay either carrying it in the b

ooks or you write it off over period?

CV Ram: We do carry in the books and then it will be tested for impairment at every closing.

Tushar Sarda: Okay. So versus organically growing, if you were to grow organically you would have incurred costs which would have been expense. So these acquisition costs are not getting expense?

Prabhat Agarwal: Yes. So if you would have taken -- first of all you would have taken a much longer year to grow organically to that size, you would have might incur some operating losses in the first few years at the time when you are building it up. So the goodwill premium that you pay is basically to take care of that.

Tushar Sarda: No, that I understand. I'm just saying expensing out that goodwill premium because it's a, ultimately a cost of building business organically versus acquiring it organically. right?

Prabhat Agarwal: Right. So it will be in the balance sheet. I think we are carrying what INR190 crores.

CV Ram: INR190 crores as of March yes.

Prabhat Agarwal: So, you just imagine is INR190 crores of goodwill we have paid and on that we have built INR4000 crores business.

Tushar Sarda: Yes I understand that. What I'm saying is that it shouldn't be written off over a period of time over 3 years, 5 years, over some time because it is kind of cost of building a business organic versus inorganic. It's a cost of building the business.

CV Ram: Yes we are following the accounting standards. I think that permits only for the goodwill to test for impairment for the future growth and that we test it at every balance sheet date and then we

carry that. There is no option to build.

Tushar Sarda: Okay, thanks a lot.

Moderator: Thank you. Next question comes from the line of Jayesh Shah with OHM Portfolio Equity Research Private Limited. Please go ahead.

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Jayesh Shah: Again, going back to the acquisition economics how do you relate it in terms of price to book?

And my issue is that while you say that the payback period is 2 years, 2.5 years it is not visible

on your ROE and ROCE. So, what are we missing out?

Prabhat Agarwal: I am not able to understand your calculations. Can you elaborate, please?

Jayesh Shah: My first question is when you do these purchases on EV EBITDA what do you pay in terms of price to book value?

Prabhat Agarwal: Book value in the sense the net asset value?

Jayesh Shah: Yes, of the acquired company.

Prabhat Agarwal: So, that's what I said, we are paying a goodwill over the asset value. So, that's it, we are putting in our books and goodwill also we are recording in our balance sheet.

Jayesh Shah: Yes, but let's say you bought an asset, a company which had a revenue of 100 EBITDA of 4 and a balance sheet size or, you know, gross block of whatever, 20, 30, because that could be just the office or you don't buy their offices and stores?

Prabhat Agarwal: No, we don't have, we don't buy, you know, these land and buildings and all those kinds of things. We only take over, you know, the operational assets, which is working capital and, you know, some computers and all those kinds of stuff.

Jayesh Shah: Okay, so you're not buying out the whole company, you're only buying out the working capital and the investment from the company?

Prabhat Agarwal: Yes, if the owner was operating on his own land and building, we would not buy the land and building, we would rent it from him.

Jayesh Shah: Okay, so that is clear. And my second part of the question is on, if the payback period is 2 to 2.5 years, why is it not showing up in your ROEs and ROCES, which are in single digit?

Prabhat Agarwal: So, you know, at an operating level, for example, as I told you, in our books, there is INR190 crores of goodwill, right? Lying and our operating EBITDA, gross of our corporate cost would be around that. So, that amount of cash flow, I mean, that amount of profit is being generated by

acquired entities already, right? But we have a corporate cost on top of it, which, dilutes their operating profit to an extent, our corporate cost is close to a 1% right now. And so that gets deducted from the operating margins of the subsidiaries.

Jayesh Shah: No, that I can understand in terms of margins. So, when you look at return on investment, I'm saying you have not bought any assets, you have only bought the business. And whatever you have paid in goodwill, you are recovering it within two to three years, because you said your payback is 2 to 2.5 years. In that case, your return ratio should have been much more stronger and visible?

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Prabhat Agarwal: When I'm saying 2 to 2, I'm talking about 2 to 2.5 years to get back the goodwill part, the networking capital stay invested, no?

Jayesh Shah: Yes, but the networking capital then goes back into sales, right? Over time. So, your networking capital when I see on the balance sheet, again, is only 67 days, it's not very high?

Prabhat Agarwal: So, we are calculating, Ram, why don't you explain in the formula how we calculate our return ratio?

CV Ram: Yes, return on investment, return on capital employed is the same formula, which is standard in terms of equity plus debt that we have deployed, right? So and undeployed money, we are not considering there. And which is 10.2% at present, we consider the PBT plus the interest cost for the EBIT.

Jayesh Shah: No, I understand the accounting standards. Anyway, I think I'll make a request and perhaps take this offline. Thank you very much.

Prabhat Agarwal: Yes, please connect offline and see where the disconnect is coming from.

Moderator: Thank you. Next question comes from the line of Dhruv Shah with Ambika Fincap. Please go ahead.

Dhruv Shah: Yes, hi, thank you for the opportunity. Team, I have one question pertaining to we had, you know, tied up with Roche for marketing distributing their four nephrology drugs. Can you say what's the status and is any other such kind of pipeline? Do we have such products in the

pipeline? Because this would be a higher margin product for us, right?

Prabhat Agarwal: So, we have two contracts like that, which is currently in operation. One is, of course, the Roche one and another is with Abbott. Those two are continuing while we are working on with other similar propositions with other companies, but others have not been concluded yet.

Dhruv Shah: And ideally, this would be a high margin product for us?

Prabhat Agarwal: Yes, the Roche margin for this will be higher.

Moderator: Thank you. Our next question comes from the line of Alok Dalal with Jefferies India Private Limited. Please go ahead.

Alok Dalal: Yes, good afternoon, everyone. Two, three questions. So, first is on the EBITDA margin guidance of 100 basis point. So, Prabhat, this will be on the reported EBITDA margin of 2.8%, right? Or this is a pro forma number?

Prabhat Agarwal: No, reported.

Alok Dalal: Okay. And with this kind of margin improvement, should one look at mid-teen kind of ROCs for FY '25?

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Prabhat Agarwal: I think yes, yes, should be. We haven't done the calculation, but it should be.

Alok Dalal: Okay. And Prabhat, what is the current sales force that goes to retailers and asks for business?

And how does the overall sales force expand based on the organic growth that you're targeting?

Prabhat Agarwal: So, we have around 1000 people, which is sales plus delivery, some people double up as sales as well as delivery, right? So, together we have around 1000 people in the company who is doing the job of sales plus delivery, which is booking the order, collecting the money and sometime delivering the product also.

Alok Dalal: Okay and this number will more or less remain unchanged?

Prabhat Agarwal: No, it will change. It will go up

to a certain extent.

Alok Dalal: Okay. Thank you, Prabhat.

Moderator: Thank you. Our next question comes from the line of Sriram R, an Individual Investor. Please go ahead.

Sriram R: Thank you for the opportunity. My question is on the ROE. In FY '24, we ended with 6% ROE.

So, after factoring margin improvement and also post-acquisition, what would be a sustainable ROE range? I'm sure you'll have a target ROE range two to three years down the lane. So, what is that number?

Prabhat Agarwal: 20% plus.

Sriram R: 20% plus, is it?

Prabhat Agarwal: Yes.

Sriram R: Okay. Thank you. Thank you. All the best.

Moderator: Thank you. Next question comes from the line of Utsav Jaipuria with DAM Capital. Please go ahead.

Utsav Jaipuria: Hi, sir. Thanks for the opportunity. Just a few questions from my side. Firstly, on this private label piece, what's the status here? What are our plans for the next few years? And how do you think this will contribute to growth margins going forward?

Prabhat Agarwal: I think I answered this question before also that private label is not the biggest driver of our growth, nor of the margins. So, our gross margin expansion is more driven by the way we buy the price at which we buy and also from the product mix, which is related to non-pharma, which is more medical devices and surgical consumables. So, private label is not a very big part of our business. It's contributing 1% right now. And I don't see that will become a huge part of our business in going forward as well.

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Utsav Jaipuria: Thanks. And secondly, on this INR1,000 crores acquisition guidance, this INR1,000 crores revenues, right?

Prabhat Agarwal: Yes, that's correct.

Utsav Jaipuria: So, on that we can assume like a INR4,000 crore sort of outlay for the next year.

Prabhat Agarwal: Sorry, INR1,000 crores you're saying what?

Utsav Jaipuria: So, on the INR1,000 crores revenue that we're guiding through acquisitions, we can assume like a INR4,000 crore sort of outlay for the acquisition, sorry...

Prabhat Agarwal: It's one, it's the other way around. You should have, we said INR250 crores to INR300 crores of outlay.

Utsav Jaipuria: Yes. Okay. Thanks.

Moderator: Thank you. Next question comes from the line of Nitesh Dutt with Burman Capital. Please go ahead.

Nitesh Dutt: Hi, thank you for this opportunity. I just have one question. So, our employee expenses plus opex in FY '24, it's close to INR240 crore. So, I just want to understand if you can provide some sort of breakup on what would be the fixed cost as in the corporate overheads, etc. And what is the variable cost out of it?

CV Ram: Sorry, can you just, I understood the fixed cost, variable cost breakup that you asked. What was the initial part of it? It was not clear.

Nitesh Dutt: For the employee cost and the other expenses, which total to be around INR240 crores.

CV Ram: Correct. Okay. What is the question?

Nitesh Dutt: The question is the employee expenses and other expenses. I want to understand if you have any bifurcation on what are the fixed costs and variable costs out of this INR240 crores.

CV Ram: Yes, out of total 6% of the total operating expenses that we have. So, you can expect, about 0.8% to 1% is variable cost and rest is all fixed costs.

Nitesh Dutt: Okay. So, out of 6, 5 is variable and 0.8 to 1 is, 5 is fixed and 0.8 to 1 is variable. So, does it mean that, let's say your revenue gets double over the coming years, 6% would come down to 3%, 3.5% to 4%?

CV Ram: It depends on the revenue increase. Definitely the fixed cost will have the operating leverage. The 5% will always have the operating leverage, while the 1% is variable.

Nitesh Dutt: Understood. And that variable, is it dependent on the number of pharmacies, etc. You will be having? Just want to understand what is this linked to number of SKUS, number of providers?

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CV Ram: Revenue, it is distribution cost and other...

Prabhat Agarwal: Sales commission and delivery cost.

Nitesh Dutt: Correct. And, sir, amongst the fixed costs, what would be your biggest spend in terms of employee cost? So, is it like tech expenses, corporate overheads? So, out of roughly INR150 crore of employee expenses, if you are saying 70%-80% of that is fixed. So, where exactly is that going into?

CV Ram: No, manpower cost is the biggest one. Further, I will simplify for you. Out of this 5%, 1% is corporate. So, 4% is fixed at the unit level. 1% is variable and 1% is corporate cost. That is how you should read it. And this 4% predominantly will have manpower cost.

Prabhat Agarwal: And manpower is largely warehousing, receiving, inverting, dispatching, packing, all this.

Nitesh Dutt: Understood. Thank you.

Moderator: Thank you. Next question comes from the line of Nitin Agarwal with DAM Capital. Please go ahead.

Nitin Agarwal: Hi, can you hear me?

Prabhat Agarwal: Yes, Nitin.

Nitin Agarwal: Okay. Prabhat, two things. One is, A, on our acquisition strategy, now when we are currently doing about 86,000 retailers are we reaching out to? So, when you think about your acquisition plans over the next 2-3 years -- you did highlight the fact that you are looking to add more specialty formats and distributors going forward.

Barring that, is there a number of retailers you want to reach out to over the next 2-3 years, which sort of gives you the critical mass from there on? You don't need to probably; you need to start to become very selective beyond that when your coverage becomes sufficient from a network perspective?

Prabhat Agarwal: So, Nitin, you are looking guidance on what's the tipping point beyond where we reach a threshold of retailer reach and beyond that we don't have to really go and acquire, at least for retailer acquisition. Is that what you're saying?

Nitin Agarwal: Yes.

Prabhat Agarwal: Once you have to -- our next 2-3 years, if we reach 200,000-250,000 retail reach that will be a substantial reach within the country. After which your new geography additions could be very limited.

Nitin Agarwal: And how much will you need to spend to get to this number? I mean, obviously, in your assessment based on whatever you've seen for the market?

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Prabhat Agarwal: So, part of it will come to organic growth that we are having and part of it will, new geography expansion, for example let's say we acquired this guy in Bijapur, he will add certain number of

retailers to our retail base or we acquired in Hyderabad or in Ahmedabad. So, they will give us new customers that were not existing for us. So, together, both organically we are also trying to drive higher retail reach and through inorganic as well.

Nitin Agarwal: But broadly, your sense is by FY '27, if you put some time to it, you would be largely done with your, retailer reach perspective. I can assume from a retailer reach to get to a desired level of retailer reach perspective?

Prabhat Agarwal: I think it's more than the timing is the number of retailers, right? So, for example, somebody asked question on today that, in Maharashtra, we have only in Mumbai. So, from Mumbai, we are only reaching out to a limited number of retailers in Maharashtra. So, if we open more branches, acquire more entities within Maharashtra, our retailer reach will grow up significantly. But beyond the point, you would be able to service additional retailers from those supply points only, you won't need to go to, we won't need to acquire, keep on acquiring to reach every large retailer in the country.

Nitin Agarwal: And secondly, how much of our business currently is coming from trade generics or is there a proportion increasing for you?

Prabhat Agarwal: This proportion is insignificant right now. For us, trade generi

c is not a substantial part of our

business today. But this is a growth area, we are seeing good traction in that business. So, even our some of our acquisition strategy could also be to, acquire certain of those distributors.

Nitin Agarwal: And last, if I can, as you keep increasing the scale, do you have in your experience over the years, have you seen that increases your ability to take higher gross margins from the manufacturers?

Prabhat Agarwal: Yes.

Nitin Agarwal: And this is in lieu of what? What do you provide them? It's just, is there something that you more that their ability to any services, our ability to provide certain sort of services increases with the increase?

Prabhat Agarwal: Primarily two things, one is data and the second is the ability to give them higher growth.

Nitin Agarwal: Okay. And is there a number that we can put to it in terms of, as you get scale, what is the incremental amount of gross margins that you can probably start to achieve on some of your on an overall basis on this account, or just on the benefit of scale?

Prabhat Agarwal: I won't guide right now on what could be the, incremental margin impact coming from that initiative only because I've given an overall guidance on, gross margin expansion and part of that gross margin expansion is coming through this only.

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Nitin Agarwal: Okay. Got it. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Nitesh Dutt with Burman Capital. Please go ahead.

Nitesh Dutt: Hi, just to follow up on my previous question regarding fixed versus variable cost. So if I look at FY '24 versus FY'23, our total revenue has gone up by 19-odd percent and the employee plus other expenses has gone up by 18%. So you mentioned that fixed cost is roughly 80%-90%. So two questions here. One, why is the leverage not visible yet in historic one, two year numbers? And second, under what circumstances in future do you expect the leverage to come through?

CV Ram: Yes, so this leverage is visible. Actually, if we see, I think last year to current year, you see a lesser visibility here because we have done Q4 reflects the total revenue reflects only in a part of the acquisitions that we did, whereas you have the costs that have come in. Only 20 bps of improvement that has been visible in the current year. But in the previous year, if you see, we were at 7.4%. We came down to 6.2% to now 6.1%. So that is a trajectory on the total operating expenditure, including unit level and corporate level.

Nitesh Dutt: And going forward, you expect leverage to play out from FY'25 onwards?

CV Ram: Definitely, because of the inorganic growth will directly result into this corporate cost, we'll dial in that leverage there. And also most of our cost is fixed, as I mentioned, 4%, which includes predominantly the staff costs and admin costs on the ground. So they will definitely dial in the leverage.

Nitesh Dutt: All right. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Prabhat Agarwal: Well, thank you very much, everyone, for joining this call. I hope we have been able to address all your queries. As I said in the call, we remain extremely confident about the future financial performance of the company and we thank you for your interest. We also thank, our Investor Relations Advisors, Strategic Growth Advisors and we request you, if you need further information, kindly get in touch with them. Thank you once again and have a great day. Thank

you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

Ref: 49/SE/LC/2024-25 Date: August 22, 2024

To,
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Mumbai - 400 001.

Head, Listing Compliance Department
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Scrip Code: 544122 Scrip Symbol: ENTERO

Dear Sir/Madam,

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call.
In Continuation to our letter dated August 12, 2024, bearing reference no. 40/SE/LC/2024-25, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on August 16, 2024 at 12:00 pm (IST) to discuss the Company's financial results for the Quarter ended June 30, 2024 is annexed herewith.
This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Jayant Prakash
General Counsel, Company Secretary & Compliance Officer
(Mem: F6742)

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"Entero Healthcare Solutions Limited Q1 FY '25
Earnings Conference Call"

August 16, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th August 2024 will prevail.

MANAGEMENT : MR. PRABHAT AGARWAL – MANAGING DIRECTOR,
CHIEF EXECUTIVE OFFICER AND CO-FOUNDER
MR. CV RAM – CHIEF FINANCIAL OFFICER
MODERATOR : MR. AMEY CHALKE – JM FINANCIAL INSTITUTIONAL
SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Entero Healthcare Solutions Limited Q1 FY '25 Earnings Conference Call hosted by JM Financial.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amey Chalke from JM Financial. Thank you, and over to you, sir.

Amey Chalke: Thank you, Ritika. Hi, good afternoon, everyone, and a very warm welcome to Entero Healthcare Solutions Limited Quarter 1 FY '25 Earnings Call hosted by JM Financial Institutional Securities.

On the call today, we have representing Entero Healthcare Solutions, the Management Team comprising of Mr. Prabhat Agarwal – Managing Director and CEO, and Mr. CV Ram – CFO. I will hand over the call to the Management Team to make the Opening Comments and then we will open the floor for questions. Please go ahead.

Prabhat Agarwal: Thank you, Amey. Good afternoon, everyone, and thank you for joining our Earnings Conference Call to discuss the operational and financial performance for Quarter 1, FY '25.

On this call, I am joined by Ram – Group CFO, and SGA, our Investor Relation Advisors. I hope everyone had an opportunity to go through the financial results and investor presentation, which has been uploaded on the stock exchanges and also on our company's website.

I shall provide a brief overview of the Key Operational Highlights:

After which Ram will take you through the highlights of our Q1 FY '25 Financial Performance. Before I delve into the specifics of our Q1 operational performance, I would like to highlight the strong foundation we have built over the years and the strategic direction we are heading towards.

Entero Healthcare continues to be one of India's largest and fastest growing healthcare product distribution platform. Our vision remains focused on creating an organized pan-India technology driven and integrated healthcare product distribution network that adds value across the entire healthcare ecosystem. Given the fragmentation and unorganized nature of current healthcare distribution in the country, which essentially inhibits unlocking of efficiencies, adoption of technology and benefits of scale, we believe that Entero is on the forefront of driving consolidation and associated benefits in supply chain.

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We have once again delivered industry leading growth with consolidated revenues of Rs. 1,097 crores representing a 22% year-on-year increase from Rs. 899 crores in quarter 1 FY '24. This growth is significantly higher than the Indian Pharmaceutical Market growth rate of 9% during the same period. This is driven by continuous expansion in customer base, increase in wallet share, geographic coverage and product portfolio expansion. As we keep expanding our pan-India network, including getting into Tier-2 cities and beyond, our value proposition to both healthcare product manufacturers and customers keeps getting stronger.

Our gross margins increased by 26%, EBITDA by 17% and profit after tax by 219% over the previous year quarter. We are continuing to focus on margin expansion through procurement efficiencies, business mix and operating leverage, which should yield positive results in the rest of the year. This would be further detailed by Ram in his commentary.

Our growth strategy remains centered around both organic expansion and strategic acquisitions. On the acquisition front, we have made significant progress in the current fiscal year. Till date in calendar year 2024, we have announced 10 acquisitions contributing Rs. 830 c

rores in

revenue, of which 5 acquisitions generating Rs. 315 crores in revenue have already been closed. The remaining acquisition of 4 entities contributing Rs. 433 crores in revenue are expected to close in quarter 2 FY '25, while the closing of one acquisition with revenue of Rs. 82 crores might spill over to Q3.

So far, the 10 acquisitions announced strategically cater to three objectives, consolidation in existing geographies, which is representing 31% of revenue acquisition, adoption of new or addition of new geographies, which is 32% and new product portfolio, which is 37%. Most of these entities enjoy leadership position in their business segments and territory and significantly enhance our network value proposition.

With the acquisition of Peerless Biotech, we have also expanded our product portfolio into synergistic product segments like medical devices and diagnostic equipments and consumables. These acquisitions are margin-accretive with a blended EBITDA margin in the range of 6% to

8%, which would further enhance our profitability, while at the same time, we have remained extremely disciplined and financially prudent in our acquisition approach. The impact of these acquisitions on our revenues, EBITDA margins and ROCE have been highlighted in our investor presentation and would be detailed out by Ram in his remarks.

We are confident in our ability to achieve our FY '25 revenue growth guidance of 35% plus driven by both organic growth and our acquisition strategy. This growth would be accompanied by expansion in operating profitability margins over last year supported by procurement efficiencies, improved business mix and operating leverage that comes with our growing scale. I would like to thank our team for their relentless efforts and our shareholders for their continued support. With this, I will now request Ram to summarize the company's financial performance for Quarter 1 FY '25.

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CV Ram: Thank you, Prabhat. Good afternoon, everyone.

Coming to Q1 FY '25 Consolidated Financial Highlights:

Revenue for Q1 is at 1,097 crores with a growth of 22% on year-on-year basis.

We recorded a gross profit of 9.1% in Q1 FY '25 vis-à-vis 8.8% last year, an improvement of 27 basis points. As Prabhat mentioned, this is primarily driven by gross margin expansion, driven by procurement efficiencies and an optimized product mix.

EBITDA for the quarter stood at 30 crores with a growth of 17% on year-on-year basis. EBITDA margin stood at 2.8%. We have initiated and undertaken several acquisitions in Q1 FY '25.

However, these acquisitions come with associated costs, particularly few one-time expenses, including due diligence expenses. We are also actively investing in human resources to support the integration and scaling of these new acquisitions, which while incurring upfront costs, is essential for driving long-term growth. As such, these acquisition-related costs had a moderating effect on our Q1 FY '25 operating margins.

As mentioned by Prabhat, till date, we have announced 10 acquisitions with a combined revenue of Rs. 830 crores per annum. The blended EBITDA margin from these acquisitions is expected to be in the range of 6% to 8%, which will improve our consolidated margins and ROCE.

Coming to profit after tax for the quarter is at Rs. 21 crores, registering a growth of 219% on a year-on-year basis. This spurt is on account of higher EBITDA and optimized net finance costs.

On the working capital front, our working capital days as on 30th June stood at 71 days, compared to 67 days as of 30th June 2023. One of the reasons for slightly higher NWC is revenue from new acquisitions is partly recognized, while the NWC is fully recorded in the books on completion of acquisitions.

The substantial impact of our inorganic growth strategy, particularly from the announced acquisitions, will start to be reflected

in our financial performance beginning Q3 FY '25, even though partial impact will be reflected from Q2 onwards.

The integration of these acquisitions into the Entero ecosystem will unlock operating leverage through scale and further optimize our business mix. With the contributions from recent acquisitions on pro forma basis, EBITDA margin to improve from 2.8% to 3.5% and ROCE to improve from 9.2% to 14%.

This is indicative of the margin accretive nature of our recent acquisitions. This is besides the synergy benefits on revenue margins that we expect to realize once we integrate these businesses fully into Entero's businesses.

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Please note that these impacts are purely on account of acquisitions, excluding any positive impact from the growth and various margin improvement initiatives in progress in organic business.

With this, I would like to conclude the presentation and open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Gautam Gosar from Monarch AIF. Please go ahead, sir.

Gautam Gosar: Sir, my question is on acquisitions. So, sir, you provided data for only couple of acquisitions where we could figure out the valuation that what valuation basically the acquisitions were done.

So, for example, if I am a distributor, you have acquired 70% for 77 crores, which takes the company valuation to 110 crores and the FY '24 sales were 220 crores. So, it was done at around 0.5 times sales.

And similarly, if you calculate Peerless Biotech, it was done at more than one-time sales versus our guidance of around 0.25 to 0.3 times sales. So, what is leading to this higher valuation which we are giving to the companies is my first question.

Prabhat Agarwal: This is Prabhat here. So, as we said in the presentation also, that we have maintained our acquisition multiples in line with the historical numbers, right? We are valuing any company based on the EBITDA multiple and not on revenue multiple, okay? So, on the EBITDA multiples, the multiples that we have paid are in line with single-digit numbers that we have paid historically.

Gautam Gosar: Any broad range, sir, which you would give us? And sir, also one request. If you could give this in the notification which you give it better for the investment community to analyze your company better.

Prabhat Agarwal: So, we are making the necessary disclosures in line with the regulations, Gautam. If you have to take a number, as we told you, that in mid-to-high single-digit is what we are paying. So, you can take it between 5 to 8 times of EBITDA multiples.

Gautam Gosar: And secondly, sir, on margin, since you have mentioned that these companies which you have acquired are doing EBITDA margin in the range of around 6% to 8%. Sir, any margin guidance which you would like to give for this year since your target is reaching around 4.5% to 5% in a couple of years? How are we moving in that trajectory? And what is our guidance for this year?

Prabhat Agarwal: See, as you would note, Gautam, that we have given you a pro forma numbers after baking in all the acquisitions, right? And that itself is taking us to 3.5% in the presentation you would see. And that excludes any synergy benefits and any improvement on the organic business. So, we are inching closer towards that 4% kind of number. And once these things are baked in, which is going to happen in next one quarter, and improvement in organic business, we should be inching towards that.

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Gautam Gosar: Sir, lastly, on working capital. So, since you also told us in your opening remarks, like why it has increased, sir, over the year, we should assume that this should normalize to what the number was previous year?

CV Ram: Historically,

I think we have been reducing this from a 74 to we have come to 67 over two years, if you look at FY '24. So, we would like to have similar kind of a reduction over the next two years as well.

Gautam Gosar: So, this number should be below 67 days is what you are trying to say, right?

CV Ram: Definitely. I think it will be around that. It will be over the next two years, there will be at least five to seven days reduction. And by March, definitely, you will see that. Most of it.

Moderator: Thank you very much. The next question is from the line of Chetan Shah, Jeet Capital. Please go ahead.

Chetan Shah: Sir, two quick questions, just continuation on the acquisition side. If you can, and my sincere apology because I am like interacting with the management for the first time. So, it may sound a very novice question. Sir, in terms of your acquisition strategy, will that be more focused on a vertical of a distribution network or more focused on a geographical side spread, if you can give some sense on that? One is that.

Second, when you mentioned in your opening remark that most of these acquisitions are earning accretive because they are small in size when you are acquiring and come in our system, our distribution system, a synergy of operation helps and expands the margin. So, if you can throw some little more lighter on that, that will be helpful.

And my last question is on a working capital. What you think is the most optimum level of working capital which we can achieve once we achieve some size and scale from the current level of top line? These are the three basic questions I have.

Prabhat Agarwal: Let me take the first question first. You talked about to give a little more color on the acquisition.

So, acquisitions, as you see in our targeted or stated objective even in the prospectus that we are targeting three kinds of acquisition. One is where we are adding new geographies through those acquisition entering new markets basically, and some of these acquisitions is towards that.

For example, we have acquired an entity in Khammam. We have acquired an entity in Bijapur.

We have acquired an entity in Trivandrum, right? These are the markets where we were not present, right? So, this opened up new markets for us.

Second category is on expanding the product portfolio where, traditionally, those kind of products we were not working on before, right? For example, Peerless Biotech is a great example of that. It gives us entry into medical devices and diagnostic equipment and consumables, that

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we were not doing before, right. So, it is the same set of customers we can sell more products now.

And third is strengthening our positioning in the existing market. For example, Sai Pharma, as

somebody mentioned, helps us to double our market share in Hyderabad, right. So, these are broadly the three categories of acquisitions we are making, which is in line with what we also disclose in our prospectus and we have given a breakup also for these three categories in our investor presentation. What was your second and third one?

Chetan Shah: Sir, my second question was, I was just trying to understand, you actually partly answered that question, but I was trying to understand that when you acquire this business in vertical or geography wise, how does the margin improvement both at gross and at EBITDA level changes? Is it because of the consolidation of the player or is it also because of the mix of the product what you offer to the consumer? Because in your PPT, you mentioned about the SKUs what we cover and also the states and the district what we have expanded to. So, once again apology, because I am just trying to ask too basic question, but I am seeing your company for the first time.

Prabhat Agarwal: When you acquire an entity and when it gets integrated to Entero ecosystem, they greatly benefit from co

nsolidation into Entero. Number one, there is a lot of synergy on the top line of the acquired entities. We expand their product portfolio.

Suppose we acquire a distributor which is offering only X category of products, but in Entero we have far bigger product portfolio which we can offload in that market through that entity, right? So, it expands their product range.

We also deploy our technology to give better customer buying experience, which enhances their wallet share, and we also enhance the geographic coverage. So, on the top line side, there are many synergies available between Entero and acquired entity, and through that we expand our operating leverage. The company grows far more than what they had been historically growing, right? That's number one.

Number two, on the procurement side also, we get lot of synergies, which helps to improve the margins, because they get the advantage of Entero buying scale, right. Because Entero is a network of many entities spread across India. So, our buying power is far more than the buying power of that particular entity. So, there also they gain quite a bit. So, these are some of the ways where we expand both the top line as well as the bottom line of the acquired entities.

Chetan Shah: And sir, last question was on a working capital cycle. Ram sir was explaining that 67 will go down a little bit, but what be your like most comfortable level of working cycle which you will be looking at, if you can just help me with that?

Prabhat Agarwal: I think somewhere around between 60, you know, 60 is a good number if you can touch in terms of working capital cycle given the business mix that we have today, because the working
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capital cycle is different for trade entities or retail business which is supplying to the retailers and is a little bit different when you are supplying to the hospital. So, depending on the mix of the business that you have, I would suggest that 60 to 65 is a good range for a very short-term target for us.

Chetan Shah: Other than us, who will be the like nearest competitor, if I want to look at, KEIMED or like who will be the guys, one should be KEIMED or Apollo's Network both retail and medical hospital medicine?

Prabhat Agarwal: So, there are no listed peers for us in distribution business. So, the people who are actually playing at a national pan India level is KEIMED as you mentioned and also Ascent which is part of API Holdings.

Moderator: Thank you very much. The next question is from the line of Shivkumar Prajapati, Ambit Investment Advisors. Please go ahead, sir.

Shivkumar Prajapati: First of all, congratulations on such a outstanding quarterly results. My question is, there is around 240 crores IPO proceed available for acquisition purposes, but let's say, after 3 to 5 years down the line, once it get exhausted, how we are planning to acquire as businesses mostly depends on inorganic growth? Will this be done through QIP or say debt? But I believe debt might be difficult as this might hit the margins. So, could you please guide on this?

Prabhat Agarwal: So, we have raised 1,000 crores through IPO, right. That is sufficient for us for next 2, 3 years acquisition targets, right? Beyond that the company will start generating enough internal accruals to do marginal acquisitions, right? Because the acquisition intensity would also decrease after a point in time and with the reduced acquisition intensity and internal accrual generation, we don't see any reason to hit the capital markets again in next 2, 3 years' time frame.

Moderator: Thank you. The next question is from Nitin Agarwal. Please go ahead, sir.

Nitin Agarwal: Prabhat, just sort of going back to your Slide 7 in the presentation, when you mention that 350 crores is the net investment value, 305 crores, this is the payout that you have done for acquiring this 830 cr

ores of revenues. Is that a way to understand that?

Prabhat Agarwal: Yes, this is including what we have paid and what we will paying.

CV Ram: Yes, upon closing.

Prabhat Agarwal: Upon closing, yes.

Nitin Agarwal: And this gives us 77% of the revenue ownership of the 830 crores that you bought.

CV Ram: That's correct.

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Prabhat Agarwal: Revenue ownership will be 100%. The equity ownership will be 77%.

Nitin Agarwal: And typically, Prabhat, how does it work? In how many years do you typically buy out the balance or does it never really happen at a point in time?

Prabhat Agarwal: No, so for all the remaining stake, we always have a call option. So, it is up to us. We have a time frame to exercise the call option. Sometimes it is for part of the stake it is after one year, part of the stake it is after 3 years, right. So, we have an option to acquire balance stake at the predetermined valuation.

Nitin Agarwal: And secondly on the operational highlight slide, which is five, you mentioned that currently we reaching out about 60,000 odd customer retailers. Where would you this number want you to settle at over the next say, two or three years? What is the aspirational number or number that you would want to be at a point where you don't really need to acquire, you probably go a little easy on in terms of adding geographically expanding the business?

Prabhat Agarwal: I would say anywhere between 150,000 to 200,000.

Nitin Agarwal: And how much time do you think it will take you for you to get there?

Prabhat Agarwal: Three years.

Nitin Agarwal: So, in terms of the incremental acquisitions that you will do, a lot of our acquisitions incrementally should be more targeted towards getting to newer geographies, or again, the split that you have given one-third each or thereabouts, how do you see that objective playing out in a future transaction?

Prabhat Agarwal: Yes, so the customer acquisition is happening through only inorganic. Organically also we are adding a lot of customers. So, when I said that 150,000 to 200,000, not all of it will come from inorganic and entering into new geography. Even with existing, you know, we have 85 warehouses in the country which is very fairly well spread out. So, from those warehouses, we can target even more customers than what we are targeting now.

Nitin Agarwal: And lastly, Ram, what was our organic growth for the quarter versus for this year, I mean in Q1?

CV Ram: 16%.

Nitin Agarwal: This is not taking to impact the recent acquisitions on a like-to-like basis?

CV Ram: That's correct.

Nitin Agarwal: And how do we see this organic growth on a going forward basis?

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Prabhat Agarwal: See, we have always maintained this kind of a guidance that we are targeting to grow 2x of the industry growth rate, right. So, this quarter, the industry grew by 9%, right. And we grew by 16%. Aspiration of our team and the focus and efforts of our team is trying to deliver a growth which is close to 2x of industry growth rate.

Nitin Agarwal: And lastly, Prabhat, the new acquisition that you have done where you mentioned 6% to 8% EBITDA margin, so is this EBITDA margin on average is skewed towards by one of these couple of transactions or this is the kind of average number which is there across all the transactions that you have done?

CV Ram: This is the blended average.

Moderator: Thank you very much. The next question is from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead, sir.

Alok Dalal: Hi, Prabhat. Just one question. So, with one of your bigger competitors, I am referring to KEIMED here, it is also looking for acquisitions. Your size is also growing. So, are there meaningful assets available for acquisition, say, distributors with 100 crore plus revenues in the market

for you guys to consolidate further?

Prabhat Agarwal: No, these 100 crore plus acquisition targets are dwindling by the day, right. So, we have picked up many 100 crore targets in the 10 acquisition that we have disclosed, right. So, going forward, after one or two years, not many targets will be available, which will have a revenue of more than 100 crores.

Alok Dalal: So, then after 2 - 3 years, like you also mentioned the acquisition intensity will slow down, and focus will then shift to organic growth?

Prabhat Agarwal: Yes, because beyond the point, and then by that time we would be present in all the major geographies, right. So, those 100 crore plus targets are mostly available in those geographies

which are like Metro cities or large cities. So, once everyone is present there, then if you go to Tier-2, tier 3 cities, for example, like we went to Khammam or Ujjain or Bijapur, you won't find 100 crore entities there. The market size there itself is like 250, 300 crores.

Alok Dalal: But Prabhat, quite a few areas you are still not present. For example, if you see East India or if you consider some parts of North and even West, the company does not have very big presence. It's more south heavy. So, even in those markets if you want to make entry, would you find such targets?

Prabhat Agarwal: Yes, for example, East, you can find targets in Kolkata for those kind of numbers. You can find certain targets in Orissa for those kind of numbers, right. So, in the East specifically. Even in North India, there are targets available in those 100 crore plus revenue range.

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Alok Dalal: And Prabhat, in the past you mentioned some markets the organized players collectively have more than 50% share, whereas in other markets, the share is still quite small. So, in those markets where the share is still quite small, why is that been the case? Where is the evolution still to happen? How do you see your positioning in those markets?

Prabhat Agarwal: So, many markets where all three are present, there the collective shares are pretty high, but there are many markets where all three of us are not even present. Either one of them are present or two of them or none of them are present. So, those markets, our stated goal is to enter into all the large markets. So, we are going after it. As of now what I understand, Ascent API have not been that acquisitive in last one year, right. KEIMED, we will see how they after their recent fund infusion, what will be their strategy to enter new markets and drive consolidation.

Moderator: Thank you very much. The next question is from the line of Chetan Shah from Jeet Capital. Please go ahead, sir.

Chetan Shah: Just one question. Between the retailer and hospital customer, how is the gross margin difference over there, if it is possible to share?

Prabhat Agarwal: The gross margins are not significantly different, I would say.

Chetan Shah: It's more or less same or there is like 5% delta between the two.

Prabhat Agarwal: It depends on customer to customer. On a segment level, it's not much different.

Chetan Shah: Sir, do we manage any hospital OPDs like or we don't?

Prabhat Agarwal: We have just recently started doing one.

Moderator: Thank you very much. The next question is from Amey Chalke. Please go ahead, sir.

Amey Chalke: Prabhat, I have one question on the acquisition front. I am sure since we are doing acquisition for the growth purpose and at present it's the main focus. So, what has been the challenges so far in the acquisitions we have done in the past, and if you can explain how those challenges we have overcome?

Prabhat Agarwal: One thing I just wanted to clarify for the benefit of everyone that acquisition is a strategy. It's not an end outcome. End outcome is to create a pan-India network where we can service customers all across the India and provide lot

of value to healthcare product manufacturers, and

you can reach there either organically or inorganically, right. And we are using a mix of both organic and inorganic strategy to expand our country network.

Now coming back to your question on what has been the challenges in past acquisitions, see, I think the most important challenge one faces in integrating the existing team with the acquired team, right.

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Other than that, the value proposition post-acquisition is significantly enhanced for the target because for the reasons that I mentioned in the earlier part of the call that we can provide lot bigger platform to these guys to grow and that's the reason some of the very marquee names in pharma industry pharma distribution, people who have been market leaders in their territory for years, for decades have chosen to join hands with us because they believe in this potential. They believe in this potential that they can do far better if they join hands with Entero, right. And some of these acquisition that we have announced recently also, you would see that some of these guys were like leaders in that market, very strong goodwill of theirs in that relevant market, right. And the reason why they are joining hands is they know that together we can do much better.

Challenges, as I mentioned, is mainly the integration, aligning them to our way of working, the way we report number, the way we conduct business, and which we have handled effectively well, I would say, because we have now experience of doing close to 40 integrations in the company. So, it's the playbook is pretty clear. People are more aligned. They know what to expect from each other. So, this process has been refined quite well over last five years, I would

say.

Amey Chalke: And when we do these acquisitions, generally, the value which we pay, how much would be the intangible and how much would be the tangible proportion? And I assume that what we acquire is basically the relationship, existing relationship with those of those distributors. Also there would be some physical assets, right? along with the working capital. Is there anything else which we get when we acquire?

Prabhat Agarwal: No, so, as you said, when we disclose the acquisition value, it includes both the intangible part and also the tangible assets that we get at the time of closing, right. So, the percentage between, division between intangible and tangible depends on how efficiently they have been managing business, but I think it's what, 35%?

CV Ram: Yes, 35% to 50% depending on because we pay the EBITDA multiple. It's the profit multiple we pay usually ranges between 35% to 50%.

Amey Chalke: So, 35% would be tangible basically and remaining would be intangible.

CV Ram: The other way.

Amey Chalke: Other way, okay. And so far how much SKU we have covered across India and how much retailers we have covered? And assuming over the next two years the acquisition targets we have in mind, how much we will be able to increase our market share?

Prabhat Agarwal: See, now we are doing almost 65,000 SKUs. In India, more than 150,000 SKUs are available in pharma alone, right. And this SKU range is evolving every day because there are lot of new

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small regional local level pharma companies coming up. You would see that, as I mentioned before in my call also, that the barrier to entry is very low in the pharma side.

So, a lot of companies which operate at a regional level, local level, they don't have a pan-India national presence, but they are delivering good numbers at local levels. So, this SKU range keeps on evolving. Every day there is a new pharma company coming up and they are launching the products in a different trademark.

On the customer side, I highlighted before, on an annual basis, if you look

at last year, we had

around 86,000 plus retail customers. That's almost 10% of India's customer base. So, on a customer account basis, we had already reached almost 10% of India's retail customer base.

Amey Chalke: And there is one more part of direct deals with some of the manufacturers or some products. Is it possible to highlight how that piece is moving, and going ahead, any attractive deals which are there in the pipe, which you want to highlight? Like the one we do it with Abbott selling that device product, so is there any such deals which we should be aware of basically, which will going ahead drive the sales well?

Prabhat Agarwal: So, we don't disclose anticipated deals. Once it happens, we will definitely make a disclosure.

Amey Chalke: So, at present, how much the contribution coming in from such targets?

Prabhat Agarwal: You are saying contribution from where we have marketing rights?

Amey Chalke: Yes.

Prabhat Agarwal: Around 5%, I would say.

Amey Chalke: But here our margins would be on the higher side, right, compared to the...

Prabhat Agarwal: Yes.

Amey Chalke: So, going ahead you expect this 5% to move up sharply or you expect it will remain in the single digit?

Prabhat Agarwal: No, it will become even more challenging no, because you are acquiring lot of entities on the distribution side, which is increasing your base. So, for example, we have announced 830 crores of acquisitions. When it gets fully reflected in financial, just to maintain 5%, you will have to add 40 crores on this. So, I think it's a decent number 5% and our efforts is to get as many contracts as possible on the marketing side.

Moderator: Thank you very much. The next question is from Ashok Midhun, individual investor. Please go ahead, sir.

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Ashok Midhun: So, I have a couple of questions. The first one is on the acquisition related. So, in the recent communications with the stock exchanges, actually, there are some delays with respect to two or three acquisitions we are supposed to complete by July 31st. Now the expected date of completion would be around September 30th. So, could you please throw some light on the reasons behind it and the portion of revenues which could be anticipated from those delayed acquisitions?

Prabhat Agarwal: So, those three, to be honest, one of the acquisition we already have 85% stake. We were supposed to buy the balance 15%, okay. And the seller travelled abroad so we couldn't complete

it. I mean, the entire revenue and all is already there in our books even today, because we own 85% of the company and only 15% we were supposed to acquire. That got delayed, right? Another acquisition which was very small, I think it was somewhere in the range of very small numbers, that the person travelled abroad for a month. He is going to be back before the end of this month and we will close that out in the next 30 days, I would say.

Ashok Midhun: One more question. When do you expect our cash flow from operations turning positive? Maybe like 2 to 3 years down the line you would expect that to happen, or will it take more time?

CV Ram: Yes, definitely, I think by next year, organics should start delivering positive cash flows, organic division from FY '26 onwards.

Ashok Midhun: One last question, sir. So, I hope the acquisition targets as on date we are going ahead with our estimated timelines of completing all the 1,000 crore acquisition targets by September 30th. So, would you like to keep the revenue guidance of 35% to 40% on the top line and the margin improvement of 100 bps as mentioned in the previous earnings call or how is that happening?

Prabhat Agarwal: Yes, no change in the guidance.

Moderator: Thank you very much. The next question is from the line of Akshay Jain, Poem Capital. Please go ahead.

Akshay Jain: My specific query is with respect to employee expe

nse, right. Last quarter it was around 37

crore. Now it is 43 crores. Any specific reason for increase or is it increment, or it is because of the new acquisition specifically?

CV Ram: Yes, it includes inorganic acquisitions and also if you are comparing with last year, sorry, previous quarter, then there is, in the first quarter, there will be salary cost increments also in the Q1. Does that answer your question?

Akshay Jain: Yes.

Moderator: Thank you very much. The next question is from Raj, RJ Partners. Please go ahead.

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Raj: For FY '25 full year, are we expecting a sales of around 5,300 crore range, somewhere around that, if we take 35% to 40% growth?

Prabhat Agarwal: If you dial in 35% over last year, yes.

Raj: It would be including the acquisitions, right?

CV Ram: Yes, that's correct.

Raj: And how much of EBITDA are we expecting? I skip the part on the EBITDA, sorry. Full year EBITDA range will be around 4% to 5%, am I right?

Prabhat Agarwal: No, we have not given any such guidance that it will be 4% or 5%, right?

Raj: And sir, for FY '26?

Prabhat Agarwal: FY '26, we have not given any guidance for FY '26. We will release, when once we release, they will give you.

Raj: So sir, overall in FY '25, are we expecting an improvement in our EBITDA percentage?

Prabhat Agarwal: Yes, we are definitely expecting improvement in EBITDA margins over last year.

Moderator: Thank you very much. Ladies and gentlemen, as there are no further question from the participant, I now hand the conference over to the management for closing comments.

CV Ram: I would like to thank everybody for joining the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with Strategic Growth Advisors, our Investor Relations Advisors. Thank you once again and have a great day.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference Thank you for joining us, and you can now disconnect your lines.

Call: Nov 2024

Ref: 78/SE/LC/202 4-25 Date: November 19, 2024

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001.

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051
Scrip Code: 544122 Scrip Symbol: ENTERO

Dear Sir/Madam,

Subject : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call .
In Continuation to our letter dated November 07, 2024 , bearing reference no. 67/SE/LC/2024 - 25, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on November 13, 2024 at 03:30 pm (IST) to discuss the Company's financial results for the Quarter and Half year ended September 30, 2024 is annexed herewith .
This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Jayant Prakash
General Counsel, Company Secretary & Compliance Officer
(Mem: F6742)

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"Entero Healthcare Solutions Limited Q2 FY25
Earnings Conference Call "

November 13, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th November 2024 will prevail.

MANAGEMENT : MR. PRABHAT AGRAWAL – MANAGING DIRECTOR
AND CEO
MR. C. V. RAM – CHIEF FINANCIAL OFFICER
ANALYST : MR. RAHUL DANI – MONARCH NETWORK CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to Entero Healthcare Solutions Limited Q2 FY25 Earnings Call hosted by Monarch Network Capital.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital, Thank you and over to you, sir.

Rahul Dani : Thank you. On behalf of Monarch Network Capital, we are delighted to host the senior management of Entero Healthcare Solutions for the Q2 FY25 Earnings Call.

On the Call, we have representing Entero Healthcare Solutions, the management team comprising of Mr. Prabhat Agrawal - Managing Director and CEO and Mr. C. V. Ram - CFO of the company and SGA, the IR Advisors.

I will hand over the call to the management for the Opening Remarks and then we move to Q&A.

Thank you and over to you, sir.

Prabhat Agrawal : Good evening and thank you everyone for joining our Earnings Conference Call to discuss the Operational and Financial Performance for Quarter 2 of Financial Year '25.

On this call, I am joined by Ram - Group CFO and SGA our Investor Relations Advisors. I hope everyone had an opportunity to go through the financial results and investor presentation which has been uploaded on the stock exchanges and also on our company website.

I shall provide a brief overview of the Key Operational Highlights, after which Ram will take you through the highlights of our Quarter 2 FY25 Financial Performance.

We are delighted to announce another quarter of strong industry-leading growth. Our consolidated revenues for Quarter 2 FY25 stood at Rs. 1,301 crores, marking a robust 31% year-on-year increase from Rs. 996 crores in Quarter 2 of Financial Year '24. This performance significantly outpaced the Indian Pharmaceutical Market (IPM) growth, which grew by 8% over the same period. Our growth was driven by both organic expansion and contributions from our strategic acquisitions, reflecting our strong execution of a dual growth strategy.

The significant revenue growth was accompanied with EBITDA margin improvement of 40 basis points to 3.3% and as a result, our EBITDA grew by 49% over last year reaching Rs. 42 crores for the quarter.

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The EBITDA margin improvement was driven primarily by gross margin expansions through our continued efforts towards driving procurement efficiencies, a better product mix and cost optimization.

Entero has strategically positioned itself as one of the largest players in India's fragmented healthcare product distribution landscape. The healthcare distribution market valued at \$33 billion, has ample room for consolidation, which we believe will be transformative for the sector. To capture the massive consolidation opportunity in this fragmented market, we have adopted a mix of both organic and inorganic strategies.

Leveraging our extensive India reach and network, which is growing continuously, which at present comprises of 95 warehouses, 3,100 plus hospital coverage and access to over 79,500 pharmacy retailers nationwide, we continue to add significant value to healthcare brands. We have been actively working to deepen our market presence across Tier 2 and Tier 3 cities,

thereby

unlocking new growth opportunities and increasing our wallet share in underserved regions.

We remain extremely excited about the potential and the opportunities that Entero's all India distribution network infrastructure and capabilities can bring to enhance the healthcare access and supply chain efficiency in the country.

Our strategic priorities are clearly defined for us and guide us towards our future actions. We would continue to grow our geographical penetration, customer base and product basket. We would continue to add more product categories like Specialty Pharma, Medical Devices, IVD Equipments, Surgical Consumables, etc., to truly become one-stop shop procurement partner for our customers. We would continue to expand our service offerings in terms of more value-added services such as marketing, promotion for healthcare brands, Health Edge, etc.

All of the above will help us to deliver market beating organic growth and become a partner of choice for both the brands and also the customers that is pharmacies and hospitals. Our internal

target for organic growth is to deliver at least two times of market growth rate using the above mentioned organic growth strategies.

We also remain committed to expanding our operating margins where the prime levers are better product mix in terms of product and service level offerings, procurement efficiencies and operating leverage. We are committed to deliver quarter -on-quarter improvement in these metrics.

On the inorganic front, we are continuously evaluating M &A opportunities, which enhances our geographic reach or expand our product and service offerings. We are evaluating margin accretive acquisition opportunities mostly and have built good pipeline of potential targets. In FY25, we have completed 9 acquisitions which had collectively Rs. 750 crores in annualized revenue in FY24 and added newer product categories like diagnostic consumables and equipments, medical devices , etc., and added newer geographies as well. Full revenues and

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earnings from these acquisitions would be recorded from quarter 3 as some of these acquisitions happened during the middle of Quarter 2 .

Further, we have signed binding MoU s with two entities in Kerala and Haryana which has been disclosed yesterday. So, we are on course to achieve Rs. 1,000 crores of annualized revenue as per our guidance.

Our unique business model and value proposition in this fragmented healthcare supply chain market along with strong and committed leadership team and strong balance sheet post IPO , gives us the confidence to deliver strong shareholder returns.

I would like to thank our team for their relentless efforts and our shareholders for their continued support.

With this, I will now ask Ram to summarize the company's financial performance for Quarter 2 FY25.

C. V. Ram : Thank you, Prabhat, and good evening everyone . Coming to Q2 FY 25 consolidated financial highlights . Revenue for Q2 FY 25 is at Rs. 1,301 crore, registering a growth of 31% year-on-year basis. 15% of this growth is organic and 16% is from inorganic growth. So, as mentioned by P rabhat , we have completed 9 acquisitions so far in FY25 and we have recorded Rs. 128 crores revenue from these new acquisitions for Q2 FY 25.

We recorded gross profit margin of 9.4% in Q2 FY 25 vis-a-vis 9% in Q2 FY 24. An improvement of 39 basis points, our gross margin growth reflects our initiatives in procurement efficiencies and improving our product mix.

EBITDA for the quarter stood at Rs. 42 crores with the growth of 49% year -to-year basis.

EBITDA margin in Q2 FY25 is at 3.3% vis -a-vis 2.9% in the same quarter previous year.

Recording an improvement of 40 basis points , this is primarily on account of high margin acquisitions and other gross margin improvement initiatives we have taken during

the quarter.

We continue to make investments in talent to facilitate integration and expansion of acquisitions and to improve operating efficiencies in organic business. While these expenses are crucial to fostering long -term growth, they have had temporary moderating impact in our operating margins and operating leverage. Despite that, we have been able to improve our margins from product mix and procurement efficiencies.

Profit after tax for the quarter is at Rs. 26 crores, increasing by nearly four times on year -to-year basis. The upturn is on account of higher EBITDA and optimized net financial costs.

The significant influence of our recent acquisitions will begin to show prominently in our financial results from Q3 FY25, with partial effects already dialed into Q2 FY25 . Integrating

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these acquisitions into Entero's operations will enhance margins and operating leverage by expanding scale and refining our business mix for greater efficiency.

Now , coming to H1 FY25 consolidated financial highlights . Revenue for H1 FY25 is at Rs. 2,398 crores with the growth of 26% on year -to-year basis. Gross profit margin stood at 9.3%, an improvement of 34 basis points. EBITDA for H1 FY25 is at Rs. 73 crores, an increase of 34% on a year -on-year basis. Operating margins for H1 FY25 is 3% , which is an improvement of 16 basis points . Profit after tax for H1 FY25 is at Rs. 47 crores, an increase of 300% against the same period last year.

On the working capital front, in Q2 FY25 , our net working capital days stood at 69 days . When we exclude the impact of our recent acquisitions working capital days stood at 65 days . We could optimize 4 days of working capital compared to Q1 FY25. In H1 FY25, our working capital days stood at 75 days. If we exclude the impact of recent acquisitions completed, the working capital

days stood at 68 days .

This highlights our core business efficiency and consistent focus on cash flow optimization. This balance reinforces the financial resilience of our core business as we continue expanding through strategic acquisitions. Our commitment to disciplined working capital management remains central to our strategy.

During Q2 FY25, we have witnessed an improvement in the return profile of the company with an annualized ROCE stood at 11% and return on equity stood at 7.6% .

With this , I would like to conclude the presentation and open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Gautam Gosar from Monarch AIF. Please go ahead.

Gautam Gosar : Sir, my question is on acquisitions. So, firstly, sir, we have spent around roughly Rs. 500 crores to do a revenue buy out of around Rs. 750 crores. This is what I am referring from your Slide #11 from the PPT where the IPO proceeds have been used for working capital as well as inorganic growth. So, sir, this if we calculate it is around 0.7x of sales valuations, the acquisitions have been done. So, sir, my question is more on the side that this valuation seems to be a bit expensive from our previous acquisitions of around 0.3x sales. So, sir, if you could comment on this?

Prabhat Agrawal : Gautam, the acquisitions that we have done during this year, post IPO is almost on the same valuation multiples that we did before and we are valuing companies as EBITDA multiple and not as revenue multiple. So, if you triangulate from EBITDA multiple point of view , they are in mid-single digits .

Gautam Gosar : Also, sir, one clarification on your acquisition. So, I just wanted to understand the acquisitions you have done in this quarter like , from August you have done Gaurav Medical , Sai Pharma, Entero Healthcare Solutions Limited
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etc. So have these been in

cluded in your quarter results or will it be deferred into quarter 3? So,

basically we wanted to understand how many of acquisitions have already been included in this quarter and how many will be coming from the next quarter?

Prabhat Agrawal : So, as what Ram mentioned that Rs. 128 crore of revenue has been included in Quarter 2 , right, but this is not the full impact of acquisitions because some of these acquisitions happened during different timeframes within this quarter. So, the full impact will be felt from next quarter onwards.

Gautam Gosar : So, in your press releases , you have mentioned that the acquisition to be completed by , for example , 30th September. So, for these acquisitions , should we consider like these will be coming from 1st October onwards in your revenue topline?

C. V. Ram : See, I think 8 acquisitions we have already completed before Q2 itself and then we will have complete revenue and complete set of finances reflected in Q3. And there is one acquisition that is completed in October and then the other two we just announced recently .

Gautam Gosar : Sir, my next question is on the organic growth . So earlier like couple of quarters back , you were doing around 18 %-20% organic growth and in this quarter we have done around 15%. So, sir, have the revenue growth slowdown or is in line with our expectations? And if you could guide on this going forward, it would be really helpful ?

Prabhat Agrawal : So, Gautam, we have always guided that our internal target for organic growth is 1 .5-2 times of market growth rate. So, for the last quarter, if you look at, the market has grown by 8% and we have grown by 15%, so more or less we are within that target range. The market also has last one or two quarters, little bit slowed down in terms of growth rate, right . So, that is the reason we always give guidance in relation to the market growth rate.

Gautam Gosar : Sir, lastly , again on acquisitions, I basically wanted to understand are we getting the targets easily or the market has become very competitive, and it is difficult to find on the acquisition targets because the valuation multiple according to me seems a bit high and we have around more Rs. 300 odd crores left from the IPO proceeds. So, how much revenue expectations should we assume from the Rs. 300 crores which we have left for the acquisitions to be spent?

Prabhat Agrawal : So, Gautam, let me first answer your apprehension that the market is becoming more competitive for acquisition. That is entirely not true, and our valuation multiples have also not expanded. We are still buying acquisition in , as I told before , 5-8 times of EBITDA multiple , not more than that. None of our acquisitions have exceeded that kind of multiple threshold and it is not difficult to buy targets . Now, we have become much more selective in acquiring because we have already reached many geographies which were not before , we have expanded product portfolio. So, we are very selective on acquisitions . It is much easier in fact I would say to find targets and valuation also has not expanded , valuation multiple I mean . So, we gave guidance that this year we will complete Rs. 1,000 crore plus acquisition. We have already done Rs. 750, another Rs. 60 we have already announced and balance we will complete before end of this year. Your
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calculations on , your valuation multiple is not true. You might want to separately connect with Ram offline on that.

Gautam Gosar : Sure, I will do that offline.

Moderator : Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth : My question is on cash flows . If you see despite our efforts in terms of improving margins and improving working capital to some extent , we are still on half yearly basis , there was a year-on-year

operating cash has been negative , negative operating cash has expanded. If you can comment on how are you looking at what are our strategy to improve turnaround of operating cash flow to kind of gives us an internal field to expand internally from the internal presentation?

Prabhat Agrawal : So, basically, there are two levers to turn from a negative operating cash flow to positive operating cash flow. The number one lever is of course expansion in margin. So, we need to have more internal accruals to fund working capital requirements. And secondly , is to reduce the working capital cycle . And on both these things, you would have noticed some improvement in this quarter. The margins have improved from 2.8 to 3.3, which meant more internal accruals and the working capital cycle also reduced from 68 days to 65 days. So, 3 days of improvement in working capital cycle. And in this quarter, even though we are not giving quarter by quarter cash flow figures to you guys, but you can understand that in this quarter , the operating cash flow would have been much better than the operating cash flow of the first quarter, right, and we will continue to work on that margin expansion and reduction in working capital . Both these combined together , we will give positive operating cash flow.

Chintan Sheth : And the acquisitions which we did , say lot of acquisitions we did in August and the ones we have announced recently . If you can split the stated between the institutional side of the business, revenue coming from them and the revenue going to the retail pharmacy business because certain acquisitions are targeted mainly for hospitals and institutions and some are targeted to cover our presence , expand our presence for the retailer part, if you can highlight that?

Prabhat Agrawal : More of the acquisitions have happened for the trade market, which supplies to retail pharmacies. One or two acquisitions have a product category which reflects more of a business towards hospital, right for example, the diagnostic consumables and equipment business is more targeted towards labs and hospitals, right , while acquisitions like Sai Pharma in Hyderabad or Devi Pharma in Trivandrum , they are more targeted towards retail pharmacies or the one in Jaipur or the one in Khammam or the one in Ujjain , they are all more targeted towards retail pharmacies.

Chintan Sheth : And you mentioned in your opening remarks related to the investments required for preparing the business for future growth, the resources or employee and cash investment . If you can highlight, what sort of OPEX expansion absolute you will expect going forward in a quarterly basis or the runrate for Q2 is what we should go by as an expense line item ?

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Prabhat Agrawal : See first of all, as I told, Ram also told, and I also mentioned that acquisitions happened during different times during the quarter . So, the full impact of revenue is not there, right . So once this entire revenue unfolds into our quarterly results, which would happen from quarter 3, you would see the OPEX going down as a percentage of revenue .

Chintan Sheth : And the investments towards employees, we should expect the run rate to normalize or it will have natural growth left more addition towards the resource planning ?

Prabhat Agrawal : As a percentage of revenue, it will go down.

Moderator : Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal : Prabhat, on the acquisition that you have done for the year, how many of them have been for devices?

Prabhat Agrawal : One of them is mostly for devices.

Nitin Agarwal : Is this a Pan India player, this is a regional player that you called?

Prabhat Agrawal : It is a Pan India player.

Nitin Agarwal : And so, this particular space, are we intending to

double down on it or do similar acquisitions in this space going forward? Do we have something in the pipeline ?

Prabhat Agrawal : Yes, we have more of such in pipeline as well. This is the first acquisition we did in that space and we like this space. It has a lot of synergy with our existing business because at the end of the day, they provide us the products while we provide them the customers. So, it is a good synergy between their product and our customers. So, such kind of synergistic opportunities we

would pursue more in future as well.

Nitin Agarwal : These are hospital based diagnostics device supplies or these are retail devices. Where would these supply?

Prabhat Agrawal : These are mostly hospital and lab based , not retail. So, these are like diagnostic equipment , they have blood glucose monitors and things like that, which are mostly sold in hospitals and labs and other IVD products, vacuum collection tubes and all that. Those are mostly sold in hospitals and labs.

Nitin Agarwal : And you see the opportunity to really build this business meaningfully from the scale that you have already got from here?

Prabhat Agrawal : Yes, this business is growing. So, we will definitely want to add to that.

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Nitin Agarwal : And secondly, in terms of the number of retailers that we will probably be reaching out to after the ground of acquisition s that you have done so far. I think we mentioned we are reaching about 63,000-65,000 retailers by end of FY24. How would th at number moved up by now ?

Prabhat Agrawal : So, in first half, we sold to 80 ,000 retailers around, r etail pharmacy.

Nitin Agarwal : And where do you see this number really reaching over the next - what are the plans you have in mind over the next year and a year and a half ?

Prabhat Agrawal : Nitin, it is difficult to give the exact number because again you will hold me accountable for it. So, what we are saying, we are pursuing both growth in customer base as well as growth in wallet share. But if you look at our historical numbers, it is growing by 10% year-on-year.

Nitin Agarwal : This is including the acquisitions ?

Prabhat Agrawal : Including acquisitions, yes.

Nitin Agarwal : And in terms of, when you are looking for your future acquisitions, are there any particular regions that you are targeting ? Or basically , so when you are looking out for newer targets, is it region agnostic or you are looking at whatever good comes your way or you are specifically focused on filling gaps in certain regions and going after looking for retailers and those distributors in those regions?

Prabhat Agrawal : Yes, w e are trying to fill some gap with every acquisition , either it is a region or it is a product. So, if you look at 7-8 acquisition that we have done this year, let us say Peerless Biotech, which is the device company, it helped us to improve our gap in the device sector . On the region front, we took an acquisition in Trivandrum. We were not present there. We bought a distributor in Khammam. We bought a distributor in Ujjain, we bought a distri butor in Bijapur . So all these are region specific because we had no presence in those regions.

Nitin Agarwal : And if I can take it further, what proportion of the pin code are we covering now , with the distributor s that you have acquired ?

Prabhat Agrawal : See, you should look at that we are covering around 500 districts in India , out of 750 districts. So, ideally all the pin codes in that district we can cover. So, India has 20,000 pin codes. I don't have this number rea dily that in t hose 500 districts, how many pin codes a re there? But probably, I would say two third of the total pi n codes .

Nitin Agarwal : So, basically , I was coming more from that is about two-thirds of the districts we are already covering from the network that you creat

ed so far ?

Prabhat Agrawal : Right.

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Nitin Agarwal : And lastly, Prabhat with what you see on the network , we have been growing at 15%, which is almost 2 x the market for the last few quarters now . With you r ability to increase wallet share and to reach out to more retailers , if you take a 2–3-year view, what is the kind of sustainable organic growth we can keep maintaining in the business?

Prabhat Agrawal : Let's maintain 2 x of market growth rate.

Nitin Agarwal : That to your mind is very doable ?

Prabhat Agrawal : Yes. The opportunities are of course - addition of retail and wallet share, but also a lot of companies are doing lot more business with us, right. So, there are a lot of opportunities that come because of this extensive network that we have created and that all adds to organic growth.

Nitin Agarwal : Ram , if I can take one last one , is it possible for you to segregate the margin improvement which has come through in terms of maybe add on of higher margin businesses and maybe how would the organic margin move really speaking in the business versus last year?

C. V. Ram : There has been consistent improvement in both organic business as well in terms of gross margin from the procurement efficiencies because that is predominantly happening in organic business.

And inorganic, obviously with lucrative margins, with the acquisition profiling itself, we are having the higher margin acquisition s. So, that is also adding to the overall thing.

I think we are not at the moment disclosing the segment wise or any kind of a logical separation there. The main reason is it is not fully dialed in and it is very too early to differentiate between both.

And going forward also because there will be lots of internal transactions between like Prabhat mentioned, we have customers, and they have products. At the same time, in some other geographies, there are customers, we are like Trivandrum and all of that, whereas we can always use the product portfolio of other locations. So, this will create a lot of internal transactions and lot of internal profits and all. That is the reason we see a combined gross margin improvement and combined efficiencies.

Prabhat Agrawal : But as a guidance, Nitin, as a strategy you should take note of that we are only pursuing opportunities or acquisitions which are margin accretive. We are not pursuing any opportunity which is margin dilutive.

Nitin Agarwal : And if I can, last one up, we have already got to 9.4% gross margins now. How realistic is it to expect like a double digit gross margin at some time over the next year or so?

Prabhat Agrawal : All the levers that I mentioned before, which is better product mix and procurement efficiency, you were seeing that in the results for last few quarters. That is the reason why our gross margins have expanded continuously from 8%-8.5% to now reaching almost 9.5%, right. The juice is not finished. Still, there are opportunities quite a bit to expand from here on as well.

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Moderator : Thank you. The next question is from the line of Krupa Desai from Electrum Capital. Please go ahead.

Krupa Desai : Sir, my question was like with the complete impact of acquisition visible in H2 and as those acquisitions are high margin acquisitions, so will we see further improvement in EBITDA margins? Like in H1, we did 3%. So, can we expect on a consolidated level 3.3% to 3.5% of EBITDA margin?

Prabhat Agrawal : So, you should look at quarter-on-quarter, so for example, quarter 1 was 2.8, now Quarter 2 is 3.3, so 50 basis points has already happened in one quarter. So, we are projecting that trajectory to continue, right, because the full impact of recent acquisitions will dial in from quarter 3. Plus the other initiatives

or margin expansion is in work in progress. So, all in all, this expansion of margins would continue quarter-on-quarter.

Krupa Desai : So, we can expect 20-30 basis point improvement Q-on-Q on margins. Is that what you are trying to say?

Prabhat Agrawal : I mean difficult to give exact basis point improvement but yeah, if you look at my earlier guidance, we had said that in FY25, we should be approaching 4%, right. So last year, we did close to 3%. So this year, quarter-on-quarter, we should move on to those numbers.

Moderator : Thank you. The next question is from Shivkumar Prajapati from Ambit Investment Advisors Private Limited. Please go ahead.

Shivkumar Prajapati : Sir, I would like to understand the filtration criteria for our acquisitions. Sir, could you please explain this?

Prabhat Agrawal : So, the filtration criteria is very simple. Basically, any acquisition that we are looking at should bring something new to the network, right, because what is valuable is the network. And either the acquisition has to bring in new geography that we are not servicing today. So, it expands our geographical reach or it has to bring a new product category that we are not doing till now, like for example, we added Peerless, we added diagnostic equipment and consumables. So, our filtering criteria is basically anything that we look at to add to our network, should bring something new to the network that we were not doing before.

Shivkumar Prajapati : And sir, you have around Rs. 280 crores of unutilized fund including Rs. 45 crores for this acquisition like inorganic growth and you also have mentioned that you have already done like Rs. 750 crores of acquisition and 160 was announced. But does that mean in Q4 we won't see any acquisitions and like post this year like in FY26, the pace for acquisitions will go down?

Prabhat Agrawal : No, we think that still lot of opportunities exist in the market, there are lot of virgin spaces still left, lot of places where we can expand to. So, I don't expect at least this year, next year, our acquisitions gravity will not slow down. Maybe after FY26, we will have a look at it where more
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we want to execute on the M&A space. But this year and next year, I don't think that intensity will go down.

Shivkumar Prajapati : And when can we expect our operating cash flow to be positive?

C. V. Ram : Yes. I think with the margin improvement and then optimization on the net working capital days that we are continuously targeting, I think by next year, this should be positive.

Shivkumar Prajapati : And sir, so the promoter holding is currently 53 % to 54%. as per our strategy, we will give some portion to the people who are handling the acquired firms . so can you give what percentage of shares do they hold , like the acquired firms ' owner?

Prabhat Agrawal : I think it is 2%-3%, right. When we acquired them, we offered them this shareholding. We paid them the entire money and they used that proceeds to buy shares in Entero. So, cumulatively , I think anywhere between 2 %-3% they must be holding now.

Shivkumar Prajapati : And sir, just want to understand something on this Health Edge platform. So, how we are planning to monetize this?

Prabhat Agrawal : The Health Edge platform, basically the idea is to connect the retail pharmacies to our warehouses, whereby the technology that is being used by those retail pharmacies as is provided by us , so they can compete more effectively in the market. Monetization would happen through supply of our products to this. So, it helps us to improve the wallet share in those pharmacies.

Moderator : Thank you. The next question is from the line of Alok Dalal from Jefferies India Private Limited.

Alok Dalal : Just to confirm a few points , for FY25, you have earlier given the guidance of 35

%-40% revenue

growth , is that still on?

Prabhat Agrawal : Yes, still on.

Alok Dalal : And based on your comments , by end 4Q FY25, the company should be around 4% EBITDA margins, is that correct?

Prabhat Agrawal : Yes, that is our target .

Alok Dalal : And then, what can we expect the working capital days for March 2025?

Prabhat Agrawal : Our target will be somewhere between 60 -65 days.

Moderator : Thank you. The next question is from the line of Romil Ja in from Electrum PMS. Please go ahead.

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Romil Jain : Sir, just two questions from my side. One is on the hospital business , just how much would that business be currently and at what rate it is growing at?

Prabhat Agrawal : Around 24 % is our hospital business today.

Romil Jain : And what were the growth rates in the first half?

Prabhat Agrawal : Similar to what , our overall organic growth rate is 15%, right , so more or less in that vicinity .

Romil Jain : And sir, secondly, I just want to understand on the competitive landscape because obviously the market is pretty large and there are a lot of unorganized players also and there are a lot of other larger players also which are kind of organized. So, how do you see the competitive landscape if you can just help us understand that?

Prabhat Agrawal : See, if you look at, when we are saying organized player S, we are talking about people like MedPlus and Apollo , right , chain pharmacies , isn't it? . If you look at them, the net store additions of these players have only slowed down, right . So, the pace at which they were trying to organize the market earlier has slowed down. Everyone is now focusing on improving their financial metrics rather than increasing the store count. See, we believe that India by and large will remain fragmented on the pharmacy side, because it is very difficult to organize the pharmacies across India. There are so many unorganized players. They have been in existence for last 20 -30 years and all the stores belonging to organized pharmacy not more than 15,000, right , all put together out of, let us say 900,000 to a million pharmacies in India. So, hardly , 1.5% to 2% in terms of store count belongs to chain pharmacies or organized buyers. Rest of it is still unorganized , after 20-30 years of effort that has gone towards this. So, that gives me confidence that market would largely remain unorganized on the retail pharmacy front.

Romil Jain : Sir, how is your non -medicine portfolio doing and are we trying to even grow that, let us say the surgical, equipments , etc?

Prabhat Agrawal : Yes, today , if I look at the product level cut, almost 10% of our revenues are coming from non - pharmaceutical products which are non-medicines. So, it includes products like coronary stents, it includes products like implants , other medical devices, diagnostic equipments , surgical items which are non -medicines, so almost 10% of our revenues are non -medicines , I would say.

Moderator : Thank you. The next question is from the line of Krishna Kiran from Creaegis . Please go ahead.

Krishna Kiran : Sir, two questions, one on working capital , on the slide 11 indicates that around Rs. 300 crore increase in working capital. So, I just want to check whether all these Rs. 300 crores is inorganic route or our base business also or organic business also in the same or increased working capital in absolute terms?

C. V. Ram : Yes, in absolute terms, it includes for both. Actually , it is towards the working capital of the existing entities we have funded, but indirectly I think we also have internal accruals coming in

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from there that we can always use for the acquisitions. So, because these are all subsidiaries, we have about 46 subsidiaries and we fund their working capital and t

he efficiencies will use that

for internal accruals, which we will use for acquisitions.

Krishna Kiran : The question is, I am just trying to catch your flight, so the increase in the working capital in the last 6 months is around Rs. 300 crore s as per the presentation. Is it possible to mention that or break up that how much would have been for organic and how much would have been inorganic one - because Rs. 750 crore s of acquisition revenue, Rs. 350 looks like 150 days of working capital, it looks high, somewhere my calculations are wrong. Just want to get more sense there?

C. V. Ram : Yes, half of it you can take for the existing.

Prabhat Agrawal : Slide number 11 is not the right slide.

C. V. Ram : No, this is not the right slide. But out of this fund, he is asking me this thing.

Prabhat Agrawal : So, this time in the 6 months, we have given the balance sheet also, right you can figure out the balance sheet.

C. V. Ram : That includes inorganic -organic, that is the reason from the funds side. So, you can assume 50% Krishna.

Krishna Kiran : Sir, just one clarification because if I remember correctly like 35 %-40% growth on topline and margin 100 basis points, that is like 100 basis points is exit run rate or FY 25 completely?

Prabhat Agrawal : Exit run rate.

Krishna Kiran : And lastly, if I can, because on the minority interest, like we have seen significant jump in minority interest compared to previous quarters. So, compared with number has actually gone up, can you help us?

C. V. Ram : Yes, we did recent acquisitions. If you have noticed the announcements, we have acquired 70% and 80% about 4-5 acquisitions, which we have announced. So, this is the minority interest from there.

Moderator : Thank you. The next question is from the line of Aman Jain from Arifant Capital. Please go ahead.

Aman Jain : Sir, just wanted to understand, so in this quarter, we have seen good improvement in our gross margins by around 40 basis points and we have guided for about 100 bps expansion in EBITDA.

So just wanted to understand that in H2, do we expect gross margins to further improve or like you said that we are working in some operational efficiencies or that will drive the margin expansion or we expect gross margins to further improve from here?

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Prabhat Agrawal : So, further expansion of EBITDA margin from here on will be a combination of both gross margin and operating leverage.

Aman Jain : So, we can expect the gross margins to further improve by about 20 to 30 basis points?

Prabhat Agrawal : The exact breakup of that we are not giving that guidance. But what we are saying if we have to reach exit run rate of 4% plus EBITDA margins, so naturally, we are at 3.3 in Quarter 2, right, so that 70 basis points, part of it will come from operating leverage and part of it will come from expansion in gross margins.

Moderator : Thank you. The next question is from the line of Vaibhav Khandelwal from Laburnum Capital. Please go ahead.

Vaibhav Khandelwal : My first question was regarding the medical devices, basically the non-medicine split. Do we have any target from 3 to 5 years horizon - what the revenue share from non-medicines that is these medical devices and surgical devices and so forth would be on the revenue split?

Prabhat Agrawal : No, we don't have any specific guidance on that.

Vaibhav Khandelwal : One more question I had was regarding organized retail. So I acknowledge your points you made earlier on. Also wanted to understand from incrementally, all these Jan Aushadhi Stores coming in, I just wanted to understand the impact that Entero might have from these stores, let us say from 3 to 5-years horizon?

Prabhat Agrawal : Are you talking about generic stores?

Vaibhav Khandelwal : Yes, Jan Aushadhi stores.

Prabhat Agrawal : At the

end of the day, we are not supplying to Jan Aushadhi Stores, so they are not built into our customer base anyways, right. So that market we always count out, right. So, we don't count in our market only from beginning.

Vaibhav Khandelwal : No, I understand that my question was more an impact from a competitive standpoint?

Prabhat Agrawal : I don't see that Jan Aushadhi Stores will occupy any significant chunk of overall market going forward as well.

Vaibhav Khandelwal : Wanted to understand the rationale on that, Sir?

Prabhat Agrawal : They are different customer segments. Jan Aushadhi Centers are satisfying the needs of a different class of customers, right, not everyone is going to Jan Aushadhi Stores. People who are

prescription driven are going mostly to the retail pharmacies, right. India still has a lot of belief or the patients believe in the doctor driven prescription. They don't choose the medicines, they are not brand agnostic or they don't switch or they don't substitute, most of the people.

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Moderator : Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth : I am trying to understand the guidance part which you mentioned that 35% for this year the revenue growth. The IPM growth seems to have slowed down a little bit in terms of from low double digit to now single digit trend and if we are aspire 2x of our IPM growth, it implies mid to high organic piece of the business and remaining, you are expecting coming from inorganic growth. If you look at our first half, we are kind of integrated the consolidated around Rs. 200 odd crores of inorganic growth in the first half, you can correct me if I am wrong. That implies the second-half will be a little lumpy in terms of consolidating the revenue in our numbers. If you can throw some light on the current year and if you also tell us what is the pipeline for next year to be looked into for our understanding in terms of inorganic?

Prabhat Agrawal : So, yes, as Ram and me both said that some of these acquisitions happened during different times in first half, so the full impact will come in the second-half, right. So, you would see more inorganic numbers in Quarter 2 even if we don't do anything more from now, right. But we will continue to add more, even new acquisitions, every quarter. So, of course, the inorganic component would increase in H2 of the year compared to H1 of the year. Secondly, next year again, as we guided that this year we are looking at Rs. 1,000 crores, so we should be pursuing similar number of acquisition targets for FY26 as well.

Chintan Sheth : Sorry, come again.

Prabhat Agrawal : So, as we gave the guidance during beginning of this year that in FY25 we should be targeting to acquire Rs. 1,000 crores. So, similarly, for next financial year, we should also be similarly looking for such kind of numbers in the FY26 also.

Moderator : Thank you. The next question is from the line of Harshi Shah from Beas Capital. Please go ahead.

Harish Shah : Just a quick question, what is our blended margin for the acquisitions we have made this quarter? Is it still in the range of 6% to 8%?

Prabhat Agrawal : Yes.

Moderator : As there are no further questions, I now like to hand the conference over to management for closing comments.

C. V. Ram : I would like to thank everybody for joining the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with our Investor Relations Advisors.

Thank you once again and have a great day.

Moderator : On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Ref: 104/SE/LC/202 4-25 Date: 19/02/2025

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001.

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051
Scrip Code: 544122 Scrip Symbol: ENTERO

Dear Sir/Madam,

Subject : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call .
In continuation to our letter dated February 07, 202 5, bearing reference no. 93/SE/LC/2024 - 25, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on February 13 , 202 5 at 03:00 pm (IST) to discuss the Company's financial results for the quarter and nine months ended December 31, 202 4 is annexed herewith .
This is for your information and record s.

Yours faithfully,
For Entero Healthcare Solutions Limited

Sanu Kapoor
VP- General Counsel, Company Secretary
& Compliance Officer

Encl. a/a
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"Entero Healthcare Solutions Limited
Q3 FY '25 Earnings Conference Call "
February 13, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th February 2025 will prevail.

MANAGEMENT : MR. PRABHAT AGARWAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. C.V. RAM – GROUP CHIEF FINANCIAL OFFICER

ANALYST : MR. ANSHUMAN GUPTA – INVESTEC CAPITAL
SERVICES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '25 Earnings Conference Call of Entero Healthcare Solutions Limited hosted by Investec Capital Services India Private Limited. As a

reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Please note, this conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Anshuman Gupta from Investec Capital Services. Thank you, and over to you, sir.

Anshuman Gupta: Thank you very much. Good afternoon, everyone, and a very warm welcome to Entero Healthcare Solutions Limited Q3 FY '25 Earnings Call. I'm Anshuman Gupta, part of Investec Capital Services. I cover pharma and healthcare. On the call today, we have representing Entero Healthcare Solutions, the management team comprising of Mr. Prabhat Agrawal, Managing Director, and CEO; and Mr. C.V. Ram, CFO. I will now hand over the call to the management team to make opening comments, and then we will open the floor for questions. Over to you, Sir.

Prabhat Agrawal: Yes. Thank you. Thank you, Anshuman, so much. This is Prabhat and good evening, everyone and thank you for joining our earnings conference call to discuss the operational and financial performance for Q3 FY '25. On this call, I'm joined by Ram, our Group CFO; and SGA, our Investor Relations advisors. I hope everyone had an opportunity to go through the financial results and investor presentation, which has been uploaded on the Stock Exchanges and on our company's website. I shall provide a brief overview of the key operational highlights after which Ram will take you through the highlights of our Q3 FY '25 financial performance.

We are pleased to report yet another quarter of strong growth and consistent execution at Entero Healthcare. In Q3 FY '25, our consolidated revenue reached INR1,359 crores, reflecting a robust 37% year -on-year growth from INR993 crores in the last year same quarter . Our organic growth stood at 17%, significantly outperforming the Indian Pharmaceutical Market (IPM) growth rate of 7% during the same period.

Our gross profit for the quarter stood at INR133 crores, a 48% year -on-year increase with gross margin improving from 9.1% in Q3 FY '24 to 9.8% this quarter. The EBITDA grew 75% year -on-year to INR50 crores, with EBITDA margin improving from 2.9% in Q3 FY '24 to 3.7% in this quarter. The improvement in profitability underscores our focus on enhancing the product categories, adding more value -added services, and driving procurement efficiencies. Further with the revenue growth and use of technology, the operating cost leverage is also helping in expansion of EBITDA margins.

Till date in FY '25, we have completed 10 acquisitions, which have collectively contributed INR792 crores in annualized revenue. These acquisitions have expanded our presence into new
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geographies and product categories such as diagnostic consumables, medical devices, and specialty pharma.

Entero has strategically established itself as a leading player in India's highly fragmented healthcare distribution ecosystem. With the Indian healthcare distribution market valued at \$33 billion, we see significant potential for consolidation that could fundamentally reshape the

sector. To capitalize on this transformative opportunity, we have adopted a well -calibrated approach that combines both organic and inorganic strategies.

For organic growth, our focus is on expanding our geographical footprint, deepening our market penetration, and increasing wallet share with existing retail pharmacies. We aim to grow our organic business at 1.5x to 2x of Indian Pharmaceutical Market (IPM) growth rate by adding new customers and expanding our product portfolio.

For inorganic growth, we have a disciplined acquisition strategy, targeting businesses that enhance our geographical reach or expand our product and service offerings. We have built a robust acquisition pipeline where many of them are in advanced stages and nearing closure.

Leveraging our expansive and continuous growing pan -India network - comprising 104 warehouses, relationships with over 3,200 hospitals and reach to more than 86,200 retailers nationwide - we remain steadfast in delivering significant value to healthcare brands. Our SKU portfolio has expanded to over 76,600, ensuring that we are well positioned to cater to the diverse and evolving needs of our customers. Currently, we are actively deepening our market presence in Tier 2 and Tier 3 cities, unlocking untapped growth opportunities, and enhancing our wallet share in these underserved regions.

We remain extremely excited about the potential and the opportunities that Entero all-India distribution network , infrastructure and capabilities can bring to enhance the healthcare access

and supply chain efficiency in the country.

Our strategic priorities are well articulated and serve as a clear road map for our future initiatives :

Number one, expanding market reach and portfolio . We remain committed to deepening our geographical footprint, broadening our customer base, and enhancing our product portfolio through collaboration with healthcare brands.

Number two, diversifying product offerings. We'll continue to introduce new product categories such as specialty pharmaceuticals, medical devices, in vitro diagnostics (IVD) , and surgical consumables, solidifying our position as a one -stop procurement partner for our customers.

Number three, enhancing service capabilities . We aim to continuously expand our value -added services, including marketing and promotional support for healthcare brands, along with innovative solutions like HealthEdge , to deliver a differentiated and integrated service experience.

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These strategic initiatives collectively position us to achieve market -leading organic growth and establish Entero as a partner of choice for both healthcare brands and our customers, including pharmacies and hospitals.

We remain dedicated to expanding our operating margins by leveraging key drivers such as adding margin -enhancing product categories, more value -added services and enhanced procurement efficiencies and the benefits of operating leverage. Our focus is on delivering consistent quarter -on-quarter improvements in these metrics to strengthen profitability and operational resilience. Further, through operational excellence initiatives and use of technology, we will continue to work on improving our working capital cycles and operating cash flow.

I extend my heartfelt gratitude to our team for their unwavering dedication and to our shareholders for their steadfast support and trust in our vision. With this, I will now ask Ram to summarize the company's financial performance for Q3 and 9M FY '25.

CV Ram: Thank you, Prabhat, and good evening, everyone. Summarizing below Q3 FY '25 consolidated financial highlights.

Revenue for Q3 FY '25 is at INR1,359 crores, registering a growth of 37% compared to same period last year. 17% of this growth is organic and 20% is from acquisitions. As mentioned by Prabhat, we have completed 1

0 acquisitions so far in FY '25 and we have recorded INR197 crores revenue during the quarter from these new acquisitions.

We recorded gross profit margin of 9.8% in Q3 FY '25 vis -a-vis 9.1% in Q3 FY '24, an improvement of 73 basis points. The improvement in gross margin is a result of our continuous effort to scale high -margin product categories, value -added services and initiatives taken by us for procurement efficiencies.

EBITDA for the quarter is at INR50 crores with a growth of 75% on year -to-year basis. EBITDA margin in Q3 FY '25 is 3.7% compared to 2.9% in the same quarter last year, recording an improvement of 80 basis points, primarily coming from the gross margin improvement and operating leverage. We continue to make significant investments in talent, process improvements and technology to support the integration and expansion of recent acquisitions.

Profit after tax for the quarter is at INR29 crores, increasing by more than 4x compared to last year's same period. This spurt is on account of higher EBITDA and optimized net finance costs. Now coming to 9M FY '25 consolidated financial highlights.

Revenue for 9M FY '25 is at INR3,757 crores with a growth of 30% year -on-year basis. Gross profit margin stood at 9.5% compared to 9% during previous year same period. EBITDA for 9M FY '25 is at INR123 crores, an increase of 48% year -on-year basis. Operating margins for 9M FY '25 are 3.3%, which is an improvement of 39 basis points compared to previous year. Profit after tax for 9M FY '25 is at INR76 crores, up by 4x from INR19 crores recorded in the same period last year.

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On the working capital front . In Q3 FY '25, our net working capital days stood at 69 days, including acquisitions. We will continue to focus on efficient working capital management, and this will remain a core pillar of our financial strategy going forward.

During Q3 FY '25, we have witnessed an improvement in return profile of the company with an annualized ROCE stood at 12.3% and ROE stood at 9%. This improvement is primarily coming from the margin improvement during the quarter.

With this, I would like to conclude the presentation and open the floor for questions and answers.

Moderator: The first question is from the line of Sajal Kapoor from Antifragile Thinking .

Sajal Kapoor : Health care to my mind now as well as in the future is all about ATA, ATA that is Accessibility, Technology and Affordability . So in that context, Slide 29, what characteristics of the platform are unique to Entero? And how do these proprietary features provide a competitive advantage?

Prabhat Agrawal: Yes, very, very good question. I personally believe technology can play a big role in driving efficiencies in healthcare supply chain, okay? Just to give an example, there are many, many items in technology, which helps in improving things . But I'll just give you a very simple example of ordering. Now most of the ordering is happening on app -based ordering is happening or web -based ordering is happening .

A few years back, all the orders were manually collected by our salespeople or through telephone calls, which was a very inefficient process because when you order to a salesman, he will not be able to remember all the SKUs. He will not even know which SKU s are in stock. Then he will transfer those orders to our billing guy in warehouse. Then the billing guy will punch in the orders. Accordingly, the products will get invoiced and all that.

Today, the customer at his own convenience can order looking at our inventory in our app and place an order and he can get invoiced immediately. He will also know which products are in stock, what are the schemes running on those products. All this information is available transparently to him through tech. And even the ordering process has been so simplified for him - that or

der to dispatch time reduces significantly because the moment he places an order, the order is already captured in the system .

So this helps him to reduce his stock levels at his own retail pharmacy, reduces expiry. A lot of information and data that we provide to the healthcare brands can help them to optimize their own inventory, reduce the expiry rates. So wastages and all can be reduced significantly.

So some of these technologies, we have built in -house, and we are using it to drive our business performance and also helping the customers to improve their customer experience. This is just one example. There are many such examples, which where the use of technology is helping in driving efficiency in the healthcare supply chain.

Moderator: We now invite the next question, which is from the line of Devanand Mohan from Avendus Spark.

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Devanand Mohan : I just have a couple of questions. First one is, can you give me a breakup of the other segments, sir, like when I'm talking about the sales and marketing as well as the private label business. It was in the single digits. Just wanted to know where it is now?

Prabhat Agrawal: Sorry, can you please repeat? I lost you in the last part of your question?

Devanand Mohan: So, I just want to know the breakup of other segments, particularly the sales and marketing segment as well as the private label segment, where it is currently in terms of revenue mix?

Prabhat Agrawal: We haven't kind of disclosed the breakup between sales and marketing and other services because most of these are integrated in nature. Where we are taking contracts with the companies, we are taking both marketing as well as distribution rights.

But one of the margin lever is also when you engage more deeply with the companies and do more value -added services to them, which includes marketing, promotion, and all that, that helps us to grow your gross margin profile. And that's also one of the reasons you will see that our gross margin profiles have gone up in last few years and last few quarters.

Devanand Mohan: I could see that. So I don't need the breakup of those two, but probably those two put together would probably increase in the revenue mix, right, sir, maybe in low double digits now?

Prabhat Agrawal: Yes, it's not, see, distribution is the majority of our business. The marketing services is a small part of the business, but has a good impact on the margins.

Devanand Mohan: And the next one would be like what would be the EBITDA margins of the acquisitions that have been scaled up, the scaled up acquisitions?

Prabhat Agrawal: Sorry, what are the EBITDA margins for the recent acquisitions you are asking?

Devanand Mohan: No, no, no, the acquisitions that you've already scaled up.

Prabhat Agrawal: So every business is continuously scaling up. The businesses there are certain geographies where we are enjoying 20% market share also. And there could be geographies where we are enjoying 5% market share . But even this 20% market share geography, we can still scale up because we still see a lot of opportunity in scaling up even in those micro markets.

As we continue to grow, when you continue to grow and occupy a dominant market share, it helps you in many ways. It helps you in implementing your credit policies. It helps you in getting to a better working capital cycle. You can optimize inventory, you can collect the money more in time from with the retailers, your operating cost as a percentage of revenue goes down.

So there are many advantages of scaling up . I mean, we have not given the breakup or we have

not classified any of our entities as scaled up and something which has not scaled up.

Devanand Mohan: But sir, but scaled up in the sense that I meant integrated, like integrated fully into the business?

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Prabhat Agrawal: All our entities are fully integrated in our business. Once we do the acquisition, next 3 months, we spend on integrating them to our policy, procedures, systems, ERP, tech, buying pattern, everything gets integrated in the next 3 months from the acquisition date.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking .

Sajal Kapoor : I lost my connection. So apologies, but yes thanks for the follow up. On the technology thing,

Slide 29, I mean, how scalable is this technology? And can we use this technology to support

10x as many hospitals, 10x as many manufacturers as we are doing today?

Or what parts of this and as I add on, what parts of this platform are getting prioritized for future investment and development? I mean what I'm trying to understand is this could potentially be a very high ROCE kind of a stand-alone revenue stream. I mean, how scalable is this basically?

Prabhat Agrawal: See, we are not selling technology as a separate revenue line, okay . So the technology is basically integrated with our business operations to drive a better customer experience or to drive more efficiencies at our warehouses and our delivery . So as of now, we are not monetizing technology as a separate business line for us, okay .

Now coming back to your question on how scalable it is, the platform is an open platform.

Today, 86,000 retailers are using it. Even tomorrow, 150,000 retailers can use it because it's the same technology. We have already done all the development work, tested in the market.

Customers are enjoying a similar service on that. So what we need to do is to just maintain it .

There could be a lot of small value adds that we can build around it. Like, for example, we are working on a system where we are creating a wallet for the retailers. So any additional offers and all, we can put them in their wallet. They can use that wallet to buy our private label. So those add-ons, we continue to innovate and build.

Sajal Kapoor: And one book-keeping question for Ram. On the operating cash flow, I mean, both organic and inorganic flavor. So adjusting for or excluding inorganic was operating cash flow positive? What is the outlook for the operating cash flow?

CV Ram: So currently, from the operating internal accruals to what we are spending for the working capital, operating cash flow is negative currently. And we are improving quarter-on-quarter, and then we expect this to be positive by next year.

Prabhat Agrawal: We are very, very confident that next year, our operating cash flow will surely be positive.

Sajal Kapoor: Even including the ongoing inorganic?

Prabhat Agrawal: So excluding investments, when we say operating cash flow, operating cash flow means internal accruals to fund your own growth and taxes and all that paid from that . So for investments, we raised this IPO funds, which we are using to purchase more assets in the country. But operating cash flow is for organic business.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

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Chintan Sheth : Great set of numbers. A couple of questions on the acquisition part, the pipeline you mentioned has been pretty strong in your opening remarks. If you can give a little bit more color on how one should look at , because that piece will be a significant part of our overall growth strategy going forward .

So if you can provide some colour - what are the areas, which are the geographies we are currently looking at, and some guidance in terms of whether the similar run rate likely to continue for upcoming period or not? That will be the one question and I'll follow up with another question.

Prabhat Agrawal: So if you look at the guidance that we had given at the beginning of this year was that we should be

able to do INR1,000 crores of inorganic acquisition during the year. So out of that INR1,000 crores, we have already done INR800 crores, close to INR800 crores .

So balance INR200 crores or more we are targeting that we should be able to do in this fourth quarter. And we have enough funds left. We have enough opportunity left with us to pursue a similar kind of numbers going forward in the next year as well.

Chintan Sheth: And second is, if I look at the margin improvement and all, if you can quantify a little bit in terms of how much has come from product mix, how much has come from procurement

efficiency - that gives us a direction to at what lever is still available for us to further improve our margins through procurement efficiency because of the scale, which we'll be able to achieve by these acquisitions.

Prabhat Agrawal: If you look at this quarter, our gross margins have expanded by around 70 basis points. Now the breakup of this 70 basis points into various levers is difficult to give on this call, okay? But what I can say to you that this is not exhausted. There are still a lot of opportunities left in further expanding our gross margins - because the levers that are being applied to expand the gross margin, things like more value-added services, scale-based procurement efficiency, that has not played out completely. I would say it's still a small part that we have been able to leverage on right now. So still a lot more to go in future as well.

Chintan Sheth: And lastly, on the inorganic side, do you see the market a little tightening or the ask has been increasing, which might slow us down in terms of our comfort to acquire distributors going forward? Or we are comfortable, even the current scenario is comfortable enough to target such kind of the number you have guided that we will be able to achieve?

Prabhat Agrawal: So market is very conducive. There are lot many sellers. The buyers are very, very few. There are only two or three organized players, out of which we are the most active one. So the equation is very unbalanced. There are lot many sellers than buyers.

Moderator: The next question is from the line of Bhargav from Ambit Asset Management.

Bhargav: Sir, is it fair to say that once we become a positive operating cash flow post-working capital company, the pace of acquisition can actually see a leg up?

Prabhat Agrawal: Sorry, last point, pace of acquisition could be a...

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Bhargav: Increasing in momentum?

Prabhat Agrawal: So I think the pace of acquisition is dependent more so on the right set of targets that we need to close, okay? It's not that we are not closing anything because of lack of funds or anything like that. We haven't closed anything in the last quarter specifically, we couldn't close the transactions that we want to close.

They need to have a right fitment into our business model. Either they are adding a new geography or adding a new product segment that we don't operate in. So to answer your question, it's ability to have more cash to invest doesn't necessarily bring you more acquisition opportunities.

Bhargav: And sir, of the acquisitions that we would have done in the last 2 years, how many of those entrepreneurs would have continued to stay with us post the acquisition?

Prabhat Agrawal: Most of them. Majority of them.

Bhargav: And that still continues. Most of them still continue to be with us.

Prabhat Agrawal: Yes, yes.

Bhargav: Because if I remember correctly, earlier, we used to give sort of equity for them. But now post we getting listed, what is the incentive for them to stay back?

Prabhat Agrawal: So some of the acquisitions that we have done recently, we haven't done 100% acquisition. So it's 70%, 80% stake that we have taken, and we have a call option to buy the rest. So they are continuing with us. And if you

u meet some of these promoters, this is what they know doing. This is what they do. This is a business that they understand.

So most of the people have joined hands with us to grow with us, not to monetize their assets.

Their holdings, we are monetizing anyway, but they see a bigger value in growing with us.

Bhargav: And lastly, sir, on the hospital side, are we also contemplating that we manage the entire procurement of hospitals? Is that also a business we want to pursue aggressively?

Prabhat Agrawal: Yes, that's an idea that we continuously debate on and we also get offers to do that, okay? As of now, we have not taken up any contract where we are 100% responsible for the entire hospital procurement. But this is something that looks very interesting to us. Maybe in times to come, we would pursue and close some of those opportunities.

Bhargav: And in that, is it fair to say that our share of private label, especially in consumables or surgical items, we can also push that?

Prabhat Agrawal: Yes. If you have a complete control on the procurement of any entity, any hospital or pharmacy or anyone, you would have a much better chance of pushing your private label because then you are deciding which brands will come in.

Bhargav: And globally, is it popular this model or not that popular?

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Prabhat Agrawal: Sorry?

Bhargav: Globally, is this...

Prabhat Agrawal: Globally, it has been done in many countries. They have a group purchasing office. So basically, it's like a GPO concept where they outsource the procurement to some larger entity who consolidates the requirement of many small entities and aggregate the requirement and tries to get a better pricing and deal from the manufacturers.

Bhargav: And on this quick commerce, there have been talks that they will also start selling OTC. Are we in discussions with the quick commerce platform?

Prabhat Agrawal: See, we still have to see how does the quick commerce perform in the pharma segment. I tell you the pharma as a category has 3 complexities, which other categories don't have. Okay? Number one is the SKU complexity. If you want to give a full service to all pharmaceutical products to a customer, which typically a prescription would have 3, 4, 5 drugs written in it, then you'll have to maintain a huge SKU list. It might be difficult for you to give a 100% fill rate from your dark store. That's number one.

Number two is how would you address the prescription requirement in those 10 minutes or 15 minutes of time that you have. And third, there are issues around managing the trade associations and pharmaceutical AI OCD and others. So these are the key complexities that any quick commerce company would have to encounter before they try to scale up pharma as a category on their platform.

Moderator: The next question is from the line of Gautam Gosar from Monarch AIF.

Gautam Gosar: So my question is on net working capital. So in Q1, you had around 71 days of net working capital and 69 days for Q2 and Q3. But in your presentation, you mentioned around 75 days working capital for the 9 months. So I didn't understand how much exactly is our net working capital days?

CV Ram : 69 days is the working capital days for the quarter three. 75 days is for the 9 months. So the way it worked out is - you have debtors plus inventory minus payable and then divided by the revenues grossed up with the GST of 12%.

Gautam Gosar: Okay. But for all the quarters, our working capital has been less than 71 days and for 9 months how is it 75 days?

CV Ram : No, no. Actually, this comes because on the 9 months thing, we have announced acquisitions and we have closed acquisitions in the second part of the Q2 and Q3. So from the revenue if you divide, the working capital comes in full. Because when we acquire, the working capital is 100% is

added to the base, while the revenue is only for 3 to 4 months. That is the reason you will see this number slightly higher.

Gautam Gosar: So basically, I was asking what should be our aspiration for the net working capital days coming down?

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CV Ram : Definitely, I think there is an additional 5 to 6 days we can definitely optimize from the current level over the next 12 months.

Gautam Gosar: Okay. And one more question on the same lines. We are currently operating cash negative. So at what margins will we get operating cash positive?

Prabhat Agrawal: So operating cash flow is a function of 2 things. One is margin and second is optimization in working capital. We believe that even at current margins, we should be operating cash flow positive just by improving our working capital, okay. And the further improvement of margins from here should result into a bigger positive delta on operating cash flow.

Gautam Gosar: Okay. Understood. And sir, lastly, you recently announced the convertible debt of around INR600 crores. You've taken an approval for that. Can you highlight like for what reason is it?

And what should be the timeline for the same?

CV Ram: This is between the wholly owned subsidiaries and the parent. And this is more internal efficiencies in terms of funding the subsidiaries. And there are intercorporate deposits already there and it will be cash flow neutral at overall level. So this is internal structuring.

Moderator: The next question is from the line of Alok Dalal from Jefferies India Private Limited.

Alok Dalal: Prabhat, will you still be able to achieve your FY '25 revenue growth guidance of 35% to 40%?

Prabhat Agrawal: That will depend on how soon we are able to close some of these impending acquisitions in this quarter.

Alok Dalal: Because even if I assume that you are able to close, then the implied growth rate will be anywhere between 49% to 68% versus 4Q '24. Is that achievable?

Prabhat Agrawal: I mean, the more we take time, the more difficult it becomes.

Alok Dalal: Okay. And one more guidance was about 4% EBITDA margin for the exit quarter, which is 4Q '25. Will you be on track to achieve that?

Prabhat Agrawal: We are targeting that, Alok. See, quarter-on-quarter, we have been able to deliver EBITDA

margin improvement. So we'll continue to target improvement in this quarter as well.

Alok Dalal: Got it. Prabhat, you mentioned the delays in closing acquisitions. I missed the reason for that.

Can you please help understand why are the acquisitions getting delayed?

Prabhat Agrawal: There's no specific reason. Some people were not available and it's just procedural. There is no specific reason that we are not able to find opportunities or anything like that. It's just that those identified opportunities, we have taken a little more time to close it. I mean, the negotiations have taken a little more time to close it.

Moderator: The next question is from the line of Romil Jain from Electrum PMS.

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Romil Jain : So just want to understand, on the acquired companies, how much levers would be left in getting to the EBITDA margin targets that we have at a consolidated level? So of course, I mean, we are working towards that. But just want to understand where does the subsidiary EBITDA margin stand together?

Prabhat Agrawal: So EBITDA margin improvement is not going to come only from new acquisitions. It has to come from our existing business, which is still the largest part of our business. So the new acquisitions have just added more scale, added us the capability to bargain more. That's it. I mean it's not that the improvements will only be reflected in the new acquisitions.

Romil Jain : Okay. But when we acquire broadly, where are they in terms of margins?

Prabhat Agr

awal: We have given I think last time we have given what, 6% to 8%

CV Ram: Broad range combined.

Romil Jain : Okay. And sir, because we are continuously as a strategy, we are acquiring. And I think the competitors would also have an understanding of this strategy. So in general, has the valuations also started increasing when we are out there to acquire?

Prabhat Agrawal: How many people are there to acquire? How many people are out there to acquire? They are very, very few. I mean, the only two, three people are in organized distribution space, out of which only one or two are chasing. I mean one of the competitors is not even pursuing any acquisition. They are struggling for their own fund management. So I don't see any pressure on valuation at all.

Romil Jain : Okay. And lastly, I just want to understand the wallet share gains with the existing the chemists that we have, if you can give some data points how the wallet share has moved over a period of time?

Prabhat Agrawal: This data is not specifically available right now on the call. Maybe you can connect with the finance team or Investor Relations team. They will share with you some data points on the same.

Moderator: The next question is from the line of Yash from Dalal & Broacha.

Yash : Congratulations on a great set of numbers. Sir, my question is with regards to the acquired entities. So how should we think about the working capital of the acquired entities?

Prabhat Agrawal: More or less similarly with the rest of our business.

Yash: Okay. So as around 70 days?

Prabhat Agrawal: Just a bookkeeping that's a little bit different, what Ram tried to explain to you. That when you acquire somebody, you acquire the full working capital and it gets reflected in the balance sheet.

But revenues you only consolidate from the time of acquisition.

Yash: So if at all, they are similar to us in terms of working capital. So then, the goodwill should be a lower part. Is my understanding correct?

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CV Ram: Goodwill should be. Sorry, we couldn't hear you. Goodwill should be?

Yash: On the lower side.

Prabhat Agrawal: See, goodwill depends on two things, not only working capital, but also on the margin profile. I can tell you that the multiples are in the similar range.

Yash: Okay. And so you mentioned that 6% to 8% should be the gross margin range of the acquired entities. So EBITDA level, what should be the ...?

Prabhat Agrawal: 6% to 8% is EBITDA margin, not gross margin.

Yash: 6% to 8% is EBITDA margin?

Prabhat Agrawal: Right.

Yash: Okay. So they're better in terms of margins than us?

Prabhat Agrawal: Yes, we are not pursuing low margin businesses. We are only pursuing margin accretive businesses.

Moderator: The next question is from the line of Aman Jain from Varanium Capital.

Aman Jain : Sir, just wanted to understand on the organic growth part. So one part is that we are expanding on pan -India level through inorganic acquisitions. But on the organic growth part, sir, once we are done with the strategy of inorganic growth, so how do we plan to scale our operations on pan-India level other than the value -added services?

Prabhat Agrawal: So we said that the guidance that we have given is that organic growth, we should be able to deliver between 1.5x to 2x the market growth rate . Now this delta of 0.5 x to 1x of market growth rate will come from adding more customers, adding more products. There are many categories that we can expand, which we are not doing. There are many set of customers we can expand. There are many companies that we partner with. Just to give you an example, next year, we are looking at a good growth or good launch of GLP -1 drugs . We partner with them and enjoy the growth.

Aman Jain: So my question was more related that do we have any plans to set up a company by ourselves

instead of acquisitions? And like, for example, if we set up a company in Mumbai and for further expansion.

Prabhat Agrawal: See, we open branches of our existing entities into nearby market. That's the part of our organic growth strategy. To add more customers, to be closer to the customers.

Aman Jain: My second question was on the margin front. So this is more of a broader question, sir. So, currently, we are inching towards 10% gross margins and about 3.7%, 3.8% EBITDA margin.

So what is the optimum level of margins that we can expect in this business?

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Prabhat Agrawal: See, the guidance that I had given at the time of IPO as well as in subsequent investor meetings, we said that near -term, by end of this year, we should be targeting 4% EBITDA margin. And by end of next year, we should be targeting 5% EBITDA margin. And then from there, we grow from there. But these are the near -term target guidance that we are giving.

Moderator: The next question is from the line of Akul Broachwala from Avendus Investment Managers.

Akul Broachwala : Just in terms of your procurement strategy, so as and when like you continue to gain scale, are we in a position to get some margin benefit or some benefit in terms of working capital from the pharma companies on procurement side?

Prabhat Agrawal: We get benefits on margins based on the scale. We get schemes , offers , quarterly annual volume - driven targets.

Akul Broachwala: And so is this, how do we plan to kind of manage our working capital as well , by kind of elongating our payable days further?

Prabhat Agrawal: Not so much on the payable days. We haven't seen a huge improvement on the payable days. But then more you scale up your business, the more dominant you become in the market. You can optimize your inventory better. You can manage your receivables better , because the shop is more dependent on you. So he's more likely to accept whatever terms you offer to him. So there are many ways the scale helps us in optimizing your working capital, not only from the payables to suppliers.

Akul Broachwala: Understood. And second question is on your acquisition strategy. So are we kind of focusing more on distributors who are in Tier 1 or metro cities or more probably towards Tier 2, Tier 3 kind of setup?

Prabhat Agrawal: Even in, where we see that we are a very, very small player in metro city. I mean, there are very few large metro cities left for us where we are not a significant player. Plus Tier 2 and Tier 3 cities where we have opportunities, which is underserved, we are not able to reach from one of our existing entities or from one of our existing warehouses properly. So that's what we are targeting even Tier 2, Tier 3 cities.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth : One question I had was on the acquired entities for this year. So far, how much we have spent in terms of capex ? And if you can bifurcate what will be the proportion of goodwill in it and what will be the working capital which we have consumed?

CV Ram: Yes, close to INR300 crores is what we have spent so far on the acquisitions. The total goodwill & incremental goodwill I just give you. Total INR430 crores is the total goodwill and then incremental will be about close to INR200 crores.

Chintan Sheth: INR200 crores is goodwill increment. Okay. And in terms of other income run rate, which we have seen from Q1 to Q2 and Q2 to Q3, there is a slight deceleration. How should one look at

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other income going forward as we consume our capital? I believe that is the reason why our

other income i.e. interest income has been tapering off .

CV Ram: That's correct. Broadly, that is correct. I think we deployed from Q2, Q3 onwards. So that's when
th

e interest income has come down. Overall finance cost, we have net positive finance cost this year compared to last year. We have about INR7 crores net positive income from the finance.

Moderator: The next question is from the line of Unnati Bhavkar from Share India.

Unnati Bhavkar : Just a couple of questions. What could be your pan -India market share individually? You had mentioned it before that for the top three players together, it is around 8% of the market. So, has that particular market share has increased in this quarter , if you can share it?

Prabhat Agrawal: Yes. If you look at pharma market as somewhere onwards of INR2 lakh crores, we will be around 2%, 2.5%.

Unnati Bhavkar : So incrementally, has there been any change? Or has it been constant around 2%, 2.5%?

Prabhat Agrawal: How can it be constant when we are growing our growth rate much higher than the industry growth rate? Definitely, the market share is going up, growing.

Unnati Bhavkar : Okay. So comparative number, would you be able to share year -on-year basis?

Prabhat Agrawal: Sorry, what? Which number?

Unnati Bhavkar : Like Q3 '24, what could have been your market share then individually?

Prabhat Agrawal: See, you have our revenues for Q3. You have the IPM market. You can calculate what's the market share. And you can see what is our market share now.

Unnati Bhavkar : So the private label share of the revenue was mentioned last time at around 1% of the revenue. So has it been around the same percentage or has it increased in this quarter?

Prabhat Agrawal: No much significant change.

Unnati Bhavkar : Okay. And you expect it to be around the same number going forward over short to medium term?

Prabhat Agrawal: We are targeting to grow this for sure. But to make meaningful change - because our revenues from other than private label is also growing so significantly. Even to just maintain the same share and our revenue growth for this year is 37%. So just to maintain the same share, the private label has to grow 37 %, right - which is not an easy task.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the floor over to the management for closing comments.

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CV Ram: I would like to thank everybody for joining the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with our Investor Relations Advis ors

SGA. Thank you once again and have a great day.

Moderator: Thank you, sir. On behalf of Investec Capital Services India Private Limited, that concludes this conference call. Thank you all for joining us, and you may now disconnect your lines. Thank
you.

Call: Feb 2025

Ref: 24/SE/LC/2024-25 Date: June 06, 2024

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001.

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai- 400051
Scrip Code: 544122 Scrip Symbol: ENTERO

Dear Sir/Madam,

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call.
In Continuation to our letter dated May 24, 2024, bearing reference no. 13/SE/LC/2024-25, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on May 30, 2024 at 15.00 hrs (IST) to discuss the Company's financial results for the Quarter and Year ended March 31, 2024 is annexed herewith.
This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Jayant Prakash
General Counsel, Company Secretary & Compliance Officer
(Mem: F6742)

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"Entero Healthcare Solutions Limited
Q4 FY '24 Earnings Conference Call"
May 30, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 30th May 2024 will prevail.

MANAGEMENT : MR. PRABHAT AGARWAL – MANAGING DIRECTOR,
CHIEF EXECUTIVE OFFICER AND CO-FOUNDER
MR. PREM SETHI – WHOLE-TIME DIRECTOR AND
CHIEF OPERATING OFFICER AND CO-FOUNDER
MR. CV RAM – CHIEF FINANCIAL OFFICER
ANALYST: M R. NITIN AGARWAL – DAM CAPITAL ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Entero Healthcare Solutions Limited Q4 FY '24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you and over to you, Mr. Agarwal.

Nitin Agarwal: Thank you. Hi, good afternoon everyone and a very warm welcome to Entero Healthcare Solutions Limited Q4 FY '24 Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have representing Entero Healthcare Solutions, the management team comprising of Mr. Prabhat Agarwal, Managing Director and CEO, Mr. Prem Sethi, Whole-Time Director and COO and Mr. CV Ram, CFO. I will hand over the call to the management team to make the opening comments and then we'll open the floor for questions. Please go ahead, sir.

Prabhat Agarwal: Well, thank you. Thank you, Nitin, so much for making the introductions and good evening everyone and thank you for joining our conference call to discuss the operational and financial performance for quarter 4 as well as for full year financial year 2024. On this call, I am joined by Prem, Whole-Time Director, COO and Co-Founder of the company, Mr. CV Ram, Group CFO and also our colleagues from SGA, Investor Relations Advisors. I hope everyone has had an opportunity to go through the financial results and investor presentation which has been uploaded on the stock exchanges and on our company's website.

I shall briefly provide a brief introduction to our company along with the key operational highlights after which Prem will take you through our acquisition growth strategy and Ram will delve into our financial performance. Just to recap briefly, Entero Healthcare Solutions Limited has swiftly emerged as one of India's largest and fastest growing healthcare product distribution platforms. Our vision is to create an organized pan-India technology-driven and integrated healthcare product distribution network that adds value to the entire healthcare ecosystem. Our growth strategy has been two-fold; organic expansion and strategic acquisitions. We have made 35 acquisitions since our foundation which has significantly bolstered our market presence and operational capabilities. Additionally, yesterday we announced three more acquisitions which were approved by the Board of Directors.

Since our inception six years ago, Entero has rapidly expanded its footprint across India. As of March 31, 2024, we operate 79 warehouses spread across 39 cities serving over 86,300 retail pharmacies and 3,500 hospitals. This gives us the widest customer reach in the entire country. Our extensive network includes relationships with more than 2,000 healthcare product manufacturers giving us access to over 68,900 stock-keeping units. This robust infrastructure positions Entero as one of the top three healthcare product distributors in India by revenue. Our vast product range coupled with technology-driven inventory management and customer service Entero Healthcare Solutions Limited
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helps us to deliver very high fill rates for our customers and thereby creates very sticky value proposition for our business.

Our nationwide geographic presence along with our propriety technology helps us to provide extensive distribution reach and valuable insights for the manufacturers and brands that work with us. Driving on our unique business model in just six years, our operations experienced remarkable growth with our revenue reaching INR3,922

crores in FY '24.

Further, FY '24 has been an eventful year for us with total operating revenue of INR39,223 million which is an increase of 19% over last year against a pharmaceutical industry growth rate of 7.6% and accompanied by an expansion in margins which led us to turn back positive for the year. Similarly, in the fourth quarter of FY '24, the company registered 17% year-on-year increase in revenues reaching INR1,034 crores, again delivering a growth which outpaced the Indian pharmaceutical market growth rate of 6% for the quarter.

Looking ahead, our focus is on driving growth through both organic and inorganic opportunities. With the successful completion of our IPO in February 2024, we have strengthened our balance sheet giving us the financial flexibility to pursue these strategic initiatives. We are very confident of delivering 35% to 40% revenue growth in FY '25 driven by organic growth of 20% against an expected IPM growth of 8% to 10% and at least INR1,000 crores of distributed acquisitions. We have acquired up to now four entities which had historical revenues of INR170 crores. There is a robust pipeline of acquisitions which we are working on and are confident to close in the next few months. This revenue expansion driving operating leverage, apart from our procurement efficiencies and product mix, can help us to deliver 100 basis point improvement in EBITDA margins in FY '25. We have already delivered 100 basis point improvement in margins in FY '24 over FY '23.

With this, I will now request Prem to share his thoughts on our acquisition growth strategy.

Prem Sethi: Great, thank you Prabhat and good evening everyone. Entero aims to capitalize on industry

consolidation, leveraging its access to capital, better resource management, scale advantage and superior technology. The recent fundraise from the IPO positions Entero well to acquire distributors and expand its market further.

Our strategy involves acquiring distributors at reasonable valuations, scaling up the acquired businesses by increasing SKU counts, expanding to new territories, enhancing customer reach. Well, this strategy not only provides immediate market entry but also drives substantial post-acquisition growth. Post-acquisition, Entero focuses on integrating the acquired businesses with its existing operations, optimizing processes and leveraging its technological infrastructure to enhance service delivery and operational efficiencies.

In the year FY '24, we have continued to focus on strategic acquisitions to enhance our market position and expand our product offerings. The acquisitions of Dhanvantri and RS Enterprises have been successfully integrated, contributing to our revenue growth and expanding our
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geographic footprint. In May 2024, we acquired 80% equity stake in Avenir Lifecare, a strategic move that aligns with our growth objectives and strengthens our foothold in the state of Telangana.

The acquisition of Avenir marks a significant step in expanding our footprint in specialty medicines such as oncology, critical care and blood plasma segments. I am also very pleased to announce that we have secured board approval for three acquisitions of distributors located in Noida, Bijapur which is part of Karnataka and Ahmedabad. These acquisitions align with our strategic objective to diversify our portfolio, enhance our market presence and capitalize on new growth opportunities.

The acquisition of the distributor in Ahmedabad will open up new avenues in the medical device and consumables in cardiology segment. The acquisition in Bijapur will expand our geographical reach and customer base. In Noida, our acquisition of the distributor will complement our existing business centers in the NCR region. The newly acquired entities will add Ahmedabad and Bijapur to our operational network. This acquisition will increase our total

presence to 41 cities across India.

The financial impact of these four acquisitions will be noteworthy as we expect to add close to INR170 crores plus annualized revenue from these acquisitions. We have acquired Lifecare in Hyderabad with about last year revenue of INR51 crores, Suprabhat in Bijapur with revenue of about INR26 crores, INR11 million annualized, and Visionary in Ahmedabad and Amar Drugs in Noida.

Entero also has a robust acquisition pipeline. The company plans to acquire at least INR1,000 crores of acquisition in FY'25. As we speak, we are working with various potential acquisition targets which are at various stages of acquisition process right now. We are working hard to close these in the first half of this year.

With this, I will now ask Ram to summarize the company's financial performance for Q4 and FY '24. Thank you.

CV Ram: Thank you Prem. Good evening everyone. This is Ram, Group Chief Financial Officer. To summarize financial performance for Q4 FY '24, we have delivered a revenue growth of 17%, EBITDA growth of 42% on year-on-year basis, whereas for the year FY '24, our revenue growth has been 19% and EBITDA growth has been 75% on year-on-year basis.

Coming to Q4 FY '24 consolidated financial highlights, revenue for Q4 FY '24 stood at INR1,034 crores with a growth of 17% on year-on-year basis. Gross margin of 9% in Q4 FY '24 vis-a-vis 8% in Q4 FY'23, an improvement of 95 basis points. EBITDA for the quarter stood at INR29 crores with a growth of 42% on year-on-year basis. EBITDA margins stood at 2.8% which improved by 49 basis points. The improvement in operating profitability can be attributed to better gross margins. Profit after tax for the quarter is INR21 crores as compared to loss of INR4 crores in the same quarter last year.

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Now coming to FY '24 consolidated financial highlights, revenue for FY '24 is at INR3,922 crores with a growth of 19% on year-on-year basis. We have grown significantly at a higher pace as compared to IPM growth. The robust growth in revenue was on account of addition of new customers, new districts, new SKUs as well as new healthcare product manufacturers that we have added.

Gross profit margin stood at 9% for the year, an improvement of 84 basis points from last year.

This enhancement in gross margin can be attributed to procurement efficiencies which have allowed us to manage costs more effectively and increase service fee income from our third-party marketing business. EBITDA for FY '24 is at INR112 crores, an increase of 75% on year-on-year basis.

Operating margin for FY '24 is at INR2.9%, which is an improvement of 91 basis points compared to last year. This margin expansion is primarily due to higher gross margins and operating leverage. PAT for FY '24 is at INR40 crores as against loss of INR11 crores corresponding last year. This improvement in profitability is driven by higher EBITDA, interest income from the IPO proceeds in the last one and a half months and deferred tax provisions. On the working capital front, our working capital days as on 31st March 2024 stood at 67 days as compared to 64 days last year. During FY '24, we have witnessed a strong improvement in our return profile of the company with a normalized ROCE improving from 6.1% to 10.2%, whereas our normalized return on equity improved to 6% (to be read as 5.8%) from a negative last year. With this, I would like to conclude the presentation and open the floor for questions and answers.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Gautam Gosar with Monarch AIF. Please go ahead.

Gautam Gosar: Hi sir, thank you for the opportunity. I have only one question on working capital. Your net working capital days is around 73-74 days which were around 67-68 days last year. Any reason why these working capital days have gone up?

Prabhat Agarwal: So if you calculate your working capital on an annualized basis, it will look higher. But if you just look at the quarter four numbers, using quarter four revenue, then our working capital is around 64 days. Because there is a significant scale-up of revenues from quarter 1 to quarter 4 and part of the acquisitions that were done during the year whose entire working capital has been consolidated in financials but entire year revenues have not been consolidated that has also led to an increase in number of days on a consol basis.

Gautam Gosar: But this year we have not done many acquisitions in FY '24, then too our working capital has gone up. So, I didn't understand any reason for that going up.

Prabhat Agarwal: The two acquisitions that happened in FY '24, that happened towards the second half of the year. Only partial revenues could be consolidated.

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Gautam Gosar: In the presentation, you have given our working capital as 67 days but you have calculated including GST. If you exclude GST, it is a 73-74 days number. So, why including GST you have calculated the working capital? Any comment on that?

CV Ram: Yes, the GST -- the receivables and payables if you look at it includes GST. So, to have a standardized practice, we have been doing this for the past one year in terms of adding the GST to the revenue. That gives the correct picture. The receivables and payables include the GST component as well in the working capital.

Gautam Gosar: Okay. And sir, also one more thing on working capital. So, out of the INR951 crores you have raised from the IPO, you have already utilized around INR158 crores if I am not wrong already in the working capital.

So, sir, could you highlight where this working capital has gone? Because organically also, we do not require that much working capital and inorganic acquisitions also, there was not much in FY '24. So, sir, where have you utilized this INR158 crores?

CV Ram: Yes. So, this amount we have used for the purchasing of material/goods after IPO, that is after February 16th till 31st March. So, that we have better utilized those funds for the purchase of bills in terms of goods, in terms of working reduction in capital there, while the collections has reduced our working capital limits.

That is what you can see in the reduction in the debt for us. So, that has resulted in the interest cost optimization as well for that one and a half month. So, basically, we have utilized it for the working capital for the current month at the same time the collections that we have used to reduce the debt.

Gautam Gosar: Okay, sir. Thank you so much.

CV Ram: It is not over and above the working capital that we already have. That is what I meant.

Moderator: Okay. Thank you. Next question comes from the line of Chintan Sheth with Girik Capital. Please go ahead.

Chintan Sheth: Thank you and congratulations on the successful IPO and a good set of numbers. Hope I am audible.

CV Ram : Yes.

Chintan Sheth: Yes. Thank you. So, basically, I was just looking at the full year numbers, the 100 basis point improvements in EBITDA margin which we have seen a large part of it has come from the gross

margin improvement, right?

So, 90 basis point improvement we have seen in improving gross margins. But despite 18%-19% revenue growth our OPEX has kind of stayed flat because of interest costs or other operating expenses, where we have not been able to see the leverage which one would have expected with

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the growth in revenues. Could you highlight going forward when you guide 100 basis point improvements, how much it will be leveraging from more better sourcing, better procurement, as well as from the operating leverage?

Prabhat Agarwal: So, going forward because in the next year or FY '25, we are expecting a significant revenue

expansion, right? Because both last year a large part of the growth was organically driven, right? Inorganic component was very small.

This year, we have both the levers organic plus inorganic, right? So, a large part of revenue expansion would happen and a large part of that will deliver operating leverage for us, right. So, in this year, as I guided in the beginning of the call that we are looking at 100 basis point improvement gain in this year, over last year.

So, it will be a mix of gross margin expansion which will be delivered through procurement efficiencies and product mix and operating leverage. But the operating leverage component could be bigger in this year as compared to last year.

Chintan Sheth: Okay. Got it. Secondly, on the white label part that was one of the key levers for gross margin expansion. If you can highlight or provide some detail, how was the mix this year versus last year? And what is 90 basis point, how much of it is coming from white label expansion in our revenue? And how should we, one should look share a white label going forward in terms of growth?

Prabhat Agarwal: So, see, white label has never been a very major contributor to gross margin expansion historically also. And we haven't guided that white label would be the big contributor of that, right? Our product mix is driven by those products which inherently give more margin, for example, consumable or medical devices which carry a gross margin which are 1.5x to 2x of pharma gross margin, right.

So, when I speak of product mix, it's not only private label, it includes moving the product mix towards higher gross margin products which are let's say non-pharma category. That's the last part and that journey is continuous this year for example, the acquisition that we did Visionary in Ahmedabad, Visionary Healthcare is primarily medical device distributor, right? So, that category typically enjoys 1.5x to 2x of pharma gross margins. So, these kind of acquisitions and these kind of organic initiatives from our side would help us to expand gross margins further.

Chintan Sheth: Sure and last on the thousand crore revenue, inorganic revenue addition, what is outlay we are planning to spend on expanding that growth?

Prabhat Agarwal: So, typically we have guided that based on historical averages if we look at typically our enterprise value is like one-fourth of the revenue. So you can expect INR250 crores to INR300 crores enterprise value for a thousand crore of revenue in that ballpark range.

Moderator: Mr. Sheth are you done with your questions? Since there is no reply from the line of Mr. Sheth. We have a question from the line of Amey Chalke with JM Financials. Please go ahead.

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Amey Chalke: Yes thank you it's Amey Chalke and congrats to the management for the result. So first question I have is would it be possible for you to explain how things have changed in a particular region or location once the consolidation has started happening? Is there any anecdotal evidence or some experience you can share where you have gained good market share post-acquisition etc.?

Prabhat Agarwal: Yes there are many markets where we have gained very good share in post-acquisition. For example in Bangalore our market share will be between 15% to 20%. In Vizag our market share will be in double digits. In Cochin our market share will be in double digits. In Goa our market share will be in double digits. So there are many markets where we now have a significant market share in that territory.

Amey Chalke: And what do you think would be the scope for you to keep gaining market share in these regions like do we have to keep acquiring more distributors or organically itself we can keep gaining market share as well?

Prabhat Agarwal: So as I told you our organic growth target is 20%. The market is not going to grow by 20%. So market is g

going to grow probably half of it. So naturally the additional delta 10% growth is going to come from gaining market share only. And our market share gains are basically driven by our unique value proposition which is for our customers which is a very wide product range and delivered to the customers at a very convenient three times, four times during the day. So naturally it gives a very sticky value proposition for us because the customers, they want the entire basket at one place and delivered in time. And that's how most of these even good commerce businesses or any businesses are being built where you get a good product range and certain timely delivery.

Amey Chalke: Sure. The second question I have is on the INR1000 crores target we have in mind for the inorganic thing. What would be the execution risk related to these inorganic routes? What things could basically delay some of these acquisitions and what would be our second plan for this thing?

Prabhat Agarwal: So we have enough pool of targets to acquire. So it's not that we are relying on few targets to meet those INR1000 crores targets. So we have ample pipeline available and the market conditions are such that we are one of the few buyers who are ready to buy a distribution business.

And there are many people who are feeling the heat and either because of business pressures or because of succession issues they are willing to transact and we don't see that changing in near term. Maybe I'll ask Prem to kind of add to it.

Prem Sethi: Sure. Thanks, Prabhat. So we have a very robust pipeline as Prabhat mentioned that means in every single micro market that we are currently looking at acquiring we are talking to multiple partners in the micro market. So even if one transaction or one particular deal doesn't happen, we have alternate plan B, plan C available in the same micro market to actually go ahead and then conclude on those transactions.

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So we have a fairly decent numbers as well as micro market targets available which is what we said that we're very confident of doing about INR1000 crore plus acquisition within next few months.

Amey Chalke: Sure. And the last thing on the chart which you have shown of where the India map is there, the locations I believe are related to warehouses etc. So in Maharashtra in particular we see only present in Mumbai. So is there a good scope for you to grow in Maharashtra? Is that how we should see it or like?

Prabhat Agarwal: Yes why not because the locations on the map is only where we have physical warehouses. So we have now physical warehouses in 39 cities even though we are from those 39 cities we are supplying in 540 odd districts in India. So these are only supply hubs, these are not necessarily only the places where we are serving customers, we are serving customers in much wider geographic area.

So in Maharashtra, for example, we would want more centers to be open, we are exploring in Pune, in Nasik, in Aurangabad, in Jalgaon various other micro-markets.

Amey Chalke: Sure, got it. Thank you so much.

Moderator: Thank you. Next question comes from the line of Chintan Sheth with Girik Capital. Please go ahead.

Chintan Sheth: Yes thank you. Sorry my line got disconnected. So you mentioned EV of INR250 crores to INR300 crores that's the target for INR1000 crores kind of addition?

Prabhat Agarwal: Yes in one part.

Chintan Sheth: Okay, got it. And in terms of to bring this INR1000 odd crores of revenue, how much working capital which will get blocked incrementally for us? If you can just run us through how working capital will shape up with the kind of growth we are envisaging going forward?

Prabhat Agarwal: So when we said INR300 crores of enterprise value that includes the working capital that comes along with INR1000 crores of revenue. It includes that.

Chintan Sheth: Okay. But typically it won't materially

change the working capital structure as we have currently?

Prabhat Agarwal: Sorry, can you repeat the last part, please?

Chintan Sheth: So I'm saying whether that can change the working capital profile of our company materially?

Prabhat Agarwal: So we are as of now we are at 60 days, 65 days. So more or less these acquisitions are in that ballpark range only.

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Chintan Sheth: Because what is happening is like you mentioned in your earlier remarks that the acquisition

happened at the far end of the period where your working capital was booked for that acquiring assets fully while the revenue recognized was for the partial period and that the profile the similar effects can happen?

Prabhat Agarwal: That is determined by the timing of acquisition. So if you do more towards end of the year, you will have an impact on the closing working capital reported. It is just a timing thing. It will normalize over the next few quarters.

Moderator: Thank you. Mr. Sheth we request you to please join back the queue for more questions. Next question comes on the line of Tushar Sarda from Athena Investments. Please go ahead.

Tushar Sarda: Yes. Thank you for the opportunity. Since your strategy is acquisition-led, I have a few questions related to that. One is what price do you pay for this acquisition as multiple of sales or profit?

What is the payback period and how do you account for the acquisition cost in the P&L over what period do you write off?

And then related to this is how does the economics work for you? Do you see a jump in gross margin because you are a much larger organization? So if you can throw some light on this aspect, that would be helpful?

Prabhat Agarwal: So I had kind of explained acquisition economics in part of my road show also and maybe even in our last investor call. First of all we should not say that our strategy is acquisition-led. I would say that acquisition is a means to achieve an all India presence. It's a means to achieve a wide product segment, wide customer base. So that's not the end. Acquisition gives us a market entry and a wider customer base, a wider product segment base on which we want to create a pan India distribution platform.

Now, coming to using inorganic to do that as I told you typically we buy these targets on an EV EBITDA multiple basis and EV EBITDA multiple basis could be mid to high EV EBITDA single digit, mid to high single digit, EV EBITDA multiple basis and if you look at economics of return.

Typically, let's I give you an example. For example, if you buy a distributor whose sales is, for example, INR100 and let's say he's making INR4 of EBITDA for example, or INR5 of EBITDA. Let's use, for example, INR4 of EBITDA. Even if we value him at 6 times or 7 times let's say 6 times then we will be like INR24 of enterprise value. To run a INR100 business he would have definitely employed INR15 to INR16 of working capital.

So we are paying INR24 to acquire a revenue of INR100 which will deliver us an EBITDA of INR4 and along with it we are also getting INR16 of working capital. So the goodwill, the intangible part that we are paying is around INR8 and if we -- even if we don't do much with the business and the business continues to deliver only INR4 we will get back our money in 2 years.

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And if we grow the business that the way we have grown our business historically where we had a very high organic growth rate it can come in less than 2 years that the entire goodwill amount, the intangible amount.

Tushar Sarda: Okay. And how do you account for the acquisition cost? Do you write it off over a period of time? What is your policy on that?

CV Ram: You mean the diligence costs and all. Diligence costs will be...

Tushar Sarda: The goodwill, goodwill which you pay either carrying it in the b

ooks or you write it off over period?

CV Ram: We do carry in the books and then it will be tested for impairment at every closing.

Tushar Sarda: Okay. So versus organically growing, if you were to grow organically you would have incurred costs which would have been expense. So these acquisition costs are not getting expense?

Prabhat Agarwal: Yes. So if you would have taken -- first of all you would have taken a much longer year to grow organically to that size, you would have might incur some operating losses in the first few years at the time when you are building it up. So the goodwill premium that you pay is basically to take care of that.

Tushar Sarda: No, that I understand. I'm just saying expensing out that goodwill premium because it's a, ultimately a cost of building business organically versus acquiring it organically. right?

Prabhat Agarwal: Right. So it will be in the balance sheet. I think we are carrying what INR190 crores.

CV Ram: INR190 crores as of March yes.

Prabhat Agarwal: So, you just imagine is INR190 crores of goodwill we have paid and on that we have built INR4000 crores business.

Tushar Sarda: Yes I understand that. What I'm saying is that it shouldn't be written off over a period of time over 3 years, 5 years, over some time because it is kind of cost of building a business organic versus inorganic. It's a cost of building the business.

CV Ram: Yes we are following the accounting standards. I think that permits only for the goodwill to test for impairment for the future growth and that we test it at every balance sheet date and then we

carry that. There is no option to build.

Tushar Sarda: Okay, thanks a lot.

Moderator: Thank you. Next question comes from the line of Jayesh Shah with OHM Portfolio Equity Research Private Limited. Please go ahead.

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Jayesh Shah: Again, going back to the acquisition economics how do you relate it in terms of price to book?

And my issue is that while you say that the payback period is 2 years, 2.5 years it is not visible

on your ROE and ROCE. So, what are we missing out?

Prabhat Agarwal: I am not able to understand your calculations. Can you elaborate, please?

Jayesh Shah: My first question is when you do these purchases on EV EBITDA what do you pay in terms of price to book value?

Prabhat Agarwal: Book value in the sense the net asset value?

Jayesh Shah: Yes, of the acquired company.

Prabhat Agarwal: So, that's what I said, we are paying a goodwill over the asset value. So, that's it, we are putting in our books and goodwill also we are recording in our balance sheet.

Jayesh Shah: Yes, but let's say you bought an asset, a company which had a revenue of 100 EBITDA of 4 and a balance sheet size or, you know, gross block of whatever, 20, 30, because that could be just the office or you don't buy their offices and stores?

Prabhat Agarwal: No, we don't have, we don't buy, you know, these land and buildings and all those kinds of things. We only take over, you know, the operational assets, which is working capital and, you know, some computers and all those kinds of stuff.

Jayesh Shah: Okay, so you're not buying out the whole company, you're only buying out the working capital and the investment from the company?

Prabhat Agarwal: Yes, if the owner was operating on his own land and building, we would not buy the land and building, we would rent it from him.

Jayesh Shah: Okay, so that is clear. And my second part of the question is on, if the payback period is 2 to 2.5 years, why is it not showing up in your ROEs and ROCES, which are in single digit?

Prabhat Agarwal: So, you know, at an operating level, for example, as I told you, in our books, there is INR190 crores of goodwill, right? Lying and our operating EBITDA, gross of our corporate cost would be around that. So, that amount of cash flow, I mean, that amount of profit is being generated by

acquired entities already, right? But we have a corporate cost on top of it, which, dilutes their operating profit to an extent, our corporate cost is close to a 1% right now. And so that gets deducted from the operating margins of the subsidiaries.

Jayesh Shah: No, that I can understand in terms of margins. So, when you look at return on investment, I'm saying you have not bought any assets, you have only bought the business. And whatever you have paid in goodwill, you are recovering it within two to three years, because you said your payback is 2 to 2.5 years. In that case, your return ratio should have been much more stronger and visible?

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Prabhat Agarwal: When I'm saying 2 to 2, I'm talking about 2 to 2.5 years to get back the goodwill part, the networking capital stay invested, no?

Jayesh Shah: Yes, but the networking capital then goes back into sales, right? Over time. So, your networking capital when I see on the balance sheet, again, is only 67 days, it's not very high?

Prabhat Agarwal: So, we are calculating, Ram, why don't you explain in the formula how we calculate our return ratio?

CV Ram: Yes, return on investment, return on capital employed is the same formula, which is standard in terms of equity plus debt that we have deployed, right? So and undeployed money, we are not considering there. And which is 10.2% at present, we consider the PBT plus the interest cost for the EBIT.

Jayesh Shah: No, I understand the accounting standards. Anyway, I think I'll make a request and perhaps take this offline. Thank you very much.

Prabhat Agarwal: Yes, please connect offline and see where the disconnect is coming from.

Moderator: Thank you. Next question comes from the line of Dhruv Shah with Ambika Fincap. Please go ahead.

Dhruv Shah: Yes, hi, thank you for the opportunity. Team, I have one question pertaining to we had, you know, tied up with Roche for marketing distributing their four nephrology drugs. Can you say what's the status and is any other such kind of pipeline? Do we have such products in the

pipeline? Because this would be a higher margin product for us, right?

Prabhat Agarwal: So, we have two contracts like that, which is currently in operation. One is, of course, the Roche one and another is with Abbott. Those two are continuing while we are working on with other similar propositions with other companies, but others have not been concluded yet.

Dhruv Shah: And ideally, this would be a high margin product for us?

Prabhat Agarwal: Yes, the Roche margin for this will be higher.

Moderator: Thank you. Our next question comes from the line of Alok Dalal with Jefferies India Private Limited. Please go ahead.

Alok Dalal: Yes, good afternoon, everyone. Two, three questions. So, first is on the EBITDA margin guidance of 100 basis point. So, Prabhat, this will be on the reported EBITDA margin of 2.8%, right? Or this is a pro forma number?

Prabhat Agarwal: No, reported.

Alok Dalal: Okay. And with this kind of margin improvement, should one look at mid-teen kind of ROCs for FY '25?

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Prabhat Agarwal: I think yes, yes, should be. We haven't done the calculation, but it should be.

Alok Dalal: Okay. And Prabhat, what is the current sales force that goes to retailers and asks for business?

And how does the overall sales force expand based on the organic growth that you're targeting?

Prabhat Agarwal: So, we have around 1000 people, which is sales plus delivery, some people double up as sales as well as delivery, right? So, together we have around 1000 people in the company who is doing the job of sales plus delivery, which is booking the order, collecting the money and sometime delivering the product also.

Alok Dalal: Okay and this number will more or less remain unchanged?

Prabhat Agarwal: No, it will change. It will go up

to a certain extent.

Alok Dalal: Okay. Thank you, Prabhat.

Moderator: Thank you. Our next question comes from the line of Sriram R, an Individual Investor. Please go ahead.

Sriram R: Thank you for the opportunity. My question is on the ROE. In FY '24, we ended with 6% ROE.

So, after factoring margin improvement and also post-acquisition, what would be a sustainable ROE range? I'm sure you'll have a target ROE range two to three years down the lane. So, what is that number?

Prabhat Agarwal: 20% plus.

Sriram R: 20% plus, is it?

Prabhat Agarwal: Yes.

Sriram R: Okay. Thank you. Thank you. All the best.

Moderator: Thank you. Next question comes from the line of Utsav Jaipuria with DAM Capital. Please go ahead.

Utsav Jaipuria: Hi, sir. Thanks for the opportunity. Just a few questions from my side. Firstly, on this private label piece, what's the status here? What are our plans for the next few years? And how do you think this will contribute to growth margins going forward?

Prabhat Agarwal: I think I answered this question before also that private label is not the biggest driver of our growth, nor of the margins. So, our gross margin expansion is more driven by the way we buy the price at which we buy and also from the product mix, which is related to non-pharma, which is more medical devices and surgical consumables. So, private label is not a very big part of our business. It's contributing 1% right now. And I don't see that will become a huge part of our business in going forward as well.

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Utsav Jaipuria: Thanks. And secondly, on this INR1,000 crores acquisition guidance, this INR1,000 crores revenues, right?

Prabhat Agarwal: Yes, that's correct.

Utsav Jaipuria: So, on that we can assume like a INR4,000 crore sort of outlay for the next year.

Prabhat Agarwal: Sorry, INR1,000 crores you're saying what?

Utsav Jaipuria: So, on the INR1,000 crores revenue that we're guiding through acquisitions, we can assume like a INR4,000 crore sort of outlay for the acquisition, sorry...

Prabhat Agarwal: It's one, it's the other way around. You should have, we said INR250 crores to INR300 crores of outlay.

Utsav Jaipuria: Yes. Okay. Thanks.

Moderator: Thank you. Next question comes from the line of Nitesh Dutt with Burman Capital. Please go ahead.

Nitesh Dutt: Hi, thank you for this opportunity. I just have one question. So, our employee expenses plus opex in FY '24, it's close to INR240 crore. So, I just want to understand if you can provide some sort of breakup on what would be the fixed cost as in the corporate overheads, etc. And what is the variable cost out of it?

CV Ram: Sorry, can you just, I understood the fixed cost, variable cost breakup that you asked. What was the initial part of it? It was not clear.

Nitesh Dutt: For the employee cost and the other expenses, which total to be around INR240 crores.

CV Ram: Correct. Okay. What is the question?

Nitesh Dutt: The question is the employee expenses and other expenses. I want to understand if you have any bifurcation on what are the fixed costs and variable costs out of this INR240 crores.

CV Ram: Yes, out of total 6% of the total operating expenses that we have. So, you can expect, about 0.8% to 1% is variable cost and rest is all fixed costs.

Nitesh Dutt: Okay. So, out of 6, 5 is variable and 0.8 to 1 is, 5 is fixed and 0.8 to 1 is variable. So, does it mean that, let's say your revenue gets double over the coming years, 6% would come down to 3%, 3.5% to 4%?

CV Ram: It depends on the revenue increase. Definitely the fixed cost will have the operating leverage. The 5% will always have the operating leverage, while the 1% is variable.

Nitesh Dutt: Understood. And that variable, is it dependent on the number of pharmacies, etc. You will be having? Just want to understand what is this linked to number of SKUS, number of providers?

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CV Ram: Revenue, it is distribution cost and other...

Prabhat Agarwal: Sales commission and delivery cost.

Nitesh Dutt: Correct. And, sir, amongst the fixed costs, what would be your biggest spend in terms of employee cost? So, is it like tech expenses, corporate overheads? So, out of roughly INR150 crore of employee expenses, if you are saying 70%-80% of that is fixed. So, where exactly is that going into?

CV Ram: No, manpower cost is the biggest one. Further, I will simplify for you. Out of this 5%, 1% is corporate. So, 4% is fixed at the unit level. 1% is variable and 1% is corporate cost. That is how you should read it. And this 4% predominantly will have manpower cost.

Prabhat Agarwal: And manpower is largely warehousing, receiving, inverting, dispatching, packing, all this.

Nitesh Dutt: Understood. Thank you.

Moderator: Thank you. Next question comes from the line of Nitin Agarwal with DAM Capital. Please go ahead.

Nitin Agarwal: Hi, can you hear me?

Prabhat Agarwal: Yes, Nitin.

Nitin Agarwal: Okay. Prabhat, two things. One is, A, on our acquisition strategy, now when we are currently doing about 86,000 retailers are we reaching out to? So, when you think about your acquisition plans over the next 2-3 years -- you did highlight the fact that you are looking to add more specialty formats and distributors going forward.

Barring that, is there a number of retailers you want to reach out to over the next 2-3 years, which sort of gives you the critical mass from there on? You don't need to probably; you need to start to become very selective beyond that when your coverage becomes sufficient from a network perspective?

Prabhat Agarwal: So, Nitin, you are looking guidance on what's the tipping point beyond where we reach a threshold of retailer reach and beyond that we don't have to really go and acquire, at least for retailer acquisition. Is that what you're saying?

Nitin Agarwal: Yes.

Prabhat Agarwal: Once you have to -- our next 2-3 years, if we reach 200,000-250,000 retail reach that will be a substantial reach within the country. After which your new geography additions could be very limited.

Nitin Agarwal: And how much will you need to spend to get to this number? I mean, obviously, in your assessment based on whatever you've seen for the market?

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Prabhat Agarwal: So, part of it will come to organic growth that we are having and part of it will, new geography expansion, for example let's say we acquired this guy in Bijapur, he will add certain number of

retailers to our retail base or we acquired in Hyderabad or in Ahmedabad. So, they will give us new customers that were not existing for us. So, together, both organically we are also trying to drive higher retail reach and through inorganic as well.

Nitin Agarwal: But broadly, your sense is by FY '27, if you put some time to it, you would be largely done with your, retailer reach perspective. I can assume from a retailer reach to get to a desired level of retailer reach perspective?

Prabhat Agarwal: I think it's more than the timing is the number of retailers, right? So, for example, somebody asked question on today that, in Maharashtra, we have only in Mumbai. So, from Mumbai, we are only reaching out to a limited number of retailers in Maharashtra. So, if we open more branches, acquire more entities within Maharashtra, our retailer reach will grow up significantly. But beyond the point, you would be able to service additional retailers from those supply points only, you won't need to go to, we won't need to acquire, keep on acquiring to reach every large retailer in the country.

Nitin Agarwal: And secondly, how much of our business currently is coming from trade generics or is there a proportion increasing for you?

Prabhat Agarwal: This proportion is insignificant right now. For us, trade generi

c is not a substantial part of our

business today. But this is a growth area, we are seeing good traction in that business. So, even our some of our acquisition strategy could also be to, acquire certain of those distributors.

Nitin Agarwal: And last, if I can, as you keep increasing the scale, do you have in your experience over the years, have you seen that increases your ability to take higher gross margins from the manufacturers?

Prabhat Agarwal: Yes.

Nitin Agarwal: And this is in lieu of what? What do you provide them? It's just, is there something that you more that their ability to any services, our ability to provide certain sort of services increases with the increase?

Prabhat Agarwal: Primarily two things, one is data and the second is the ability to give them higher growth.

Nitin Agarwal: Okay. And is there a number that we can put to it in terms of, as you get scale, what is the incremental amount of gross margins that you can probably start to achieve on some of your on an overall basis on this account, or just on the benefit of scale?

Prabhat Agarwal: I won't guide right now on what could be the, incremental margin impact coming from that initiative only because I've given an overall guidance on, gross margin expansion and part of that gross margin expansion is coming through this only.

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Nitin Agarwal: Okay. Got it. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Nitesh Dutt with Burman Capital. Please go ahead.

Nitesh Dutt: Hi, just to follow up on my previous question regarding fixed versus variable cost. So if I look at FY '24 versus FY'23, our total revenue has gone up by 19-odd percent and the employee plus other expenses has gone up by 18%. So you mentioned that fixed cost is roughly 80%-90%. So two questions here. One, why is the leverage not visible yet in historic one, two year numbers? And second, under what circumstances in future do you expect the leverage to come through?

CV Ram: Yes, so this leverage is visible. Actually, if we see, I think last year to current year, you see a lesser visibility here because we have done Q4 reflects the total revenue reflects only in a part of the acquisitions that we did, whereas you have the costs that have come in. Only 20 bps of improvement that has been visible in the current year. But in the previous year, if you see, we were at 7.4%. We came down to 6.2% to now 6.1%. So that is a trajectory on the total operating expenditure, including unit level and corporate level.

Nitesh Dutt: And going forward, you expect leverage to play out from FY'25 onwards?

CV Ram: Definitely, because of the inorganic growth will directly result into this corporate cost, we'll dial in that leverage there. And also most of our cost is fixed, as I mentioned, 4%, which includes predominantly the staff costs and admin costs on the ground. So they will definitely dial in the leverage.

Nitesh Dutt: All right. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Prabhat Agarwal: Well, thank you very much, everyone, for joining this call. I hope we have been able to address all your queries. As I said in the call, we remain extremely confident about the future financial performance of the company and we thank you for your interest. We also thank, our Investor Relations Advisors, Strategic Growth Advisors and we request you, if you need further information, kindly get in touch with them. Thank you once again and have a great day. Thank

you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2025

Ref: 18/SE/LC/202 5-26 Date: 04/06/2025

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001.

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051
Scrip Code: 544122 Scrip Symbol: ENTERO

Dear Sir/Madam,

Subject : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call .
In continuation to our letter dated May 23, 202 5, bearing reference no. 07/SE/LC/2025 -26, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on May 28, 202 5 at 02:30 pm (IST) to discuss the Company's financial results for the Quarter and Year ended March 31, 2025 is annexed herewith .
This is for your information and record s.

Yours faithfully,
For Entero Healthcare Solutions Limited

Sanu Kapoor
VP- General Counsel, Company Secretary
& Compliance Officer

Encl. a/a

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"Entero Healthcare Solutions Limited Q4 &FY '2 025
Earnings Conference Call "

May 28, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 28th May 2025 will prevail.

MANAGEMENT : MR. PRABHAT AGARWAL – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. PREM SETHI – WHOLE -TIME DIRECTOR AND
CHIEF OPERATING OFFICER
MR. BALAKRISHNAN KAUSHIK – GROUP CHIEF
FINANCIAL OFFICER
ANALYST : MR. RAHUL JEEWANI – IIFL CAPITAL SERVICES
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Conference Call of Entero Healthcare Solutions Limited, hosted by IIFL Capital Services Limited.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

Please note this conference may contain forward-looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Rahul Jeewani from IIFL Capital Services. Thank you and over to you.

Rahul Jeewani: Yes. Thank you. Hi, good afternoon, everyone. And I welcome you to Entero Healthcare's 4th Quarter FY '25 Earnings Conference Call being hosted by IIFL Capital.

From Entero we have with us today the Senior Management Team comprising Mr. Prabhat Agarwal – Managing Director & CEO; Mr. Prem Sethi, Whole-Time Director and COO; and Balakrishnan Kaushik, Group CFO.

I will hand over the call to the Management for them to make their Opening Comments and post that we will open the floor for Q&A. Over to you, sir.

Prabhat Agarwal: Yes. Thank you, Rahul. Good afternoon, everyone. And thank you for joining the earnings conference call to discuss the Operational and Financial Performance for Q4 FY '25. My name is Prabhat. And on this call I am joined by Prem – Co-founder and COO of Entero; Bala, who is the Group CFO; and SGA, which is our Investor Relations advisors.

I hope everyone had an opportunity to go through the Financial Results and Investor Presentation which has been uploaded on Stock Exchanges and on our Company's website. I shall provide a brief overview of the operational and financial highlights for the financial year, after which Bala will take you through the highlights of our Q4 FY '25 Financial Performance.

Let me begin by saying that FY '25 has been a landmark year for Entero Healthcare Solutions.

We crossed Rs. 5,000 crores in revenues. Surpassed 100,000 customer base across pharmacies and hospitals. And achieved over Rs. 100 crores in profit after tax. All have been significant milestones in our journey. Also, in the second-half of the year, we turned operating cash flow positive.

The above achievements give us the confidence in the vast scalability potential of our business model and also validate the market acceptance of our value proposition and right-to-win in this fragmented market.

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Our strategic playbook is centered around the following:

Number one, organic scale-up in underserved markets through expanding our geographic footprint and product segments. And delivering better buying experience to our customers through deployment of technology-led solutions and efficient physical infrastructure and processes.

Our presence now spans 500 districts across 20 states supported by 101 warehouses. We serve more than 95,300 retail pharmacies, which is almost one out of 10 pharmacies operating in India and 3,600 hospitals. Our product portfolio or SKU count has crossed 80,600 and we now work with over 2,700 healthcare product manufacturers. This gives us a truly unique national scale distribution capability, both deep and broad in a market that remains largely fragmented.

Organic growth is complemented with entry into new geographic markets and newer product segments through inorganic acquisitions, that helps us

to scale and penetrate the market faster.

We successfully completed and integrated 10 strategic acquisitions during the year, contributing Rs. 792 crores in annualized revenue. These acquisitions have expanded our geographic footprint in multiple new cities and diversified our product portfolio across new segments, including medical devices, diagnostic consumables and equipments, surgical consumables and specialty pharma.

The unique pan-India distribution platform built from the above attracts many new healthcare brand partnerships and collaboration opportunities as the platform provides wide India reach at one-go to every Company that associates with us. We have further augmented our value-added service capabilities in terms of comprehensive commercial solutions covering both demand generation and demand fulfillment. This brings us closer to our long-term vision of building India's most comprehensive, efficient and digitally integrated healthcare distribution platform,

which is difficult to replicate.

In terms of key financial metrics for the year:

FY '25 marked the period of solid growth, strategic expansion and improved operating metrics.

We registered revenue of Rs. 5,096 crores, achieving a 30% year-on-year growth rate which includes 16% organic growth against an IPM growth of 8%, thereby outpacing the industry growth by 2x. Our gross margins improved by 57 basis points to 9.5% aided by margin accretive categories, value-added services and procurement efficiencies.

EBITDA rose by 53% year-on-year to Rs. 172 crores, with operating margins expanding by 52 basis points to 3.4%, with the last two quarters' margin being 3.7%. Profit after tax for the year stood at Rs. 107 crores growing nearly 2.7x from the previous year, underscoring the strength of our operating model and disciplined financial execution.

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In terms of the business outlook for Financial Year '26 and beyond:

Looking ahead, we remain very optimistic about the long-term opportunity in the healthcare distribution space in India. The addressable market, which includes pharmaceutical, medical devices and surgical consumables stands at \$33.2 billion and is expected to grow at 10%-11% CAGR over the next five years. Importantly, the shift towards organized distribution is accelerating and we are ideally positioned to lead this consolidation.

Our growth strategy going forward will continue to rest on three fundamental pillars.

First, we will sustain our organic momentum by onboarding new pharmacies and hospitals, and increasing our wallet share with existing customers. Our organic growth has consistently tracked 1.5 to 2 times of IPM growth rate, and we expect this to continue.

Secondly, we will pursue disciplined inorganic growth. With a proven M&A playbook and a robust acquisition pipeline, we will continue to onboard high-quality regional players that are strategically aligned with our long-term goals. We have already announced six new strategic acquisitions which collectively would add over Rs. 400 crores of annualized revenues and expand our geographical reach and further add to our business portfolio in the areas of trade generics, specialty pharma, medical consumables and devices.

These acquisitions are EBITDA margin accretive on blended level and would enhance our overall margins. We are being very selective in our inorganic approach and are targeting to acquire only those targets that add either new geography, new product segment or capabilities and our margin accretive. While we expect the pace of acquisitions to normalize in a couple of years, in the near term our unutilized IPO proceeds give us the flexibility to capture attractive opportunities. Our FY '25 revenue growth was 30%, and we expect to deliver similar or better growth rates in FY '26 also.

Thirdly, we are committed to

expanding EBITDA margins through margin accretive product categories and value-added services, procurement efficiencies and operational efficiencies. We are targeting to exceed 4% EBITDA margins in FY '26 on a full year basis. Fourth, our focus would be on improving working capital management, which in combination with margin expansion would provide positive approaching cash flows in full year '26.

To conclude, we remain committed to creating a truly differentiated, technology-led and value-accretive platform in healthcare distribution that delivers sustained returns to all our stakeholders. I extend my heartfelt gratitude to our team for their unwavering dedication and to our shareholders for their steadfast support and trust in our vision.

With this, I now request Bala to summarize the Company's Financial Performance for Q4 and FY '25.

Balakrishnan Kaushik: Alright. Thank you, Prabhat. And good afternoon, everyone.

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Coming to Q4 FY '25 consolidated financial highlights:

Revenue for Q4 is at Rs. 1,339 crores, registering a growth of 29% on a year-on-year basis. 11% of this growth is organic and 22% is from acquisition. As mentioned by Prabhat, we completed 10 acquisitions in FY '25 and we have recorded Rs. 225 crores revenue from these new acquisitions in Q4 FY '25. The seamless integration of our recent acquisitions is expanding our geographic footprint in cities like Jaipur, Ujjain, Trivandrum, Khammam, and we also have expanded our category footprint along with driving meaningful margin expansion and is expected to enhance our operating leverage by unlocking scale efficiencies, enriching our product mix and aligning the acquired entities with our centralized technology-enabled platform.

Coming to gross margins: We recorded gross profit margins of 9.8% in Q4 vis-à-vis 9.0% in Q4

of the previous year , an improvement of 81 basis points. This improvement in our gross margin reflects our focused efforts to scale high -margin categories such as specialty pharmaceutical s, surgical consumables , diagnostic products , alongside sustained procurement efficiencies enabled by our expanding scale and integrated supply chain infrastructure.

Coming now to EBITDA: EBITDA for the quarter stood at Rs. 49 crores , which is the growth of 69% year-on-year basis. EBITDA margins in Q4 FY '25 stood at 3.7% vis-à-vis 2.8% in the same quarter last year, recording an improvement of 86 basis points. This margin expansion was achieved despite ongoing investments to support integration and scale up of our recent acquisitions - underscoring the strength of our operating model and our ability to drive efficiency while building for long -term growth.

Profit after tax for the quarter stood at Rs. 31 crores , marking a 48% year-on-year growth , driven by strong EBITDA expansion and prudent financial management.

Our return on capital employed improved meaningfully to 11.6% compared to 9% in Q4 FY '24 and we managed to maintain our working capital cycle at 60 days , a reduction of three days from the previous quarter.

With this, I would like to conclude the presentation and open the floor for questions -and- answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Hi. Thanks a lot. Congrats for the good set of numbers. So , coming to the organic growth in the presentation, if you see the slide where we compare our organic growth , IPM and others, there is some asterisk on the net margin impact of 3%. Could you explain what is it which resulted into organic growth being 11% for the current quarter ? If you could explain that.

Prabhat Agarwal: Yes. We had a change in agreement with one of our companies where we are providing super distribution

services to them . And earlier we were recognizing the full revenue , now we are recognizing only the gross margins on that agreement.

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Chintan Sheth: Okay . But that completely flows down to EBITDA, I believe, right?

Prabhat Agarwal: That flows to gross margins and after expenses flows to EBITDA.

Chintan Sheth: Okay . Okay . But does that impact like -to-like? How should we look at it? Because if I look at that, if I adjust the growth , that 3% for the overall fees, I believe the growth revenue growth number will look a little better versus what we have reported, right?

Prabhat Agarwal: So this 11% is after adjusting for that.

Chintan Sheth: Yes, that's what I am saying. If we include that on the like -to-like basis , the growth would have been 32 % , 33% for the quarter ?

Prabhat Agarwal: Yes, yes, correct. Right.

Chintan Sheth: Okay . And does that impact our margin profitability point of view or this is just an adjustment?

Prabhat Agarwal: Not meaningfully.

Chintan Sheth: Not meaningfully. Then the reported margin for the current quarter 3.7%, on the like-to-like basis it could have been lower, right , if you include the 3% revenue adjustment which we did.

Prabhat Agarwal: Yes, in some single digit basis points, yes.

Chintan Sheth: Okay, okay . And the guidance of 4% plus for the full year versus our earlier guidance that we will exit 4Q next year at around 5% , do we see that trend of EBITDA improvement continuing or we will end up somewhere little lower on the exit run rate basis ?

Prabhat Agarwal: So the guidance we are giving you is that full year basis we will be more than 4% , okay. Now, quarter -by-quarter it is difficult to provide a guidance right now . In fact , last year also I said that we would exit at 4% which unfortunately we did not do , right. So I do not want to stick my neck out on a quarterly basis . Rather, the full year performance is much better predictable as compared to quarterly performance.

Chintan Sheth: Got it, got it. And lastly on the Peerless incremental acquisition which we are doing at Rs. 44 crores, Rs. 45 crores odd for 16% stake. If I look at the numbers of what you have reported in the release, the revenue for the current year FY '25 has grown at 10%, while the valuation seemed to be relatively higher given that last time around I think we have paid around Rs. 110 odd crores for this business . So I am just trying to understand how should we look at it, the incremental acquisition of that 16% stake in the Peerless side?

Prabhat Agarwal: Yes, there is some explanation that Bala will give you , because it is not what it appears .

Balakrishnan Kaushik: So Chintan, basically when we did this Peerless deal, there was a subsidiary of Peerless which was actually commercially not part of the deal. So during the year, we have actually kind of sold

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that subsidiary and whatever proceeds were there from that sale , that had come into the Peerless . And as part of this tranche, we have actually transferred the money that came in. If we exclude this one -off, the valuations are very much similar to what was done at the acquisition stage.

Chintan Sheth: Okay, okay . And the cash flow if I look at first half to full year, we are still negative in the second -half, but in your initial comment you mentioned that O CF is positive in the second half, just trying to understand that . Because if I look at first half, operating cash flow is around Rs. 62 crores negative versus full year it's around Rs. 77 crores negative . Just trying to connect the two.

Balakrishnan Kaushik: We are talking about the operating cash flow . Cash flow from operations , we are positive , we are positive about Rs. 50 crores cash flow from operations positive . You are looking at the

overall cash flow , while we were looking at the cash flow from operations . That's what we mentioned - that in H2 we have turned cash flow operations positive .

Chintan Sheth: Okay , I will connect separately. Okay , thank you. I will join back in queue. Thank you.

Prabhat Agarwal: Okay . Thanks.

Moderator: Thank you. Next question is from the line of Harshi Shah from Beas Capital. Please go ahead.

Harshi Shah: Congratulations on the good results , Prem and Prabhat. Just wanted some more clarity on improving working capital to be fully OCF positive next year.

Prabhat Agarwal: Yes, that's an important focus area for us . And on a full year basis , see, I told you that on second half of this year, which Bala explained , we were OCF positive, right . We were OCF positive to the extent of around Rs. 50 crores . But on a full year basis we were negative because in the first half of the year we were quite negative on OCF . And you would see that in the second half of the year , our margins were much better than the first half of the year, in the last year, right . So once the margin trajectory continues to grow and working capital improves through our focused efforts, then next year we will definitely be OCF positive on a full year basis .

Harshi Shah: Can we see any guidance on the net working capital days , which you plan to meet next year?

Prabhat Agarwal: See, our net working capital days on a quarterly basis is close to 66 days in Q4. There's definitely 5% improvement that we are planning for next year.

Harshi Shah: Great. Thank you.

Moderator: Thank you. We take the next question from the line of Ishmohit from SOIC Research. Please go ahead.

Ishmohit: Hi, sir. And congrats for a decent set of numbers. Sir, can you just reiterate what was the guidance for FY '25 when it comes to full year margins and like working capital days , if they are improving?

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Prabhat Agarwal: Sorry, can you please repeat again?

Ishmohit: Sir, I was just saying , can you basically reiterate the guidance that we have for FY '26 when it comes to growth and full year EBITDA margin that you are seeing , not on a quarterly basis, just a broad direction for FY '26.

Prabhat Agarwal: Yes. So three guidance items, one is on the revenue growth which we said this year we had 30% growth, next year also we are targeting more than 30% growth . On EBITDA margin basis , know on a full year basis, 4% plus EBITDA margins for the coming year . And operating cash flow positive for next year, which will be a combination of both , reduction in working capital days and also higher margins.

Ishmohit: Right, right. And sir just in terms of like the industry environment right now, how are you seeing the IPM industry environment right now because we have seen a lot of domestic pharma companies reporting , basically growth slow down which is happening. So how are you seeing the industry environment?

Prabhat Agarwal: Yes, we are seeing the same trend. If you look at the last year, the entire year the industry growth rate was only 8% and the last two quarters were like 7 % right. So, historically industry has grown in double digits earlier and which has come down to single digits for the last year, right. So we are seeing definitely a slowdown in the industry growth rate . And that's the reason why I always give guidance in terms of our growth rate relative to industry growth rate .

Ishmohit: Right, right. And I think we have finalized some five acquisitions for I think which will get executed in FY '26. Are there any more acquisitions in the pipeline?

Prabhat Agarwal: Yes, there are more acquisitions in the pipeline.

Ishmohit: Right . Okay, sir . Thank you. All the best for FY '26 .

Moderator: Thank you. We will take the next question from the line of Shivkumar Prajapati from Ambit Investment Adviso

rs. Please go ahead.

Shivkumar Prajapati: So my first question is , on standalone basis you are not doing that great. So sir, could you please throw some like why there's such a poor performance on standalone basis ? And on the following part, when we will turn EBITDA positive on the standalone financial statements ? And third one

is, what's the guided tax rate for FY '26?

Prabhat Agarwal: So, we are not looking at standalone. Entero is a network of subsidiaries, both holding Company and subsidiaries, right. So it is difficult to give standalone or subsidiary by subsidiary guidance.

So we always give guidance on consol basis, which I just gave in the previous question.

Shivkumar Prajapati: Okay, sir. And sir, what will be the tax rate for FY '26?

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Prabhat Agarwal: See, corporate tax rate is 25%. So corporates make an effort to optimize on tax rate through more tax efficient strategies. But for the time being, you can take the guidance of 25% corporate tax rate.

Shivkumar Prajapati: Great sir. Thank you.

Moderator: Thank you. Next question is from the line of Romil Jain from Electrum PMS. Please go ahead.

Romil Jain: Yes. Hi, sir. Sir my first question is, I just want to understand the companies which we have acquired, so one, they would be at what margin level at the Gross, EBITDA whatever you can give some color on? And when are they included in our organic kind of pool, so one year, two years down the line they come in the organic pool, just some color on that.

Prabhat Agarwal: Yes, only in the first year of acquisition they are considered under inorganic, post that it is considered under organic only, because after that we are in control of that company and we manage that business.

Romil Jain: Okay. And what margins they would be at, just like testing between the earlier businesses that you have acquired and the new businesses?

Prabhat Agarwal: So I can only say that the businesses that we have acquired are at margin -accretive, so they are at a margin higher than our current margins. So it's going to add to our overall margin profile.

We are not acquiring anything which are margin dilutive.

Romil Jain: Okay, okay. And on the organic side, I just wanted to understand, so let's say whenever these companies come under the organic bucket, going ahead when our acquisitions kind of slow down maybe in a year or two, so your guidance is definitely 1.5x to 2x the growth rate of IP M. So do we still see that, if the IP M grows at about 8% to 10%, probably we should grow between 15% to 20% when the acquisitions slow down?

Prabhat Agarwal: Yes. So, organic growth rate is independent of inorganic, right? So based on our value proposition, based on our right-to-win, based on this fragmented nature of the industry, we expect that our growth rate will exceed the industry growth rate by 0.5x to 1x.

Romil Jain: Sorry, how much, sir?

Prabhat Agarwal: 1.5x to 2x of industry growth rate.

Romil Jain: Okay. And the margins are broadly on track to reach 4% or maybe higher than that in two years' time, what would contribute to that?

Prabhat Agarwal: I just gave you guidance that in FY '26 we should exceed 4% on a full year basis.

Romil Jain: Okay. Okay. Thanks. I will come back in the queue. All the best.

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Moderator: Thank you. Next question is from the line of Gautam Gosar from Monarch AIF. Please go ahead.

Gautam Gosar: Hi sir. Thank you for the opportunity. Sir my question is basically on the organic business. So, basically you explained that we will grow at 1.5x to 2x of the IP M growth. But my question here is that, in the last like Q4 FY '25 you have done 11% performance growth versus earlier in the year we did 15%, 16%, 17% growth. You are saying that we will have a similar rate in

FY '26

as well. So can you explain like how will we catch up the growth which we did in Q4 and how should we look at the industry growth as well as our growth in FY '26?

Prabhat Agarwal: Yes, so except for this quarter, if you look at our growth rate for the full financial year for FY '26 (to be read as FY'25), our growth rate was 2x of industry growth rate, which is on the higher end of our range that I gave you, right. And we expect that the same will continue. Typically what happens, in 4th Quarter there is a little bit of slowdown from our side also, because at end of the year most of the accounts and all, we kind of reconcile with our customers. There is lot more focus on collections rather than on sales.

Gautam Gosar: Understood. Secondly, sir, on the acquisition part, so we have roughly done around four, six accumulations of around Rs. 400 crores. So, I would like to know more about the payout which we have done for these acquisitions and understand like we have our cash on books of around Rs. 250 odd crores. So will that cash be enough to fund our future acquisitions or do we envisage a further fund raise plan or debt plan for the same?

Prabhat Agarwal: See as of now we do not have a new fundraise plan, okay. Because the IPO that we did a year back has given us, we still have unutilized proceeds from that IPO and on our balance sheet also we have significant cash. So I do not envisage any immediate fund raise plan in our thinking.

And once we start generating positive operating cash flows, that amount will be available for acquisitions , without fund raise .

Gautam Gosar: Understood. But sir, these acquisitions which we have done recently, these six acquisitions , how much payout we have done for the same because this will come in the FY ' 26 balance sheet, right?

Prabhat Agarwal: Yes. So, normally we don't give exact payouts for both seller and buyer perspective. But I can tell you that the multiples are in the same range that we had guided before.

Gautam Gosar: Okay , got it. I think we can take it offline. Okay . Thank you.

Moderator: Thank you. We will take the next question from the line of Akshat Mehta from Seven Rivers holding. Please go ahead.

Akshat Mehta: Hello, sir. Sir, the first question that I have is , I just wanted to understand , the last earnings call we were guiding for a full year growth of around 35 % to 40% and we have kind of missed that mark by at least 5 % to 10%. I just want to understand what is the key driver that we kind of resulted in a lower growth than what we had guided earlier?

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Prabhat Agarwal: On a full revenue recognition basis, our growth rate for this year was close to 31%, right , after adjusting for the Q4 change in the recognition method . So it's like 4% we are below in terms of guidance that I gave . And it is primarily because in the delay in timing of acquisitions .

Akshat Mehta: So I just wanted to ask , if next year there will be better organic growth , since the ramp up of the acquisition will take place majorly in the next year of these 10 acquisitions.

Prabhat Agarwal: Next year's growth will be a combination of three factors. One is , the organic growth on a continuing business . Number two will be the full year impact of the acquisitions that we did this year and new acquisitions for next year. So it will be a combination of organic growth on continuing business , the full year impact of acquisitions that we did this year, but we will recognize revenues for the full year next year . And the new acquisitions that we are going to do in this year.

Akshat Mehta: Okay, sir . Also wanted to just have a clarification , sir, did we say any target for how many acquisitions do you want to do this year as well, in FY ' 26?

Prabhat Agarwal: No, we are not giving a specific number. But as I told you t

hat we have already done more than

Rs. 400 crores that we have announced , and we have a pipeline , we will continue to execute more.

Akshat Mehta: Okay . Last question , sir. I just wanted to understand , we have written in the Board Meeting outcome that we have cancelled the acquisition of one of the companies, I think Radha, what is the reason for that if you can share?

-Prem Sethi : Well, we actually cancelled that because we have a better target which got available in the similar market with better margins and better revenue profile.

Akshat Mehta: Okay, sir . Thank you.

Moderator: Thank you. We will take the next question from the line of Harshal Patil from Mirae Asset Capital Markets. Please go ahead.

Harshal Patil: Good afternoon , sir, and thanks for the opportunity. Sir, just one clarification, wanted to know , for FY '25 did you say that 11% would be growth in organic revenues ?

Prabhat Agarwal: Yes. Only for Q4, Yes.

Harshal Patil: Okay . And sir, what would it be for the full year?

Prabhat Agarwal: 16%.

Harshal Patil: Okay . And the balance I guess would be through the inorganic acquisitions?

Prabhat Agarwal: Right.

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Harshal Patil: Okay . Sir, that was it. And second thing , sir, would it be a good thing to kind of assume or probably go ahead that in FY '26 also, we should be doing almost a similar level of acquisitions as we did in FY '25 ?

Prabhat Agarwal: What we said next year, I gave you kind of a revenue guidance right which is upwards of 30% and this would be a combination of organic growth, new acquisitions and full year impact of last year acquisitions.

Harshal Patil: Yes, correct. Correct. Okay, sir . That's it. Thank you so much. And all the best.

Moderator: Thank you. Next question is from the line of Binoy from Sunidhi Securities and Finance Limited. Please go ahead.

Binoy: Okay . So one question, on the recent acquisitions that you have made , a few of them are on the North Indian side of the geography. I believe that market is a little more competitive as compared to the southern Indian market. So , will these acquisitions be margin accretive for us?

Prabhat Agarwal: Yes, you are absolutely right, the northern part of the country is little more competitive than the southern part. But the acquisitions that we have done in specialty pharma, it's not pure generic retail business, right. So the margins are higher in that segment and that's the reason we acquired that.

Binoy: Understood. Could you give a ballpark range of the margins of these acquisitions in aggregate?

Prabhat Agarwal: We have not given that number, Binoy, but you can take it as that they are higher than what we are today. It's a range, some are at little higher, some are much higher, but on a blended basis they are higher than where we are today.

Binoy: Okay. In one of the previous presentations you have mentioned that the acquisitions' EBITDA margin range is roughly about 6% to 8%. Would these acquisitions also be in that range, can I assume that?

Prabhat Agarwal: Yes.

Binoy: Okay. A couple of bookkeeping questions from my end. If you could just help me with the sales and marketing revenue for FY '25? Likewise, how much revenue came from the hospital segment?

Prabhat Agarwal: Around 20%, 25% is from hospitals.

Binoy: Okay. And the sales and marketing revenue?

Prabhat Agarwal: You mean to say the business where we are doing marketing and promotion also?

Binoy: Yes, for the pharma companies, yes.

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Prabhat Agarwal: Yes, it's around less than 5%.

Binoy: Okay. And how much of the revenue would be coming from medical devices and surgical instruments, etc.?

Prabhat Agarwal: At a consolidated level across all our geographies, less than 10%, close to 10%, I would say.

Binoy: Okay. One last point, I was just looking at the warehousing network, the number of warehouses on Q-on-Q basis have been kind of consolidated. Likewise, the overall network is consolidated. I also see the PIN code, the district coverage also consolidated as compared to the last year, so anything to highlight out here?

Prabhat Agarwal: No, no, no significant highlight here. These marginal small plus and minus is difficult to explain, but no major or significant thing to talk about.

Binoy: Okay. That's all from my side. Thank you so much.

Moderator: Thank you. Next question is from the line of Shiddharth from YES Securities. Please go ahead.

Shiddharth: Yes, hi, sir. Good afternoon. Sir, I just want to understand one thing, I mean, we have a long list of subsidiaries. I think if I have missed this question, if somebody asked this earlier. Do we ever intend to merge this into Entero or we plan to continue running it like a subsidiary only? And why so? Because I mean, do you think it's operationally better that way, just the rationale behind this?

Prabhat Agarwal: In ideal world you would want one company to operate across India, right. But then because of our acquisitive nature of business whereby we have bought stakes in multiple companies, and those companies have very strong regional goodwill and regional local name which we want to preserve at least in first few years. So, we are not likely to merge them in the immediate future. But yes, in a longer term, we will definitely kind of look at it.

Shiddharth: Got it. Sir, after a couple of years, because operationally I assume it's a hassle to manage so many subsidiaries because every year we have, like this year we did 10 acquisitions, coming here also we will probably do a similar number?

Prabhat Agarwal: Yes, there will be a little bit of higher compliance cost and all because of this structure.

Shiddharth: Correct, correct.

Prabhat Agarwal: They are integrated on our technology base, so operationally it's much easier to manage.

Shiddharth: Understood, sir. That's it from my side. I just wanted to have a clarity on this, sir. Thank you.

Moderator: Thank you. Next question is from the line of Krupa Desai from Electrum Capital. Please go ahead.

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Krupa Desai: Yes, sir. Sir, my question was in the medium term, where could the EBITDA margin grow, can you have a ballpark guidance on that - three to five years in?

Prabhat Agarwal: I have given for next year, right?

Krupa Desai: Yes. So, I just wanted to understand in the medium term, where can this number go? Once the scale comes in. Like we are growing at 30% in the next year and then going ahead we can do double digit growth. So where could the EBITDA margin go once the scale comes in?

Prabhat Agarwal: And when you say medium term, what's the time frame that you are looking at?

Krupa Desai: Three to five years , sir.

Prabhat Agarwal: So, for example, I have said that next year is 4% plus, and earlier I had told about we should be targeting close to 5%, right? So the year beyond we should reach towards that or move towards that.

Krupa Desai: Okay .

Moderator: Thank you. We take the next question from the line of Govindarajan Chellappa from CSIM. Please go ahead.

Govindarajan Chellappa: Yes. Hi. Just a housekeeping question . For FY '26, what is the full year impact of the acquisition s that you did last year?

Prabhat Agarwal: Full year impact would be what around Rs. 1,000 crores , right , somewhere around that.

Govindarajan Chellappa: Sorry , you have done acquisition of about Rs. 780 crores last year, right?

Prabhat Agarwal: Yes.

Govindarajan Chellappa: Part of it already came in FY '25 .

Prabhat Agarwal: Right.

Govindarajan Chellappa: So my question is , in FY '26, I mean, how much was the recorded in FY '25 and th
e remainder

of course will be the delta for FY '26.

Prabhat Agarwal: Delta would be around Rs. 500 crores.

Govindarajan Chellappa: Okay . So, so far you have recorded about Rs. 250 crores in FY '25?

Balakrishnan Kaushik : Govindarajan , Rs. 250 crores was for Q4. So, overall we have recorded around Rs. 500 crores.

Govindarajan Chellappa: Okay . So the delta is about Rs. 250 crores for next year.

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Prabhat Agarwal: Yes, but these businesses are also growing, right.

Govindarajan Chellappa: Sure. Of course. And secondly, what's the IPM growth and organic growth assumption that you have in this 30% guidance that you have given?

Prabhat Agarwal: 8% IPM growth , 15% to 16% organic growth.

Govindarajan Chellappa: Okay . And lastly, in the long term, where do you think the working capital settles?

Prabhat Agarwal: I think long term is very long, but in near term it is 60 days. Yes. I mean, next two -three, two years we should target that 60 days.

Govindarajan Chellappa: And the delta improvement - will it come from receivables or will it come from the inventory in warehouse?

Prabhat Agarwal: Both. It will be a combination of both.

Govindarajan Chellappa: Okay . Thank you.

Moderator: Thank you. Next question is from the line of Mayank Agarwal from Scientific Investing. Please go ahead.

Mayank Agarwal: Yes. Good afternoon , sir, and thank you for the opportunity. Sir, I have one question on the working capital , like right now we have a 70 day cash conversion cycle , and if we estimate like you would need around 20% of sales as working capital . Now assuming the current margin levels it appears you can support around 15% annual growth organic , without the need of the external funding . However, you have stated, the ambition to grow around 25 % , 30% CAGR for the next few years. So how do you see the debt and equity playing a role in funding this growth ? And would you agree with this assessment and how are you planning for the capital structure accordingly going forward?

Prabhat Agarwal: So that's what I said in the previous guidance that once we move to 4% plus margin structure and 60 days of working capital, the internal fund accrual will be more than enough to support organic growth . And only for inorganic we will use external capital, which we have already raised through IPO.

Mayank Agarwal: Okay . And like if I can one more question.

Moderator: Mr. Agarwal, I am so sorry to interrupt. May I request that you rejoin the queue for follow up questions? There are several other participants waiting.

Mayank Agarwal: Okay .

Moderator: Thank you. We take the next question from the line of Vansh Solanki from RSP N Ventures.

Please go ahead.

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Vansh Solanki: Hello . Hi, Prabhat. I just want to understand that last year we were talking about that we are doing the acquisitions with EBITDA margin to 6 % to 8% right . So, in long term future of Entero , can we assume that our margin also will go to 7% in long term future ? Or just because of corporate overhead s we will stick around 5.5% or 6% around ?

Prabhat Agarwal: So I will stick only to guidance for next year , longer term guidance, FY '27 guidance maybe I will give some time during the year or by end of the year.

Vansh Solanki: And just one more , like I have gone through the Sai RK which you have acquired , the acquisition value is around Rs. 70,000 but the annualized revenue for financial '25 is more than Rs. 100 crores . So what kind of arrangement is that? Because you have given that it is a proprietary firm and you have acquired that.

Prabhat Agarwal: No, so the model that we operate with, we create an SPV in which the business is slump sale into, right . And the value that we have given is only the value of acquisition of shares , but

we

will pay separately for the value of the business that is slumped pay. So , that value is not included in the value that we give , because it's not directly paid to the seller.

Vansh Solanki: Okay . So I have --

Moderator: Mr. Solanki, may I request that you rejoin the queue for follow -up questions. Sir, I am so sorry to interrupt.

Prabhat Agarwal: What I am saying is you can please connect with our CFO offline on this, he will be able to explain you better the structure that we follow . And this is consistently we have been following the structure since beginning.

Vansh Solanki: Okay, sure.

Moderator: Thank you. Next question is from the line of Ajeesh from Investor Things. Please go ahead.

Ajeesh: Yes. My question is that , do you have any long term target of ROE ? In five, six years what will be our ROE ?

Prabhat Agarwal: Yes, once we are able to reach those margins that we spoke about , that working capital target, we should be 15 % , 20% ROE.

Ajeesh: Okay . Thank you.

Moderator: Thank you. Next question is from the line of Swayam Rana Bhat from Pinpoint X Capital. Please go ahead.

Swayam Rana Bhat: Yes, sir. Sorry , sir. I joined a bit late, so pardon me if my question has already been addressed.

So I have only one question , could you like elaborate on the direct benefits pharmacist s and retailers experience as a result of Entero acquiring the regional distributors ? Specifically , how Entero Healthcare Solutions Limited

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do these acquisition s improve aspect like fill rates, credit periods , and what other industry challenges are we solving for the retailers?

Prabhat Agarwal: See, the biggest challenge that retailers are facing is fill rate today, right . Because what has happened is the number of SKUs in pharma is huge because of the branded generic nature of the industry. And as you know, it's a very fragmented and low entry barrier industry , that's why you have so many regional companies, local companies , national companies operating , right. A retailer is struggling typically to provide all the items of the prescription s to the patient. Typically we see that t he fill rate of the retailer is not more than 60%. So if five drugs are written, a prescription is only able to offer two or three, right . Because he just can't store and manage so many SKUs .

The problem that we are solving for the customer s is basically the range . So from one shop, from one of our warehouse , he can get the entire range, because we are working with 2,500 pharmaceutical companies - so we have a very huge product range available with us and which helps us to give him one -stop-shop , that makes his buying much less complex , his experience much better . And most of the geographies we are delivering 3 times or 4 times during the day , so our delivery time is also much lower . So combined with the lower delivery timeline and huge product range, the customer is able to improve his own overall sales at his shop and also optimize his inventory at his shop.

Swayam Rana Bhat: Got it. Thank you for answering my question. I will join back the queue. Thank you.

Moderator: Thank you. Next question is from the line of Naman Bagrecha from IFL Capital Services Limited. Please go ahead.

Naman Bagrecha: Thanks for the opportunity . Sir, just one question , our second half OCF is positive for this year. Last year also , our second half OCF was positive. So is it a second half phenomena where OCF is positive ? Or let's say working capital is lower ? Could you help me understand that.

Prabhat Agarwal: If you take the pharmaceutical industry and try to divide the sales quarterly, typically the second and third q uarter are high sales period . And by 4th Quarter , generally the sales taper down because end of the year and low s eason . And that's how is also followed in our case also . Typically you see the highest level

of working capital in September , because that's the peak season where you are operating at - just monsoon period and post monsoon is where the season is very high and you have to store inventory and all that, which kind of normalize s by end of the year, right . So you are right that last year we were operating cash flow positive for second half of the year, but not for the entire year. And that's what I guided that next year we are targeting to be OCF positive on a full year basis.

Naman Bagrecha: Okay . Sir, if I may ask one more question.

Moderator: Sir, may I request you to rejoin the queue?

Naman Bagrecha: Sure.

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Moderator: Thank you. We take the next question from the line of Ankur Gulati from Genuity Capital. Please go ahead.

Ankur Gulati: Hi. Just if you can give us some , I mean, how the industry has played out in the US and how do you see it playing out in the industry? Any lessons for us to learn from the US consolidation ?

Prabhat Agarwal: US is on the other extreme of consolidation. There are three distributors who are more than 90% market share. India is also moving towards consolidation, but it's not likely to go at that extreme level in near term at least.

Ankur Gulati: And what are the factors which drove US and what are the hindrances in India , just for our understanding ?

Prabhat Agarwal: India is much more complex geography compared to US. U S, the entire pharmacies are only 65,000 . In India , our customer base is more than entire pharmacy population of US. India is 1 million customer segments , 1 million pharmacies in India, very complex. So , you cannot supply to Guwahati from Mumbai, right. So we will have a lot of regional centers and regional warehouses that will have to make closer to the customers . Number of SKUs in India is so much more than US. US is a generic market; it is not a branded generic . India every molecule has 100 brands , so these complexities add to the challenge of consolidation.

Ankur Gulati: Last question, any aspirational market share?

Moderator: Mr. Gulati, I am so sorry to interrupt , may I request that you please rejoin the queue for follow - up questions.

Ankur Gulati: Okay .

Moderator: Thank you. We take the next question from the line of Naman Bagrecha IIFL Capital Services Limited. Please go ahead.

Naman Bagrecha: Thanks for the follow -up. Sir, just one thing on revenue growth, so we have guided for 30% growth in FY ' 26, which is equally divided between organic growth and impact of last year acquisitions and the new acquisitions. If I look, if we do the simple math of 15% kind of growth on FY '25 number, which is closer to Rs. 764 crores. What we have announced , the acquisitions , if I look , the revenue would be closer to Rs. 300 crores given that the consolidation will happen post 15th August, right? So , is the guidance a bit lower because then Rs. 300 crores or Rs. 320 crores or Rs. 330 crores kind of number is the balance number which is your revenue from last year's , let's say , acquisition s? So, is the guidance a bit lower or the organic growth might be slower than our expect ations ? It will be helpful if you can help.

Prabhat Agarwal: You know, you are working out the math very well , Naman. What w e want to give is a more conservative guidance that we are 100% sure of deliver ing. Nothing stops us from delivering more than our guidance, right.

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Naman Bagrecha: Alright. Sure, sure. And sir just one request --

Moderator: Mr. Bagrecha , I am so sorry to interrupt , I request you to rejoin the queue for follow -up questions. Thank you. Next question is from the line of Binoy from Sunidhi Securities and Finance Limited. Please go ahead.

Binoy: Yes, thank you for the opportunity to ask follow -on questions . Prab

hat, one strategic question

on the industry. So , Indian government is mulling OTC healthcare policy , and it has been mulling this policy since quite some time . Off late , it was again in the news that the government might allow distribution of or let's say retailing of OTC medicines through general trade stores as well, which is the kirana stores, etc ., right . So just your thoughts on this, where are we in terms of OTC healthcare policy ? And if it gets implemented , how does that impact our business?

Prabhat Agarwal: So, as of now our customer base does not include kirana stores , okay . So we are focusing only on the on the retail pharmacies and hospitals, right . So, if part of the sales of OTC moves away from retail pharmacy to kirana stores, either we will have to prepare a plan to reach out to kirana stores or the industry size will become smaller for us. Our addressable market will become a little smaller for us.

Binoy: But wouldn't you be as a distributor, since you have one leg before the retailer in the chain, just as you are distributing to the chemist, wouldn't you essentially be distributing to kirana stores as well? Because you are a distributor for the company , right?

Prabhat Agarwal: It's a choice. It's a choice that we will have to exercise, whether we want to just go for very, very few products to kirana store , because we will have to work out the economics of doing that -

because your average order values will not be that high, right .

Binoy: Understood, understood. Okay . Thank you so much. Thank you for the comments.

Moderator: Thank you. Next question is from the line of Harshi Shah from Be as Capital. Please go ahead.

Harshi Shah: Hi, two quick questions . What is the timeline to complete the remaining acquisitions ? And

second , all of the newer acquisitions made last year will have a full year revenue , so can we see

a margin upwards of 4% because they are margin -accretive, right?

Prabhat Agarwal: On a full year basis, yes. But we are declaring quarterly margins, right . So, the acquisition s that we did in the middle of the year in the last quarter they are included or Q3 is included , but not

in the full year. So full year basis , yes.

Harshi Shah: And the timeline to complete the remaining acquisition ?

Moderator: Harshi , may I request that you rejoin the queue.

Prabhat Agarwal: No, my suggestion to you will be , let's continue the question so their flow is complete , otherwise they will have to come back and then again reiterate the whole thing. Sorry , what are you saying?

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Moderator: Sure.

Harshi Shah: The timeline to complete the remaining acquisitions ?

Prabhat Agarwal: I think the timeline we have given is two months, right , or two and a half. B ut we will try to close it faster than that.

Harshi Shah: Understand. Thank you.

Moderator: Thank you. Next question is from the line of Krupa Desai from Electrum Capital. Please go ahead.

Krupa Desai: Sir my question was, what is the plan for write -off of intangibles in future or now?

Balakrishnan Kaushik : Yes. Krupa, so basically what we are doing is , we have goodwill which is tested for impairment at every financial year. So , goodwill , since we follow IndAS , the requirement of the standard is that we do an impairment testing , there is no requirement of amortization of those goodwill . So, we do the impairment testing every year.

Krupa Desai: Okay, sir .

Moderator: Thank you. Next question is from the line of Naman Bagrecha from IIFL Capital Services Limited. Please go ahead.

Naman Bagrecha: Thanks. Just a quick one, just wanted to know what is the total purchase cost of all the seven transactions, so six new entities ? So, I mean , you could give also only six new entities and seven th is available, I mean , Peerless transaction you have already given.

Prabhat Ag

arwal: Yes, so the total consideration we do not disclose because of confidentiality reasons from the seller side also.

Naman Bagrecha: Okay . So, I guess the multiple at an aggregate level will be between 0.3x, 0.35x of revenue or is there any deviation?

Prabhat Agarwal: The guidance that we give is the multiples are between 5 x to 7x times of EV to EBITDA, s o within that range.

Naman Bagrecha: Alright. Thanks.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you , sir.

Prabhat Agarwal: I would like to thank everyone for joining the call. I hope we have been able to address all your queries . For any further queries which has not been answered , please connect with our Investor

Relations team. Okay . Thanks again for your time. Have a great day.

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Balakrishnan Kaushik: Thank you, everyone .

Moderator: Thank you , sir. On behalf of IIFL Capital Services Limited, that concludes this conference.

Thank you for joining us . And you may now disconnect your lines.

Call: Aug 2025

Ref: 34/SE/LC/2025-26 Date: August 19, 2025

Scrip Code BSE: 544122

NSE: ENTERO

ISIN: INE010601016

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001.

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai- 400051

Dear Sir/Madam,

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call.
In continuation to our letter dated July 30, 2025 bearing reference no. 28/SE/LC/2025-26, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on August 11, 2025 at 05:00 pm (IST) to discuss the Company's unaudited Financial Results for the quarter ended June 30, 2025 is annexed here with.
This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Sanu Kapoor
Vice president- General Counsel, Company Secretary
& Compliance Officer

Encl. a/a

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"Entero Healthcare Solutions Limited's Q1 FY'26
Earnings Conference Call"

August 11, 2025

E&OE - This transcript is edited for factual errors . In case of discrepancy, the audio recordings uploaded on the stock exchange on 11 th August 2025 will prevail.

MANAGEMENT : M R. PRABHAT AGARWAL - MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. BALAKRISHNAN KAUSHIK - GROUP CHIEF
FINANCIAL OFFICER
ANALYST : M R. RAHUL DANI - MONARCH NETWORTH CAPITAL
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY '26 Earnings Conference Call of Entero Healthcare Solutions Limited hosted by Monarch Network Capital Limited.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Please note this conference call may contain forward-looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Rahul Dani from Monarch Network Capital. Thank you and over to you.

Rahul Dani: Hi, good evening everyone on a very warm welcome to Entero Healthcare Solutions Q1 FY'26 earnings call. On the call today, we have with us Mr. Prabhat Agarwal – Managing Director & CEO and we have Mr. Balakrishnan Kaushik – Group CFO.

I will hand over the call to the management for the opening remarks and then we'll move to Q&A. Thank you and over to you, sir.

Prabhat Agarwal: Yes, thank you. Good evening, everyone and thank you for joining our earnings conference call to discuss the operational and financial performance for Q1 FY'26. My name is Prabhat and on this call, I am joined by Mr. Balakrishnan Kaushik – Group CFO and SGA, our Investor Relations Advisors. I hope everyone had an opportunity to go through the financial results and investor presentation which has been uploaded on the Stock Exchange and also on our Company's website.

We have started the new financial year on a strong note with Q1 revenues growing 28% year-on-year as against the IPM growth of 9% to Rs. 1,404 crores. On a like-to-like basis, the revenue growth is 31%. 3% growth is adjusted after a change in revenue recognition for a certain contract on a net margin basis. More importantly, this growth is broad-based supported both by organic expansion contributing 15% on a like-to-like basis where we continue to deliver around 1.6 times the market growth rate and the rest through M&A executed in last financial year. We have already announced more than 400 crores of acquisitions in the last conference call, some of which have already closed in the current quarter and the balance also will be closed in Q2 itself. At the same time, there are more deals in the pipeline which will be announced once the transaction documents are signed. Acquisitions will remain an important lever for growth but our approach will continue to be disciplined and value-accretive.

Gross profit came in at Rs. 140 crores up 40% year-on-year with our gross margins improving by 83 basis points to 9.9% versus last year and 17 basis points versus last quarter. This

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improvement has been driven by higher value-added services, margin accretive categories and procurement efficiencies. EBITDA for the quarter was Rs.50 crores representing a growth of 66% year-on-year with margins improving by 82 basis points versus last year to 3.6%. Profit after tax increased 47% year-on-year to Rs.30 crores. In spite of higher gross margins versus last quarter, EBITDA margins declined from 3.7% to 3.6% versus last quarter as the operating leverage impact was not felt in this quarter due to annual salary and wage increases being implemented at the beginning of the year. Our revenue base increased by 5% versus last quarter while operating costs increased by 9% over last quarter. Now, the fixed manpower costs have been fully baked in the quarter

early operating cost numbers and as the revenue growth catches up in the rest of the year, the positive impact of operating leverage will start playing out. Even the IPM revenue growth significantly from Q2 onwards and after the rainy season. This is in line with our historical quarterly performance and even our full-year guidance of 4% plus EBITDA margins had factored this in the projections. Equally important is our continued focus on cash flows. We have moderated our net working capital from about 71 days about a year ago to around 66 days in last couple of quarters. We have initiated multiple initiatives to further optimize both inventory and receivables through ERP-driven controls and data science-based techniques and we are targeting another 10% reduction in working capital days by end of this financial year. Our network and reach have strengthened further. We now serve over 71,000 retail pharmacies and more than 2,500 hospitals across 469 districts in India supported by 102 warehouses strategically located across the country. Our product portfolio has expanded to over 74,700 SKUs sourced from more than 2,600 healthcare product manufacturers. This scale is not just about numbers. It is about reach, vast product portfolio, service reliability and quality which

helps us to continuously gain confidence and wallet share from our customers. More and more customers including even organized retailers find our value proposition compelling and unique. At the same time, as we penetrate larger parts of India with significant share in micro markets, we become significantly more attractive for any healthcare product manufacturer to collaborate or partner with us both for demand fulfillment and demand generation activities. Our strategic playbook centered on discipline in organic growth, organic scale-up in underserved markets and deepening partnerships with healthcare brands continues to deliver and bring us closer to a long-term vision of building India's most comprehensive, efficient and digitally integrated healthcare distribution platform.

We are executing on three clear growth pillars. First, organic expansion, deepening penetration in our existing markets, winning a larger wallet share from existing customers and expanding our product range especially into higher margin categories like medical devices, diagnostics, surgical consumables, trade generics, specialty pharma. Second, discipline in organic growth. We are very selective with acquisitions now. We only acquire where there is a strong strategic fit, whether it's a new geography, a differentiated product segment or a capability that strengthens our value proposition. Third, operational excellence. This means better procurement, technology-driven efficient warehousing and delivery infrastructure and optimized operating cost and working capital management. It is worth reiterating that the Indian pharma distribution market is still highly fragmented, with organized players accounting for less than 10% of the

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market. Our pan-India technology-led and category-neutral platform is difficult to replicate. This positions us uniquely to capture outsized share gains as the market consolidates. Looking ahead, we are on track to deliver 30% revenue growth in FY'26 including both organic and inorganic growth, surpassing 4% full-year EBITDA margins and generating positive operating cash flows. Margin expansion will be driven by richer product mix, procurement gains, value-added services and operating leverage from scale. We are targeting to achieve the working capital target of 60 days by the end of this financial year. In summary, Q1 FY'26 has been a strong start to the year. We continue to deliver on vast consolidation opportunities in an extremely fragmented healthcare supply chain, through organic expansion as well as disciplined M&

A. We continue to add customers, enhance product portfolio through collaboration with healthcare brands, diversify into new product categories such as medical devices, diagnostics, trade-generics etc. to become a one-stop solution for our customers.

With this, I close my opening remarks and invite people to ask questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Hi, thank you team for the opportunity and congratulations on the improvement in gross margins and EBITDA margins. A couple of questions on the growth part. You did mention that 31% is a like-to-like growth with 3% is related to a revenue recognition impact. But if I look at organic growth of 15% and adjust and calculate the inorganic contribution for the quarter, it seems sequentially declining. Last quarter, I think you mentioned around Rs. 200 crores to Rs. 225 crores was the contribution from the inorganic revenue. What would be that number and if that number has lowered down, why is that?

Balakrishnan Kaushik: So, Chintan. This is Bala here. So, if you look at the growth, the 225 that you mentioned for last quarter, that number was about Rs. 218 crores and this quarter that's about Rs. 230 crores. So, there is a growth. When you look at organic-inorganic for entities that were acquired during the Quarter 1 of FY'25, the portion that was there in the reported numbers will move into organic. So, if you look at like-to-like, it's about 230 versus 218 of last year. So, there is a growth on those numbers as well.

Chintan Sheth: Okay, got it. And in terms of acquisition pipeline, if we can, we're still keeping track on the 800 crores to 1000 odd crore of revenue acquisition for the year or any change on that number if you want to highlight?

Prabhat Agarwal: Yes. So, if you look at the guidance that we gave on this year's revenue rate of growth of 30%, that includes both organic and inorganic part. So, inorganic part, we had assumed around 500 crores of recognized revenue on books. So, which is what we are on track. We have already done Rs. 400 crores in Quarter 1 we announced, which will start reflecting from Quarter 2 onwards. And there are further more acquisitions in pipeline that will be completed.

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Chintan Sheth: Got it. I will join back in the queue. Thank you for the opportunity.

Moderator: Thank you. The next question is from the line of Bhargav from Ambit Asset Management. Please

go ahead.

Bhargav: Good evening, Team and thank you for the opportunity. Sir, in your press release, you mentioned that earlier the guidance was to do acquisition by August, but that has been pushed over to November. So, if you can share some reasons for the same, that's my first question.

Prabhat Agarwal: All these acquisitions that we have announced in previous conference calls that will be completed during this quarter. Two of them we have already completed. One of them we are just waiting for drug license to conclude.

Bhargav: Okay. So, what you are hinting at is that in the second quarter, couple of acquisitions will be announced?

Prabhat Agarwal: Not announced, completed. The one that we announced previously.

Bhargav: Yes. So, your revenue recognition will start happening?

Prabhat Agarwal: Yes. From Quarter 2, yes.

Bhargav: Okay. And what would be the size of them in terms of revenue on the second quarter?

Prabhat Agarwal: It depends on the day when we are able to close. As I told you, couple of them we have already closed. So, some of them the revenue is flowing from July beginning one of them is going to flow from July end. One of them, everything is complete. We are just waiting for the new drug license in the new company. The drug license site is down for 10 days now. So, we are n

ot able

to close that transaction. The moment the site is open, within 3-4 days, we should close the transaction and the revenue will start flowing in. So, it's difficult to accurately predict. Some of this we are dependent on external factors, but what I can tell you that all four transactions will be definitely closed. Two of them has already closed. Balance 2 will also be closed.

Bhargav: Okay, understood. Secondly, sir, is it fair to say that 1Q is seasonally the weakest quarter for us?

And if we have done 66 days of working capital in 1 Q, it is fair to say that the working capital from here on only should improve given that the revenue growth in terms of absolute also will be higher in the subsequent quarter?

Prabhat Agarwal: Which is you know typically if you look at even the pharma industry, how the revenues are split into 4 quarters, you will see that Quarter 2 is generally 8%-10% higher than Quarter 1. Quarter 2 is the strongest quarter in the pharma industry because of the rainy season, because of which the spread of infectious diseases. So, typically and historically also even in our numbers, you will see that Quarter 2 is generally 10%-12% higher than Quarter 1. So, on a high quarter

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numbers, your NWC in days goes down because the NWC doesn't increase in the same proportion. So, you are right. These numbers will improve in quarters to come.

Bhargav: And lastly, sir, Amazon India has significantly expanded its reach in selling medicines. So, now they are servicing in almost all of their serviceable pincodes. So, do we benefit out of this and how big can this business become? And related to that, Zepto has also launched a pharmacy in August in 4 major metros. So, if you can combine both of these in the same alpha, that would be very helpful.

Prabhat Agarwal: See, quick commerce foray into pharma healthcare, I am not too sure about how this is going to scale up and how this is going to impact because there are a lot of challenges in quick commerce, especially on the pharma category. And the challenges are basically three, you know, number one is the range because if the quick commerce value proposition is delivering 10 minutes only, then there are few medicines that they can deliver in 10 minutes. But if their value proposition is going to be fulfilling the prescription, then they won't be able to do that because the pharma, the number of SKUs is just humongous, right? So, there are so many brands, even we are carrying 75,000 SKUs, the whole market is carrying more than 150,000 SKUs, right? So, if your value proposition is going to be fulfilling the prescription and there are 4-5 drugs written in the prescription, it will be very difficult for them to fulfill all 4-5. Even the large organized e-pharmacies are not able to do it, right? So, that will be number one challenge. Number two challenge will be on AOV, so, how to drive AOV on this because, you know, in 10 minutes, as I said, that whole range will not be available with you. So, your AOV could be much, much lower. On a lower AOV, you will burn a lot of money, okay, because your delivery cost and other cost will be a very high proportion of your sales. Third is the prescription, because the prescription, if you don't have a prescription, then you have to generate prescription through doctor calling that adds a lot of cost to the system. So, on a lower AOV, prescription generation is required and that will eat up a lot of margins. Fourthly, in terms of if you want to go after, because of this prescription addition, your 10-minute thing may not work out. So, it will take much longer time for you to supply the medicine. And, but you won't be able to combine pharma delivery with other delivery because if you want to combine both, pharma will take more time because of prescription and because of that, the other things

will also get delayed. So, typically, what is happening is they are delivering pharma separately and other SKUs separately from the same basket, so which adds significant additional cost because of the same order, you will have two deliveries. So, because of all these challenges, I am not too sure how much pharma will be profitable for quick commerce companies. But, they are experimenting. Let's see how it works out.

Bhargav: And Amazon?

Prabhat Agarwal: Amazon has a better opportunity than other people because Amazon is not on quick commerce. Amazon is trying to fulfill the whole prescription range, right, which is, you don't find anywhere, you find on Amazon. So, the value proposition of Amazon is selection, not the speed.

Bhargav: Yes. So, are we participating in that opportunity?

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Prabhat Agarwal: Yes, we supply to organized retailers.

Bhargav: Great, sir. Thank you very much and all the very best.

Prabhat Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Ishmohit Arora from SOIC Research. Please go ahead.

Ishmohit Arora: Hi, sir. I had a question that for the full financial year, do we maintain our 30% plus topline growth guidance because sequentially for the last 3 quarters our growth has been a bit lower?

Prabhat Agarwal: So, see, if you look at last whole financial year FY25 our growth rate was more than 30%, right?

So, when we said that, you know, similar growth rate will continue in this year. This year on a like-to-like basis our growth rate was 31%.

Ishmohit Arora: Right, because I think beginning from the, I think this quarter, our base is pretty elevated when it comes to the topline comparison versus last year.

Prabhat Agarwal: Yes. So, the base of Quarter 2 is higher and that's always has been, if you look at many years, for last few years, always Quarter 2 is much higher than Quarter 1. So, of course, our quarter two numbers have to be significantly better than Quarter one to even deliver that kind of a growth over a Quarter 2 base.

Ishmohit Arora: Right. And sir, the second question was that I think in first half of this financial year or for the full financial year, I think last call you alluded to that in H2 we have seen positive cash flows.

Do we expect a similar trend to continue as H1 will have positive cash flows or for the full financial year we will maintain that we will be positive cash flows?

Prabhat Agarwal: We have said that on a full year basis we will be positive cash flow.

Ishmohit Arora: Right.

Prabhat Agarwal: And similarly for EBITDA margin also, we have said that on a full year basis we will be 4% plus.

Ishmohit Arora: Sure, sir. All the best for the coming quarter.

Moderator: Thank you. The next question is from the line of Sudarshan Padmanabhan from Ask Wealth Advisors. Please go ahead.

Sudarshan Padmanabhan: Yes, thank you for taking my question. So, my question is, know, if I want to understand a little bit more on the operation, in the last few quarters, and even if I look at the fourth quarter versus the first quarter, the number of district covered had basically come down from 500 to 469. And

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similarly, the number of retailers, the number of SKUs as well as the number of manufacturers.

So, I mean, anything that you can add in this or are we primarily looking to basically scale down and focus more on operational efficiency?

Prabhat Agarwal: Just one second. I am just trying to pull out earlier quarters. So, if you look at, sequentially also if you look at quarter, my Quarter 4 had 69,000 customers, Quarter 1 had 71,000 customers, right? So, it has not gone down.

Sudarshan Padmanabhan: So, I mean, I was referring to the SKUs and the number of district covered, etc. That's the page number #6.

Prabhat Agarwal: So, if you look

at, in quarter-to-quarter, comparing exactly with the same quarter last year for district covered in FY'26 was 469, last year it was 448.

Sudarshan Padmanabhan: So, there is a seasonality is what you're saying. I mean, even this data that you are providing, I mean, on a quarter-on-quarter?

Prabhat Agarwal: I am not able to understand how you are figuring out seasonality, which data point are you looking at?

Ishmohit Arora: So, I am looking at the data point, where you know, the number of SKUs handled in FY'25, is basically 80,600. The number of retailers is 95,300. And when I come into the first quarter, it shows the retailers as --

Prabhat Agarwal: If you are comparing with full year with a quarter. If you look at just quarterly numbers, you

know, because sometimes what happens is that same retailer may not have built in every quarter. So, it will get captured in the full year, but it may not get captured in that particular quarter in which we are not building, right? So, you look at quarter-to-quarter. So, if I look at last year, Quarter 1, FY25, we had 60,000 customers. In Quarter 1 of this year, we have 71,000 customers. That's the more like-to-like comparison.

Sudarshan Padmanabhan: Sure. And with respect to understanding the cost, I think, one, clearly on a year-on-year basis, when I see there has been a sharp improvement in the gross margin, and for the reason that you had explained that there has been a salary hike, but it is fair to understand going forward, you're talking about over 30% growth, the rate of change of the salary cost would incrementally start coming down. And incrementally, that will start flowing to your EBITDA. So, that is probably something that we should expect from the next 3 quarters?

Prabhat Agarwal: Yes, it's a simple math, for example we had an operating cost of something like Rs. 89 crores in this quarter, right? So, all the salary increases have already been made in Quarter one, okay? And my growth is close to 9% operating cost, right? My revenue growth target is 30% for the full year, right? But on a quarter-on-quarter basis, my revenue growth is only 5%. So, this 5% will expand to 30%. But my entire cost increase has already been built in Quarter 1.

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Sudarshan Padmanabhan: Sure. And if I just go through that, probably will exit the 4th quarter, if I just extrapolate this, anywhere between 4% to 4.5% which is there for the full year you will basically...?

Prabhat Agarwal: Next three quarters has to be between that.

Sudarshan Padmanabhan: Sure. And, with respect to the acquisition, I think as you had talked earlier that there is going to be part growth from your acquisition and partly from your existing business, just to understand from a longer term perspective, as the pace catches up, what is your thought process with respect to the rate of change of acquisition that has been very healthy till now?

Prabhat Agarwal: So, rate of acquisition will go down in future. In next 2-3 years, the rate of acquisition will go down because we will not need so many. I mean, we would have penetrated a good part of India, we would have expanded into various product segments. So, the need, the inorganic need will go down, right? So, today, the inorganic is contributing almost 15%-16% on our growth, right? So, in future, this 15%-16% growth will taper down, the organic growth will continue.

Sudarshan Padmanabhan: Perfect. But the cash flows will be more robust, right? Because in that case, your acquisition, the CAPEX that goes into it, that will not be required. So, to that extent, your cash generation ability will increase substantially during that.

Prabhat Agarwal: Yes. The idea is that we should be cash flow positive on the operating cash flow. So, whatever operating cash flows we generate, that would give us the ability to acquire more in future. A

s of

now, we are using IPO funds to do that.

Sudarshan Padmanabhan: Perfect, sir. And I mean, just one final question before I join back, what would be the OCF per se in the second half of last year and first quarter of this year? Is there some color on that?

Prabhat Agarwal: It was positive. Last six months was good, positive. But as I told you, we are working on multiple projects on working capital reduction. And I believe, you know, among all the levers, that's the lower hanging lever for us. Because, at this scale, we can definitely optimize much more on working capital. Today is 66 days and earlier we had given a target of getting 10% reduction or 60 days in two years. Now, we are saying that by end of this financial year, we should be able to reach there.

Sudarshan Padmanabhan: Sure, sir. Thanks a lot. I will join back the queue.

Moderator: Thank you. The next question is from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Yes, thanks for taking my questions. And first question is, has Entero's approach to integrating acquisitions fundamentally evolved and between let's say 2018-19 versus last 12 months?

Prabhat Agarwal: Yes, definitely. We have been learning from our experience over the last 4-5 years.

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Sajal Kapoor: Would you be able to share 1 or 2 examples of that learning, please?

Prabhat Agarwal: Now earlier, we were taking a much slower approach in integrating. Now we are taking a more aggressive approach in integrating. So, from maybe we changed the ERP systems or technology systems from day #1, earlier we were waiting a much longer time to, change those things because we wanted the existing sellers to, we didn't want to disrupt the business so much and we wanted a slower integration. Now we are much ahead in that. Our selection criteria has changed quite a bit now versus earlier. Now we are not looking at very small scale acquisitions. We are looking at the targets from multiple angles as compared to how we used to look at it in the first 2 years of our existence. And that's why you would see that most of the acquisitions that we have done

over the last 12 months have all been margin accretive.

Sajal Kapoor: Yes, sure. And just to follow up, how do you motivate your team and maintain a productive company culture amid this rapid organic and inorganic expansion?

Prabhat Agarwal: This team has been around for a long time. Most of the senior members of this team have been around for the last 6 years. They know, we have grown together as a team. There are various kind of reward mechanisms in place including ESOPs and all that. So this is an exciting business. Where would you find so many businesses where we are growing like 30% year-on-year with 10 acquisitions in a year being done. So, it's a great learning experience also for a lot of people.

Sajal Kapoor: Sure, it is. Yes. And lastly, what is the investment roadmap for your proprietary technology platform over the next 1-3 years?

Prabhat Agarwal: We have already built a lot of technology, you know. To be honest, we are one of the few companies that have developed our own ERP systems, which can be customized, which can be integrated with Facebook, can be integrated with WhatsApp, which can be integrated with any other social media platform. So, all these we have built our own apps, customer facing apps. We are also working on a health tech platform where we should be able to integrate directly with the retailer system. So, all these tech investments have been made in the past. We don't see much significant investments in tech going forward. It's already in place. It just needs to be utilized more or capitalized more.

Sajal Kapoor: So, that means that as we start monetizing the tech, so investments have been made, it's all upfront pain that we have already endured. So, the

benefits should start flowing in incrementally as we go into this fiscal, later half of this fiscal and maybe next one?

Prabhat Agarwal: For example, if I am saying that I am targeting 10% reduction in working capital days, that will play a very strong role in that, without that tech, we wouldn't have been able to do it or we won't be able to do it.

Sajal Kapoor: Absolutely. That's very helpful. Thank you so much. All the very best.

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Moderator: Thank you. The next question is from the line of Akshat Mehta from Seven Rivers Holding.

Please go ahead.

Akshat Mehta: Sir, one question on the revenue part itself. You said that around Rs. 230 crores of acquisition is what is included in the current quarter. How should we then look at the 15 that implies that around 7% growth is the organic. So how should we look at that and the 15% number? So if you can just help me make sense of the revenue growth figures?

Balakrishnan Kaushik: So Akshat, the way it is, is, so there were certain acquisitions that were done in Q1 FY'25. And certain revenue numbers were reported out of it into our financials of Q1 FY'25. And some of it, which is the pre-acquisition revenue, whatever was that value it goes into the inorganic. And whatever is excess or what we have already reported in the previous year goes into organic. So, you will have to look at those numbers in an overall basis. If you try to split between what went into organic, inorganic, that's probably why you're getting a different number in your calculations.

Akshat Mehta: Just to confirm, you mean to say that, some part of the acquisition revenue that has come in this Quarter 1, some part of that is also there in Quarter 1 FY'25?

Balakrishnan Kaushik: Exactly.

Akshat Mehta: Okay. Secondly, I wanted to ask if, if we exclude the amount of annual increment that was given to the employees this quarter, what would be the basis point impact on our margins, you from 3.6?

Prabhat Agarwal: It would have been 20 basis points.

Akshat Mehta: And, the acquisition that was done last year in FY '25, around 500 crores that we booked, what kind of growth that we'll see on these acquisitions, in this year?

Prabhat Agarwal: Similarly, what you're talking about, +15%.

Akshat Mehta: Thirdly, sir, if you can help us understand, this tax rate for this quarter was quite low at 17%. How should we look at this for the full year as well?

Balakrishnan Kaushik: So, Akshat, the tax rates for the full year will also be in the similar range, because we are taking some tax efficiency measures, which is actually helping us improve our tax. So, the annual numbers will also be somewhat in the similar range of 17%-18%.

Akshat Mehta: Okay, sir. And this employee cost number that we've gotten for the year, 58 crores, some 2%-3% quarter-on-quarter, upside on that is what we can take as the number for the full year, right?

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Balakrishnan Kaushik: Part of the manpower cost is fixed. A certain part is also variable, which is mostly sales commission and all that. So, that will change in proportion to sales, but the rest of the cost will

remain fixed.

Akshat Mehta: Okay. But we can roughly take, multiply it by 4 and put some upside to that as the full year number.

Prabhat Agarwal: Yes.

Akshat Mehta: Okay, sir. And just one confirmation, sir, you said that we are targeting 500 crores of acquisition this year?

Prabhat Agarwal: Yes.

Akshat Mehta: Okay. Thank you, sir. I will come back.

Moderator: Thank you. The next question is from the line of Prince from Pinc Wealth. Please go ahead.

Prince: Thank you for taking my question. First question is, in this quarter, there is no growth in our hospital customers. So, if you can throw some light on it?

Prabhat Agarwal: We are already at almost 2,500 plus hos-

pital customers.

Prince: Yes. So, there was no addition in the hospital customers. It was similar to the last quarter.

Prabhat Agarwal: At the end of the day, we are getting more wallet share from the same hospitals. Even a lot of hospitals are getting consolidated also, right? So, it's like they are becoming part of one group.

So, it's getting reported as one single customer.

Prince: Okay. So, if you can share the increase, incremental wallet share from these hospitals, as well as those distributors?

Prabhat Agarwal: So, we are not giving, know, kind of revenue split between hospitals and what do you call in hospitals and pharmacies, right? It's sometimes very difficult to get the data out also, because a lot of hospitals have OPD pharmacies, IPD pharmacies, sometimes the OPD pharmacies are outsourced to third parties, they are counted as retail pharmacy, while actually it should be counted as pharmacy inside a hospital. So the data classification is not very, very, you know, accurate, I would say, in hospitals.

Prince: Right. So, in terms of wallet share, incremental wallet share, not the revenue split between the hospitals and retailers.

Prabhat Agarwal: So, how will you calculate the wallet share? The wallet share you will calculate by dividing the revenue by number of customers, right? And comparing over a period of time, isn't it? Because

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what you're going to get an aggregate wallet share, or let's say average wallet share, you won't get hospital by wallet share. So, in some hospitals, you might have 30% wallet share, in some hospitals, you might have 10% wallet share. So, what you would get is an average wallet share, not even wallet share you will get, because you will not know what is the total purchase of that hospital, you will only get a revenue per hospital, our revenue.

Prince: Understood. And also in terms of acquisitions, currently, we have four in pipeline. So, other than this four acquisitions pipeline, what opportunities do we see for merger and acquisitions?

Prabhat Agarwal: So, we are evaluating a couple of more deals. Hope fully, you know, in the next one month, we should be announcing that. The work is going on, as we speak.

Prince: Okay. And for this quarter, EBITDA margin was 3.6%. And we have a target for FY'26, like 4% plus. So, apart from operating leverage, what like, procurement efficiency, as well as other metrics, product mix, like they are, how they will contribute for this, for the financial year?

Prabhat Agarwal: So, this year, what we have said is 4% plus EBITDA margin, right? And, today's Quarter 1, the gross margins are at 9.9%, right? So, for the rest, for the incremental EBITDA, large part of it will flow through operating leverage only, because all the costs are there, while revenue is only 5% maintained in the Quarter 1. So, large part of it will come through operating leverage itself. Whatever incremental we get on gross margin will be an additional over and above our targets.

Prince: Okay, sir, understood. And, and just for the last part, like, what was the contribution from medical devices for this quarter?

Prabhat Agarwal: Medical devices around 4%-5%.

Prince: Okay. So, and how do you look at it going forward for this year?

Prabhat Agarwal: So, we are more aggressive on medical devices now, it's growing well, it has a higher margin structure also, a couple of deals that we are evaluating are in this space itself. So, this share will grow.

Prince: : Okay, sir. Thanks for answering all the questions.

Moderator: Thank you. The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors. Please go ahead.

Shivkumar Prajapati: Thanks for taking my question. My first question is, I noticed that there are two steps, step down subsidies in our list of subsidies. So, just want to understand why we are loo-

king at this route

and not a subsidy route? The second one is, we had very low tax rate for this quarter. So, what is the reason behind it?

Balakrishnan Kaushik: Sorry, I didn't get your question very well.
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Shivkumar Prajapati: So, sir, in our list of subsidiaries, we have two step down subsidiaries. So, usually, like we acquire the companies as a subsidiary and not route it through a step down subsidiary. So, just want to understand what change does this makes us?

Balakrishnan Kaushik: Yes. So, when you are referring to step down subsidiaries, can you tell me which ones you are referring to as step down?

Shivkumar Prajapati: Okay. Just give me a minute. I will just open.

Balakrishnan Kaushik: I think you're referring to CPD Pharma and Chethana Pharma distributors, if I am not wrong. Because basically, we are looking to merge a few entities to look at it from an operational efficiency. We are doing an operational pilot on if we merge the entities, how does it work, whether it helps us improve our overall operations and stuff. So, there are two subsidiaries which we are merging with one of our existing subsidiaries. So, in this quarter, the shares of those subsidiaries were sold from Entero to another subsidiary of Entero. And we will be merging those subsidiaries. That's the reason you're seeing a step down subsidiary currently. We are in the process of that. So that is the reason you are seeing step down, otherwise, typically all our acquisitions happen as a direct subsidiary of Entero.

Shivkumar Prajapati: Okay sir, great.

Balakrishnan Kaushik: And next question on the taxation. We are also working on certain tax efficient way of funding our subsidiaries, which will help us to improve our overall effective tax rate. The reason being that we will be able to utilize the earlier tax losses and set off our overall tax. That's the reason you're seeing a lower effective tax rate. And we believe our tax rate for the full year will be in the same range.

Shivkumar Prajapati: Okay. So, 16%, like 16%-18%.

Balakrishnan Kaushik: Yes, 16%-17% is what it will be expected to be for the full year as well for FY'26.

Shivkumar Prajapati: All right. And sir, my next question is on the gross margin. From last quarter, we have been adjusting 3% of gross margin due to change in contract. And I just want to confirm whether this is for a single client only and do we expect any such changes in coming period?

Balakrishnan Kaushik: This is for a single client only to answer a specific question. And so far, we do not anticipate any other major impact. As it stands today, we don't anticipate any other major impact of the same nature currently.

Shivkumar Prajapati: But sir, how does this change help the other entity or like, obviously, because of this change, our consolidated growth rate looks like a bit down. But how does this change helps the other entity that we made the change in contract?

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Prabhat Agarwal: No, it was not a change that was driven by us. It was more driven by the client. So, there are various kinds of services that you can provide, either it's full revenue recognition, or we say that we just provide you the services, we will bill you for the services and you don't have to buy and sell from our books. So, this is what they wanted. So, this is what we did. We don't see any other contract right now, existing contract that can go through this route.

Shivkumar Prajapati: Okay, great. And sir my last question is, did we do any kind of assessment? I mean, benchmarking with the global distributors, customer acquisition cost or you know cost to serve per order, if you if you would provide this data points, that would be helpful.

Prabhat Agarwal: See, although if you compare with US the market is completely different, if we compare with

Europe, the market will be very different. Every country is very unique. India is I am telling you in pharma itself is such a unique country. In which country you have like branded generic such a big proportion of of pharma industry, right? Either it's most of the geography, either is research molecule or patented molecules, and then you have generic. India has 3 category, 4 category, patented, then branded generic, then trade generic, and then generic-generic. No country has a structure like India, no country has the complexity of the geography that we have, like from such a huge entire US and not more than 80,000-90,000 pharmacies. We have, a customer base which is larger than the total population of pharmacies in the US. So it's not a good idea to benchmark with them, we'll have to create our own benchmarks and measure against our own benchmarks.

Shivkumar Prajapati: Understood, sir. Thank you so much, sir, and best of luck.

Moderator: Thank you. The next question is from the line of Ishmohit Arora from SOIC Research. Please go ahead.

Ishmohit Arora: Hi, sir. Just a follow up question. Do we have any view on the market creation of weight loss drugs in India? And are we seeing any impact on our revenues also?

Balakrishnan Kaushik: Ishmohit, we are not able to hear you clearly. Can you please repeat your question?

Prabhat Agarwal: And be a little slow.

Ishmohit Arora: I was asking, are we seeing any market creation happening in the weight loss drugs in India? And do we see any positive impact from growth from there also?

Prabhat Agarwal: Yes. So, there are two weight loss drugs launched recently, which is, one is Mounjaro, and the second is Wegovy and we are distributors for both of these companies, in fact we are doing significant sales for Eli Lilly in India.

Ishmohit Arora: Right. That's it. And any idea on how do you see the market evolving in India itself over the next couple of years?

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Prabhat Agarwal: I think next year in FY'26, next calendar year, you will have a lot of generic companies coming in Semaglutide market, right? So that should expand the market significantly.

Ishmohit Arora: That's it sir from my side. Thank you.

Moderator: Thank you. The next question is from the line of Akshat Mehta from Seven Rivers Holding. Please go ahead.

Akshat Mehta: Yes, sir. Just wanted to ask if you can share the cash balance on the books right now?

Balakrishnan Kaushik: So we have about 365 crores of cash on our books currently. You will not see it all in one place. So it will be in different line items because of the way the investments are done. We have about 365 crores.

Akshat Mehta: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Divy Agrawal from Ficom Family Office. Please go ahead.

Divy Agrawal: Hi, sir. Thanks for taking my question. And I am new to the Company. So my apologies if there are some basic questions on that. So, sir, firstly, if you look at this quarter, so our inorganic growth was around 13% compared to 18% in the previous quarter. So what were the key factors driving this reduction?

Prabhat Agarwal: Our growth rate on organic growth this quarter is higher than the previous quarter.

Divy Agrawal: Okay. Because in the PPT, if you see, the consolidated growth was around 28% and the Entero organic growth was 15%. So the balance would be inorganic growth, right?

Prabhat Agarwal: Inorganic, yes. Correct.

Divy Agrawal: So that's 13%.

Balakrishnan Kaushik: So, Divy, I will tell you. Here, what is happening is you are looking at 28%. The like-to-like growth is 31%. And out of 31%, 15% is organic and 16% is inorganic.

Divy Agrawal: You're after adjusting that 3%?

Balakrishnan Kaushik: Yes, after adjusting that 3%. Because you need to look at like-to-like.

Prabhat Agarwal: If you look at Slide #6 of our

Investor Presentation, you will see the breakup between organic and inorganic on Slide #6, quarter-on-quarter.

Divy Agrawal: Yes, so got your point. And secondly, on the acquisition side, so considering that our primary objective of acquiring smaller distributors is to expand geographic presence and increase the

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number of SKUs. So if we were to achieve the same organically, what would be the estimated time and capital investment required?

Prabhat Agarwal: See, the only thing in terms of time, it could be anywhere. It could be 2 years, 3 years right or it could be even longer than that. The good question is, it's buy versus build. So what is the extra that you are paying to buy as compared to build? And what we are paying in goodwill is the only amount which is paying over and above what we are physically acquiring the assets. Because those assets, even if we build organically, we would only have to put. So only the premium over and above the net assets that you are acquiring is your cost of buying versus building it yourself. I think our total goodwill will be what in our balance sheet? Less than 500 crores.

Balakrishnan Kaushik: About 400.

Prabhat Agarwal: So let's say, a revenue of Rs. 6,000 crores has been built with, let's say, 400 crores-500 crores of goodwill, premium that was paid.

Divy Agrawal: So, as we are on the goodwill side, so I just wanted to know, so goodwill right now as on FY'25 is 16% of the total assets. So would it be prudent to write it off entirely, given that this could potentially improve our return ratios?

Prabhat Agarwal: Yes, but then it's tested for impairment every year.

Balakrishnan Kaushik: See, under IndAS, you need to test goodwill for impairment. Under the accounting standard, there was the concept of goodwill being amortized over a 5 to 10 year period. But under IndAS, under which we are covered, the IndAS standards require that we test the goodwill for impairment at every financial period.

Divy Agrawal: So there's no amortization, right?

Balakrishnan Kaushik: There's no amortization. Only if at all there is any impairment, then that is taken into the books. But otherwise, it's only impairment. Only impairment testing that needs to be done, no amortization.

Divy Agrawal: So, and lastly, sir, there's a money control article dated 30th May 2025, which reports that, you know, Servier, which is a French drug maker, so it terminated the exclusive distribution agreement with Entero after AIOCD intervened over monopoly concerns. So could this be a similar thing going forward as well in our acquisitions?

Prabhat Agarwal: Let me first clarify that article, because we never gave any response to that article. First of all, Servier, we are an exclusive partner for them to promote certain of Servier brands in India, like we are for Abbott or we are for Roche, right? So that contract was never terminated. What was the point of AIOCD was that why Entero is only supplying to all the stockists. So what was agreed that Servier CFAs can also supply to the same stockists, instead of Entero, but marketing Entero Healthcare Solutions Limited

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and promotion is still with us exclusively. So that Servier partnership has never been terminated in terms of marketing and promotion.

Divy Agrawal: So right now, we have three agreements, right? Roche, Abbott and Servier?

Prabhat Agarwal: For pharma demand generation, yes, for pharma marketing, right.

Divy Agrawal: And the margin for this would be?

Prabhat Agarwal: Promotion margins are different than distribution margins, the promotion margins are higher, but the cost is also there. So we are putting around 150 people to promote and market Abbott and Servier drugs.

Divy Agrawal: Okay, and the incremental margin that we get here is, like, if we want to compare the margins here

and, so how much business point upside it will be.

Prabhat Agarwal: I think that margin is the confidential information between us and the company, right? So it is difficult for us to disclose in a public forum.

Divy Agrawal: Sure. Thanks. I got that point. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Prabhat Agarwal: Yes, I would like to thank everyone for joining this call. I hope we have been able to address all your queries. For any further information, kindly get in touch with SGA, our investor relations advisor. Thank you once again and have a great day.

Moderator: Thank you. On behalf of Monarch Network Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Ref: 64/SE/LC/202 5-26 Date: November 20, 2025

Scrip Code BSE: 544122

NSE: ENTERO

ISIN: INE010601016

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001.

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051

Dear Sir/Madam,

Subject : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call .
In continuation to our letter dated November 07, 2025 bearing reference no. 53/SE/LC/2025 -26, and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on November 13, 2025 at 03:00 pm (IST) to discuss the Company's Unaudited Financial Results for the quarter and half year ended September 30, 2025 is annexed herewith .
This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Sanu Kapoor
Vice president - General Counsel, Company Secretary
& Compliance Officer

Encl. a/a
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"Entero Healthcare Solutions Limited
Q2 & H1 FY 26 Earnings Conference Call "
November 13, 2025

MANAGEMENT : MR. PRABHAT AGARWAL – MANAGING DIRECTOR ,
CHIEF EXECUTIVE OFFICER
MR. BALAKRISHNAN KAUSHIK – GROUP CHIEF
FINANCIAL OFFICER
MS. AKANKSHA GUPTA – HEAD- INVESTOR
RELATIONS

ANALYST : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

Entero Healthcare Solutions Limited
November 13, 2025

Moderator: Ladies and Gentlemen, good day, and welcome to the Q2 and H1 FY26 Earnings Conference Call of Entero Healthcare Solutions Limited, hosted by DAM Capital Advisors Limited.

As a reminder, all the participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Please note, this conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you, and over to you, sir.

Nitin Agarwal: Thank you. Hi. Good afternoon, everyone, and a very warm welcome to Entero Healthcare Solutions Limited Q2 and H1 FY26 Earnings Call hosted by DAM Capital Advisor at DAM Capital Advisors. On the call today, we have representing Entero Healthcare Solutions, the management team comprising of Mr. Prabhat Agrawal, Managing Director and CEO; Mr. Balakrishnan Kaushik, Group CFO; and M s. Akanksha Gupta, Head -Investor Relations. I will hand over the call to the management team to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Prabhat Agrawal: Hi. Good afternoon, everyone. I hope I'm audible and thank you for joining our earnings conference call to discuss the performance for Q2 FY26 and first half of this year. I'm joined by Balakrishnan Kaushik, our Group CFO; and Akanksha Gupta, Head IR; and SGA, our Investor Relations Advisors on this call.

I hope everyone had an opportunity to go through the financial results and the investor presentation, which are uploaded on the stock exchanges and also on our company's website. I'm pleased to share that we have continued making progress across all financial parameters of delivering healthy growth trajectory, margin expansion and net working capital improvement in the second quarter of the financial year.

Let me begin with our top line performance for the quarter. Revenue grew by 20.8% year -on-year and 11.9% quarter -on-quarter to INR1,571 crores. Adjusted for contracts accounted on net margin basis and on like -to-like basis, our revenue growth stood at 23.4% year -on-year, while organic growth was 13.4% year -on-year, which is approximately 1.8x the IPM growth rate of 7.3% during the same period. We were also able to navigate the GST transition quite effectively during the September month given the massive product portfolio we carry across 100 -plus warehouses.

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A key development during the quarter was on the acquisition front, particularly in the MedTech segment, where we have significantly expanded our presence. We closed five acquisitions during July to October 2025 period with proforma revenues based on FY25 financials of these acquired entities of approximately INR545 crores. Additionally, as disclosed yesterday to the exchanges, binding agreements and MOUs have been signed for two more MedTech -focused entities, Anand Chemiceutics and Bioaide Technologies, both of which are expected to be completed subject to satisfactory completion of due diligence. So, on a full year basis, we are on track to close INR1,000 crores plus revenue acquisitions through 7 M&A transactions. Around 60% of our M&A is happening in the MedTech segment, which along with the previous acquisitions in this space and organic business will cross over INR1,000 crores

post completion and integration of these businesses.

MedTech is a USD 13 billion high -growth segment and synergistic to Entero's existing pharma distribution business. Further, the role of distributor is more value -added in terms of commercial role along with the standard distributor role, and hence, the margin pool available with the distributors are higher. We have estimated a positive impact of 70 to 90 basis points on gross margin and 50 to 75 bps on EBITDA margin on a proforma basis after all the acquisitions are integrated with us. This is calculated on FY25 financials of announced acquisitions, which are expected to be closed in second half of the financial year. With these acquisitions, we would be present in a wide range of MedTech segment, including diagnostic consumables and equipment, cardiology and orthopaedic medical devices and other devices and consumables. This segment represents an attractive growth opportunity for Entero along with margin enhancement potential. We have also added business in trade generics, which also is higher growth and margin accretive.

I reiterate that all these acquisitions were at single -digit enterprise value to EBITDA multiples. These acquisitions will be funded through a mix of internal accruals , available cash balance and addition of some debt.

Gross profit for the quarter stood at INR161 crores, up 32% year -on-year, with margins improving by 29 basis points quarter -on-quarter and 84 basis points year -on-year to 10.2%. This improvement was driven by higher value categories, better procurement efficiency and operational cost optimization .

Another key milestone for us was achieving EBITDA margin of 4% in the quarter, which was up by 38 basis points quarter -on-quarter and 69 basis points year -on-year. EBITDA for the quarter was INR62 crores, representing a growth of 46% year -on-year. There would be significant impetus on our EBITDA margins post completion of new acquisitions, which has been explained through the proforma presentation in the investor deck.

Our profit after tax increased 41% year -on-year to INR37 crores with PAT margin expanding to 2.3% from 2% in Q2 FY25.

A key operational priority for us has been continued optimization of working capital. I'm pleased to share progress on this front. Our net working capital days has improved from about 69 days a year ago and 66 days in Q1 to 63 days in Q2 FY26. This progress is a result of ongoing initiatives
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around credit monitoring, enhanced collection discipline and a company -wide focus on data -driven inventory planning. We are confident of closing FY26 with working capital days of around 60. This should aid us in delivering strong positive operating cash flow for the year in the range of INR100 crores plus.

We have delivered steady improvement in return ratios. Return on capital employed improved to 13.8% in Q2 from 11.5% in Q1 and return on equity increased to 11% from 9% in the last quarter.

Operationally, our reach and network have continued to expand. In the first half of the year, we cater to over 85,000 retail pharmacies and more than 2,800 hospitals across 490 districts in India, supported by 113 strategically located warehouses and 83,00 0-plus SKUs sourced from more than 2,800 -plus health care manufacturers.

Our distribution network is continuously getting stronger with better geographic reach, wider product portfolio and deeper engagement with health care product manufacturers and customers. We are using our proprietary technology to create synergies, integration and efficiency in our network and improving customer experience through better fill rates and lower turnaround times. In summary, as we progress into second half of the year, we are confident of continuing the stronger momentum, making continued improvements in the financials led by both org

anic

initiatives and impact from inorganic strategy. We have clear visibility on growth trajectory, margin expansion and cash flow generation.

Our focus remains on increasing wallet share within existing customers, expanding higher -margin product categories and leveraging our nationwide network to become the most comprehensive health care distribution platform in India. The MedTech acquisitions gives us headroom for accelerated growth and margin expansion. We remain on track to achieve our FY26 guidance.

With this, I close my opening remarks and invite people to ask questions.

Moderator: Thank you very much, sir. The first question comes from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Congratulations to the team and the management on delivering continuous progress on the key metrics we follow. Sir, on the revenue growth front, you mentioned that you maintain the guidance of 30% growth. But so far, because of the revenue growth seems to be softer versus what the annual guidance for us is right now. So, do you think in the second half, you can catch up to meet the guidance for the full year?

Hi, Prabhat ji. Am I audible now?

Prabhat Agrawal: Yes.

Moderator: Yes, sir.

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Chintan Sheth: So, my question was basically on the guidance part where you mentioned that we maintain our FY26 guidance which included 30% revenue growth for the year. So far, our first half growth is around 24%. The ask for the second half will be roughly around 35% , to deliver on the 30%

growth.

Given the fact that a lot of one or two large contracts getting into the net basis, do you think with the acquisition and all, we'll be able to achieve the revenue guidance at least? I think on the margin trajectory wise; I think we are on track . Only trying to check on the revenue front.

Prabhat Agrawal: Chintan, on the first half of this year, on a like -to-like basis, we were 27.8% growth, and against a guidance of let's say, 30% . So, the gap of 2.5% is primarily coming from delay in closing new inorganic deals, which we are now trying to catch up in the second half of the year. We have already done the deals announcement and everything. So , we are fast tracking the closure process with these entities, and we will be very close to the full year guidance on like -to-like basis.

Chintan Sheth: Got it. And just confirmation and clarification on the OCF part, you mentioned INR100 crores OCF target for the full year. We are right now negative INR57-60 odd crores negative in the first half. That implies that for the full year or in the second half, we need to generate almost INR150 crores, INR160-odd crores of operating cash, which you believe is doable, right?

Prabhat Agrawal: Yes, doable. If you look at first half of this year, our negative cash -- generally, the second quarter is the highest in terms of organic growth. And most of the working capital requirement happens in the Q2 of the year . Even if you look at our last year, our H2 was positive by INR50 crores . Even though our first half was INR125 crores negative.

So, again, the INR125 crores negative of last year, we are only INR58 crores negative in the first half. So, there is already INR60-70 crores cash flow higher in the first half of the year . Second ly, the second half of the year is always positive . And thirdly, we have an additional benefit because of the GST change . Because now the revenues that we will be billing to the customers will be at 5% GST against 12% GST earlier . So, there will be a 7% benefit in cash flow through lower pay.

Chintan Sheth: Got it. I think that helps. I'll -- only one question I ask, I'll jump back in queue. On the acquisition, the larger one which we announced yesterday, it was happening at 0.95 x sales FY25 . Typically, I've seen we are doing materially lower at this 0.8x or less on EV

to Sales basis.

But you mentioned that these are all margin accretive ones and the single -digit EV/EBITDA multiple stands true. So that is what the range , have we increased a little bit range on acquiring these assets? Or we are still in the ballpark of 5x to 7x or 5x to 8x EV/EBITDA?

Prabhat Agrawal: Yes, we are in the ballpark only. On EV to EBITDA basis, we are on the ballpark with respect to our historical multiples that we have paid . On EV to Sales, of course, it will look higher because the margins are much higher in this business. The margin in this business is double digit.

Moderator: The next question comes from the line of Sajal Kapoor from Antifragile Thinking.

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Sajal Kapoor: Prabhat, what incentives do these MedTech sellers have to kind of sell so cheaply on EV/EBITDA? And why they are selling to us at a lower multiple compared to where our own business is? That is the kind of a question I have.

Prabhat Agrawal: This is the same thing from beginning of the company . Even other pharmaceutical distributors are also on the same EV to EBITDA range . And the reasons are the same. They need a partner who can take them to a national level. They have kind of exploited most of the opportunities to grow on a standalone basis. There are issues on succession. So , these are the things which kind of incentivizes or motivates the seller to sell to us. Exactly the same reason that we had in..

Sajal Kapoor: Yes, it's this scale thing, right? Pan -India scale.

Prabhat Agrawal: Yes.

Sajal Kapoor: Okay. And just to follow on this MedTech, the sales rely on deep sort of clinical trust. So how is Entero ensuring newly acquired teams, ortho, cardio, IVD, etc, build the expertise and sort of doctor/physician relationships needed to strengthen customer loyalty?

Prabhat Agrawal: Yes. So , this is not the first MedTech acquisition that we have done. If you recall, last year also, we did an acquisition in Chennai called Peerless Biotech , which was primarily in the IVD space and other medical devices. In certain segments, the relationship with the doctors and everything matters a lot. But when we are acquiring, we are acquiring the whole company , along with the whole team with the relationships and all that. That's the reason why we are paying a goodwill premium on that . So, the whole know -how, the knowledge, the relationship , the team, everyone comes along with this acquisition.

Sajal Kapoor: Yes, yes. Thank you for that. And finally, one just bookkeeping question for Bala. What factors explain the rise in trade receivables and also the inventories in the last 6 months? I mean, with improved return ratios and the reduction in net working capital to 63 now, what specific strategies in inventory management or receivable collections are optimizing this working capital cycle because those are the two key variables fo r us to get to positive operating cash flow.

Balakrishnan Kaushik: Yes. So, Sajal, here, we are running workstreams specific to inventory, specific to trade receivables. And there is a renewed focus on improving our cash collection cycle as well as the

way we order the inventory. So, we have a team put in. We have a task force that is there that is monitoring all the entities on these numbers, what kind of purchases are happening? Are we doing purchases in an optimized manner? Can we do purchases 4 times a month instead of 1 or 2 times a month. So, all these factors are being looked at closely. And the task force s - there are three or four task force that we have created that is driving this operational efficiency, which is actually yielding these results.

Moderator: The next question comes from the line of Bhargav from Ambit Asset Management.

Bhargav: Sir, my first question is, is it possible to share the revenue that we do from MedTech given that in the recent acquisit

ions that we are doing, a large part of revenue is coming in from MedTech.

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And we said in the PPT that we want to reach close to INR1,000 crores. So, is it possible to share the current revenue we do from MedTech?

Prabhat Agrawal: So, including all these acquisitions, if you look at, I have talked about INR1,000 crores on MedTech . And if you look at my graph, 61% of that INR1,000 crores is coming from MedTech.

So INR600 crores is what is coming through acquisitions, INR400 crores, we already have. So INR400 crores plus these new acquisition s of INR600 crores will take us above INR1,000 crores.

Bhargav: And is it fair to say that incrementally, whatever acquisitions that we'll be planning, a large part of that will be in the MedTech space or any other space?

Prabhat Agrawal: No. So, post this next quarter, we'll be busy in closing these acquisitions. The reason why we - I think one of the reasons why we have missed a little bit on the revenue growth guidance of this year because we have taken a little more time to evaluate deals . And pharma, we have a good presence now. We want to expand into other synergistic segments.

And MedTech is a very good synergistic segment. The growth rate is higher. The role of the distributor is more important in this. The margin profile is far better. So that's the reason we are looking for those segments which are margin accretive as well as high growth.

If you look at -- we also acquired a distributor in trade generic, which again enjoys a higher growth profile and a higher margin profile. So, our internal guidance is that we should chase those business segments which can deliver higher growth as well as a higher margin.

Bhargav: Okay. And sir, when we were speaking to a few chemists, they were of the opinion that from 15th of August till maybe 15th of September, they had reduced procurement significantly because of the GST changes which have happened. But despite that, how did we manage to have such a high revenue growth?

Prabhat Agrawal: So, you look at, for example, out of 90 days in a quarter, only 15 days were impacted, or less than 15 days. I estimate that probably our revenue growth would have been 1% higher , if that GST change would not have happened.

Bhargav: Okay. And did the GST transition also impact cash flow, meaning had the GST transition not happened, would we have been CFO positive in the first half itself?

Prabhat Agrawal: No, not materially because the impact of GST change would come in the second half of the year because from 22nd September onwards, we started billing customers with lower GST rate . So, most of the receivables sitting on 30th September were with a higher GST rate only . But by December, by March, all these receivables will be replaced by new receivables, which will carry a 5% GST rate. So , the positive impact on cash flow from GST change would happen in H2 of this year.

Bhargav: Okay. So effectively, because of the GST change, the receivable itself will fall by close to about 13%.

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Prabhat Agrawal: Will fall by 7%. Difference between 12% and...

Bhargav: Sorry, 7%. Yes.

Moderator: The next question comes from the line of Yashowardhan Agarwal from IIFL Capital Services Limited.

Yashowardhan Agarwal: Thanks for this opportunity. Just a couple of clarifications. Sir, if I look at the Slide number 6, it is mentioned that we are on track to meet INR1,000 crores of revenue from acquisitions. So, but it is also mentioned in the same , that it depends upon the deals that we are going to close till FY26. But sir, in the earlier guidance, INR1,000 crores of revenue should have come from the acquisitions that we did in last year, the INR290 crores that we have spent. So, could you please clarify on that?

Prabhat Agrawal:

Yes. So, the deals that we closed last year will anyway come this year . I mean the full year impact would anyway come this year . For t his INR1,000 crores, we are talking about the deals that we are closing this year. The full INR1,000 crores of these new deals will not appear in our revenues for this year. The full year revenues will appear next year. So, for this year, the revenue growth is driven by three things. One is organic growth. The second is the full year impact of last year 's deal close and the partial i mpact of deals closed during the year.

Yashowardhan Agarwal: Okay. Got it, sir. So, this INR1,000 crores is increment al from the acquisition s that we are going to do in this year ? Is that assumption right? This INR1,000 crores that you have mentioned in the PPT is going to be driven by the deals that we are going to do in FY26?

Prabhat Agrawal: Yes.

Yashowardhan Agarwal: And exclusive of the deal s that we had done in last year ? Okay.

Prabhat Agrawal: Yes, last year we have done close to INR1,000 crores. Yes.

Yashowardhan Agarwal: Got it, sir. Pretty much clear. In first half, we had spent around INR80 crores in acquisition s. So, what amount would be spending in the second half to achieve this INR1,000 crores?

Prabhat Agrawal: Upwards of INR400 crores.

Yashowardhan Agarwal: Upwards of INR 400 crores. Ok.

Prabhat Agrawal: Yes.

Yashowardhan Agarwal: Okay. And sir, how do we intend to finance it?

Prabhat Agrawal: Yes. So, we will -- as we said, we have an operating cash flow generation in H2 of this year.

That will come into play. The second is we have an existing cash of close to INR280 crores on our balance sheet . We'll be using that. And if need be, we will take some additional debt.

Yashowardhan Agarwal: Okay. So additional debt will be required for that?

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Prabhat Agrawal: Yes. It depends on how much cash flow generation happens in H2 of this year plus the cash that we have available on this balance sheet. If there's some shortfall, we'll raise through debt.

Yashowardhan Agarwal: Got it, sir. And sir, in the initial remarks, you said that we are confident of achieving the guidance that we have given of 30% growth. And so that means 35% growth in the second half. So, sir, are we confident of achieving that?

Prabhat Agrawal: No. So , you should look at the numbers differently. What we are saying on a like -to-like basis.

So, like-to-like basis, our growth for H1 was 27%, okay, 27.8%. We changed the revenue recognition method at beginning of this year that impacted our growth by 2% -3%. So, adding back that growth rate on a like -to-like basis is 27.8% for this year. So, if you do the math, on the second half of the year, the revenue growth has to be 31% to achieve a 30% overall growth for the year . So, depending on how close we are able to bring in the revenues of these new acquisitions in the books, we should be close to our guidance.

Yashowardhan Agarwal: Got it, sir. And sir, my last question is on the MedTech revenue. So, the acquisitions that we are currently doing in this year, in many of them, we are not acquiring 100% of the stake. So out of the INR1,000 crores that we are expecting, what share of the revenue would belong to us and the profit on the same?

Prabhat Agrawal: See revenue, so 100%, we'll consolidate 100% books of these acquired entities . So, line-by-line consolidation would happen . But our blended ownership on these deals is around 63%.

Yashowardhan Agarwal: Okay, sir. So, 63%...

Prabhat Agrawal: And we also have a call option to acquire the rest. So, we can exercise the call option in future years to acquire the rest of the -- over a period of 2 to 5 years.

Yashowardhan Agarwal: Okay. We have a call option. And sir, that would be at the similar levels of valuation that we have acquired currently, right?

Prabhat

Agrawal: Yes.

Moderator: The next question comes from the line of Avnish Burman from Vaikarya.

Avnish Burman: Prabhat, can you give us some color on the gross or EBITDA margins of Anand Chemiceutics , because I couldn't find any data on the -- from the MCA records.

Prabhat Agrawal: Yes. So , the company is -- it's a combination of 2-3 companies, some is proprietorship, some is partnership and one is private limited . So, you may not find data on all that. We'll integrate into one entity before we take over . But gross margins are mid -double digits and EBITDA margin s in upwards of 10%.

Avnish Burman: Okay. And for Bioaide also, when I was looking at the data, at least -- I mean, the data is available till FY24, where the gross and EBITDA margins were showing at 11% and 1.5%, which is quite uncharacteristic for a medical device distributor. Am I missing something here? Or this is ...

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Prabhat Agrawal: Thing is when we diligence the EBITDA, we diligence what will come to us . Sometimes they draw much higher salaries in the company to reduce the profitability . So, we add back all those things , because we agree a new remuneration and everything payouts with them when we take over. So, again, a double -digit margin acquisition.

Avnish Burman: Okay. So, when you talk about valuation, that is on the adjusted EBITDA, the EBITDA that you would realize after the takeover takes place ?

Prabhat Agrawal: Yes. We make all the adjustments, the new rentals for the premises, the new remuneration that we will pay for , any other compliance costs we will have to incur because the other guys are not doing in the same way that we want to do. So, all these adjustments, we do and calculate the adjusted EBITDA going forward. Based on that, we pay the multiple.

Avnish Burman: Understood. And one thing on the GST, you said that the receivables will come down. But when you talk about your net working capital and receivable days, you anyways adjust for the GST.

So, in terms of receivable days, that number will stay irrespective of whether the GST is at 12% or 7%. Am I right?

Prabhat Agrawal: The days will not change because of this. Only the absolute value or the cash flow will change.

Avnish Burman: Understood. Last question from my side. The INR1,000 crores of inorganic revenues that you have mentioned on the slide, in your opening remarks, you said that this INR1,000 crores is coming from 14 deals, whereas in the slide, it says the number of deals to be 7. Is that 14 or 7?

Prabhat Agrawal: Sorry. It's my error. 7 not 14.

Moderator: The next question comes from the line of Sudarshan from ASK NDPMS.

Sudarshan: Congrats on good set of numbers. So, my question is . I understand this month of September, we saw some impact on GST, the rates coming down. So, you mentioned, if I'm correct, the growth would have been higher if the GST wouldn't have happened. Would it be possible that -- see, because we're already seeing that October month is better primarily because of that and the IPM, that part of the sales, which otherwise wasn't filled would primarily get filled probably in the ensuing months? That is one.

The second question that I would like to understand is , we are now seeing the GLP -1 category gaining fair amount of momentum. And given that you have a fair wide portfolio in that sense, how do we see us capitalizing on the GLP -1 opportunities?

Prabhat Agrawal: Okay. Let's take question number one, which is the impact of GST on the growth. I said , we estimate that probably 1% of growth was lost because of GST change for last 15 days of September month .

Secondly, you asked about GLP -1. So GLP -1, we are engaging with all the GLP -1 drug manufacturers. We are working closely with Eli Lilly. We are working with Wegovy. So , we have a decent representation in GLP -1 category because there

are only two drugs available right

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now. Next year when semaglutide goes off patent, then we will have a lot many more manufacturers coming into play. And like any portfolio, we will have GLP drugs in our portfolio also. I believe our share in the GLP drugs is a little higher than our overall market share because there are only two drug companies, and we have a nationwide reach and these drugs are high value, not available so easily. So, our market share probably is higher in these drugs compared to other drugs.

Sudarshan: Sure. And do we see this opportunity that is getting created to be somewhat like an additional source of revenue growth for us?

Prabhat Agrawal: I don't have an estimate of how much -- it depends on how much this growth will impact the overall IPM , because our growth is more linked towards overall IPM growth. If this drug impacts the overall IPM growth significantly , yes.

But on GLP -1, it's more direct -to-patient this thing. So, we are selling online also this drug, offline also to retailers and through our retailers to the patients as well. So yes, I mean, I'm pretty excited about this -- the growth opportunity that GLP -1 brings, not only to us, but to entire industry.

Sudarshan: Sir, on the strategy side, I mean, we have been making a fair amount of acquisition on the MedTech and you talked about this INR1,000 crores with the acquisitions. I'm looking at more strategically and from a longer -term basis. If I'm saying that the next 2 to 3 years, now that we will start generating operating cash flow, which means that we have more money to basically acquire freely in that sense.

So, in terms of proportion of sales and basically creating a new avenue of visible growth and business for us, how do you see the MedTech beyond the INR1,000 crores evolving? And second sub-segment of this is, this year, we are definitely on course to achieve 4% if everything goes well in the same direction. If I'm looking at the next 2 to 3 years, given that MedTech has a much better margin profile, where do we see this kind of margins, say, in the next 2 years also?

Prabhat Agrawal: So now with these acquisitions post consolidation, the representation of MedTech in our business will be 14% -15%. And in terms of margin, I've already given you an estimate in our investor deck . We expect that at least 50 to 75 basis points on overall consol financials, this will have . So, if we were at Q2 at 4%, then post closing of these deals, we should be between 4.5% to 4.75%. That's my estimate as of now based on what financials they had before we acquired them. So, of course, there will be growth element on top of it and things like that. So, the margins this year, as we have guided that we should be closing 4% plus. So , assuming that all these acquisitions and MedTech will have a full year impact in the next year. So, our margins would be much higher than what we have today.

Moderator: The next question comes from the line of Manan Vandur from Wallfort PMS.

Manan Vandur: Congratulations on the numbers. Sir, my one question was that what -- at what percentage are our previous acquisitions growing at?

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Prabhat Agrawal: That is organic growth. 13.8%.

Manan Vandur: Yes, like what we would have acquired previous year or previous to previous year, those, how much they are growing at? How much they grew at in this quarter?

Prabhat Agrawal: This means like -to-like. So , which were there in last year also and this year also. That's how we calculate the organic growth.

Manan Vandur: Correct. Correct. So how much that would be, sir?

Prabhat Agrawal: It was 13.4% for the quarter and 13.8% for the first half.

Manan Vandur: Okay. Okay. Got it. And sir, about this one -- I heard from one participant talk about a co

mpany

which had EBITDA margins of something 10% or more. Could you please explain us something more on that company?

Prabhat Agrawal: So, most of the MedTech distributors are enjoying 10% plus EBITDA margins . So that's very synergistic to our existing business. So that's the reason we are building our portfolio in MedTech much more going forward.

Manan Vandur: Okay. So, our current margins of 4% are because of some other business that we have is less margin business .

Prabhat Agrawal: Yes. There is a stark difference between the margin profile of a MedTech distributor versus a pharma distributor .

Manan Vandur: Correct, correct. Got it. That's it from my side. Thank you so much.

Prabhat Agrawal: But pharma kind of brings a lot of volume s. So, it's important to be present in both.

Manan Vandur: Okay. So how are we looking forward to -- in this sense, like going forward, how much are we planning of getting from this MedTech side so that our margin keeps on improving in the future?

How are we looking at that, sir?

Prabhat Agrawal: That's the reason why we allocated 60% of our M&A to MedTech this year . Last year, we had allocated almost 25%. So continuously, we are increasing the weightage of MedTech in our overall business portfolio to drive up our margins. And the segment itself is growing higher.

There's a lot more things that you can do with MedTech because MedTech is again a very, very fragmented industry from the supplier point of view also . So, we are engaging with a lot of companies that want to come to India, open up their business in India, and we give them a platform to do that with us.

Moderator: The next question comes from the line of Akshat Mehta from Seven Rivers Holding.

Akshat Mehta: Congratulations on a good set of numbers. Sir, one question I had a clarification on is that this 20% growth that we've got in the current year, the reason -- main reason for it not being closer

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to 27%, 28% is only the delay in acquisitions, right? Or is there some other impact that we are missing also?

Prabhat Agrawal: No, primarily delay in closing deals because when we had given 30% revenue growth guidance for this year, there were three components of it. One was organic growth. The second was calendarization impact for last year acquisitions in this year and the third was new deals. So first two are in line. The third one, there is a delay, delay in the sense that we should have closed more deals in H1 than in H2 , because that has a full year impact on , I mean, impact on the overall full year revenue g rowth. So, if you look at the presentation that I've done, almost 80% of deals are getting closed in H2 and only 20% of deals got closed in H1. So that imbalance of 20% and 80% is creating that lower than guided revenue growth in the first half of the year.

Akshat Mehta: Okay. Sir, my second question is on -- I just want to understand why has there been a large

increase in other expenses and interest costs during the quarter ?

Balakrishnan Kaushik: So, increase in interest cost is mainly driven by the fact that we are utilizing money on acquisitions as well as on payment of milestone -related payables from last year acquisitions. So as and when we use the IPO money, obviously, my net interest cost will go up. That's the reason , because we had about a much larger cash balance at end of last year versus the cash balance we are currently having, which is about INR283 crores.

Akshat Mehta: And other expenses, sir . We have seen INR40 crores of other expenses this quarter, right? What is the reason for that?

Balakrishnan Kaushik: So, there are a couple of things there. So , there was a reclassification that was done between the revenue and the expenses on certain commission expenses , because of the nature of those commission expenses. Plus we also have some amount of

ECL provisions that we've taken

during H1. So based on the model that we do for expected credit losses, we've also taken about around INR3 crores of ECL in H1.

Moderator: The next question comes from the line of Divy Agrawal from Ficom Family Office .

Divy Agrawal : Sir, firstly, I recently visited the warehouse of Galaxystar, and I was surprised to find that the automation use there was minimal. So, to operate Entero, a) at such a large scale, and b) across locations with so many present and future acquisitions planned, one might assume things that the systems would be far more automated. So , what are the gaps in automation? And how are you working to address this with speed and accuracy?

Prabhat Agrawal: So, you know, to operate in 113 warehouses in the country and having 100,000 customers and 80,000 -plus stock keeping units, you can't function without having very good systems . So, from when we started Entero itself, at that time only we started building our own enterprise resource planning system. So, our ERP is our own self -developed. That's the reason why we are able to integrate our systems with WhatsApp, with messaging, with Amazon, with various other customers . Because the source code belongs to us. We can do customization, we can integrate with anyone .

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So, we have invested quite a bit of money and time and resources from starting -- from beginning of the company in developing our own in-house systems, ERP systems. We have also developed our own customer interface system, which is Entero Direct app on which the customer places order. That app is integrated with our own ERP. So , it helps the customers to kind of see our inventory, place orders. Once they place the orders, the orders are immediately invoiced. So , the turnaround time is much lower. The fill rate is much higher to the customer. That the technology intervention that we have done since beginning of our journey has helped a lot in this , the way we have expanded our network across so many parts of the country .

We have a clear visibility of what inventory is lying. We have invested a lot in master data management, where we have standardized - because in India, just so many SKUs are there, similar sounding names in medicine. So, unless you have your own master data management, mapped to individual. See, whenever we are buying a local distributor, first thing we are doing is mapping his product codes to our centralized product codes. So, we can have a clear visibility of the same product lying in so many warehouses - where we can exchange between each other, move inventory from one where the demand is more than the supply to -- from where we have lower demand than supply . So, all these things, efficiencies, integration , synergies are happening only through the tech investments and team that we have built over many years.

Divy Agrawal: Right. So just to emphasize on this, so what are the particular gaps that are you currently facing? If there are any, can you highlight that?

Prabhat Agrawal: There's no major gap, but tech is one phase which is continuously evolving. You keep building new features. You keep improvising. Like, for example, now we are building an app called HealthEdge app. In HealthEdge app, there is a lot more engagement that we can have with the customers . Loyalty programs can be run through integration with Paytm, through cashback offers and things like that.

So continuously, new features are getting developed, which will enhance the customer experience, our engagement with the customers. So, it's a continuously evolving process. The technology is something that you can't develop once and sit tight. You have to be on your toes all the time to be ahead of the market.

Divy Agrawal: Right . Got the point. And secondly, sir, on the Suprabhat disinvestment, so what was the reason for t

hat? The company was, I guess, still profitable and you were...

Moderator: I'm sorry to interrupt, Mr. Divy , but may you please fall back in the queue for your more questions?

Divy Agrawal: Sure. Okay.

Prabhat Agrawal: I will just answer this question. So Suprabhat is an investment that , you know, we bought this company, but there is a little bit of misalignment that which happened with the seller. And that territory, we can service from various other geographies. So , we said it's better to -- we take the entire money back along with the interest in all that and we reverse d the transaction.

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Moderator: The next question comes from the line of Shivkumar Prajapati from Ambit Investment Advisors.

Shivkumar Prajapati: Congratulation s on great set of numbers. Sir, first question is the IPM growth for the October month is somewhere over 11%. So , is it safe to assume that Entero might have clubbed over 30% of the ...

Prabhat Agrawal: Shiv, can you repeat your question, please?

Shivkumar Prajapati: Yes. Hi. So, sir, my question was that in October month, the IPM growth was around 11.7%. So, is it safe to assume that Entero might have clocked more than 30% growth in this month , given some sort of pent -up demand as well?

Prabhat Agrawal: No, I don't think the growth is that high.

Shivkumar Prajapati: Okay. Okay. Understood.

Prabhat Agrawal: Not in October, but I can tell you that delta growth is not that high for the industry.

Shivkumar Prajapati: Understood, sir. Okay. And sir, on this cash flow, so already you have mentioned that cash flow from operations would turn positive for us by the end of this year. But is it possible that we can see the same in the first 9 months? I mean, we have already completed 2 months. But by the end of 9 months, would we see cash flows positive?

Prabhat Agrawal: So, what we have guided is that full year basis, we should be INR100 crores plus in operating cash flow positive balance. How much will happen in quarter 3 and quarter 4, it is difficult for me to give estimate because there are a lot of ongoing initiatives going on in terms of working capital optimization and things li ke that .

So, but I can tell you the full year it will be positive. And if we have to be on a full year basis that much of positive. And given the fact that we were negative in the first half of the year, that means third and fourth quarter has to be significantly positive.

Shivkumar Prajapati: Understood, sir. And sir, my last question would be if you can help me with some data points.

So, we are already handling more than 80,000 -85,000 plus SKUs. So, what would be the total estimated SKUs in the pharma industry? And if you can provide revenue split by Tier 1, Tier 2 and beyond, if that is possible for you to share?

Prabhat Agrawal: So, in pharma industry, probably SKU could be more than 150,000.

Shivkumar Prajapati: Understood. Okay.

Prabhat Agrawal: Nobody has an exact line.

Shivkumar Prajapati: And sir, what about revenue split by Tier -wise?

Prabhat Agrawal: Tier 1, I mean, we have not given that split. Maybe our team will work it out and give it to you.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Prabhat Agrawal: Well, thank you, everyone, for joining this call. We are firmly on -track , the momentum is much higher. We have done and selected some quite attractive MedTech opportunities. We will continue to work on that. And the second half momentum is going to be better than the first half.

Thank you so much for joining the call.

Moderator: Thank you, sir. On the behalf of DAM Capital Advisors Limited, that conc

cludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Disclaimer: Please note that the transcript has been edited for the purpose of readability and accuracy.

Call: Feb 2026

Ref: 84/SE/LC/202 5-26 Date: February 20, 202 6

Scrip Code BSE: 544122

NSE: ENTERO

ISIN: INE010601016

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

Dear Sir/Madam,

Subject : Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call
In continuation to our letter dated February 06, 202 6 bearing reference no. 75/SE/LC/2025 -26 and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on February 13, 202 6 at 11:00 am (IST) to discuss the Company's Unaudited Financial Results for the quarter and nine months ended December 31, 2025 is annexed herewith .
This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Sanu Kapoor
Vice president - General Counsel, Company Secretary
& Compliance Officer

Encl: as above
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Entero Healthcare Solutions Limited
Q3FY26 Earnings Conference Call
February 13, 202 6

MANAGEMENT : MR. PRABHAT AGARWAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. BALAKRISHNAN KAUSHIK – GROUP CHIEF
FINANCIAL OFFICER
MS. AKANKSHA GUPTA – HEAD, INVESTOR
RELATIONS

ANALYST : MS. PAYAL SHAH – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY 26 Earnings Conference Call of Entero Healthcare Solutions Limited, hosted by DAM Capital. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

A brief reminder, this conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Ms. Payal Shah from DAM Capital Advisors. Thank you, and over to you.

Payal Shah: Thank you. Hi. Good morning, everyone, and a very warm welcome to Entero Healthcare Solutions Q3 FY 26 Earnings Call hosted by DAM Capital Advisors. On the call today, we have representing Entero Healthcare Solutions the management team comprising of Mr. Prabhat Agrawal, Managing Director and CEO; Mr. Balakrishnan Kaushik, Group CFO; and Ms. Akanksha Gupta, Head, Investor Relations.

I will hand over the call to the management team for opening remarks, and then we'll open the floor for questions. Please go ahead, sir.

Prabhat Agrawal: Thank you, and good morning, everyone, and thank you for joining our earnings conference call to discuss the performance for Q3FY26 & 9MFY26 . My name is Prabhat, and I'm joined by Mr. Balakrishnan Kaushik, Group CFO; Ms. Akanksha Gupta, Head, Investor Relations; and SGA, our Investor Relations Advisors on the call.

I hope everyone had an opportunity to go through the financial results and investor presentation, which are uploaded on the stock exchanges , as well as on our company's website.

Let me begin with performance update of the quarter, which is another strong quarter for us.

Revenue grew by 26% year -on-year and 9% quarter -on-quarter to INR1,707 crores.

After adjusting for the sales recognized on a net margin basis and divestment of a subsidiary, on a like -to-like basis, our revenue growth stood at 28.5% year -on-year and organic growth was 17.1% year -on-year. This is the highest organic growth for this financial year, and we continue to grow faster than the industry, which grew by 12% and thereby increase our market share.

Gross profit came in at INR173 crores, up 29% year -on-year, with our gross margins improving by 30 basis points to 10.1% versus last year. Compared with last quarter, the GP margin was 10 bps lower because of one -time GST incentive amounting to 17 bps received from pharma companies being offset by improvement driven by better business mix, margin -accretive categories and procurement efficiencies.

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EBITDA for the quarter was INR68 crores, representing a growth of 36% year -on-year with margins improving by around 30 basis points versus last year to 4%. In this quarter, there is an exceptional impact of new labor code of INR6.1 crores on PAT. Adjusted for the one -off impact of new labor code, PAT margin was 2.3% with PAT at INR40 crores, that is a growth of 36% over last year. Our reported profit after tax increased 15% year -on-year to INR34 crores with PAT margin of 2%.

On working capital front, I had shared during the last quarter that optimization remains a key priority for us. The same is now reflected in our net working capital days on a like -to-like basis that improved to 61 days in Q3 FY 26 from about 66 days in quarter 1 and 63 days in quarter 2. Reported NWC at 64 days is primarily due to change

in grossing up GST tax rate on sale from

12% to 5% in quarter 3, which doesn't reflect 2 days of inventory reduction and 1 day of receivable reduction. One of the most important key positive improvements that was reflected in operating cash flows with OCF at INR49 crores in the quarter. This is driven by our ongoing focus on EBITDA margin expansion and improvement in working capital management.

I'm confident that we are on track to deliver operating cash flow for the year in the range of INR100 crores through improvement in EBITDA margin profile and initiatives being undertaken to further optimize working capital. You can also see a steady improvement in the return ratios. Return on capital employed improved to 14.8% in quarter 3 from 13.8% in quarter 2. Return on equity excluding impact of new labor code in India increased to 12.3% from 11% in the last quarter.

Operationally, our reach and network have continued to expand. In the first 9 months of the year, we cater to over 97,600 retail pharmacies and more than 3,000 hospitals across 505 districts in India, supported by 131 strategically located warehouses and 89,200 -plus SKUs sourced from

more than 3,100 healthcare manufacturers.

Our relationships with such a huge range of healthcare product companies, nationwide pharmacies and hospital reach, robust and technology-enabled last mile distribution infrastructure creates a very strong business model and differentiated value proposition for both our suppliers and customers.

Now coming to inorganic growth progress. We closed acquisitions of Anand Medilink in Pune, Ace Cardiopathy, Bioaide Technologies and Anand Chemiceutics in MedTech segment. Each of these acquisitions further expands our distribution reach, widens our product segments and builds new capabilities for us. Particularly in MedTech segment, we have added scale in IVD, Cardiology, POCT devices, lab consumables, etc.

As I have already guided, post-completion and integration of all these businesses, annualized revenue will cross over INR1,000 crores in MedTech segment. There will be a positive impact of 70 to 90 bps on gross margin and 50 to 75 bps on EBITDA margin on a pro forma basis after all the acquisitions are integrated with us. This segment represents an attractive growth opportunity for Entero along with margin enhancement potential. Overall, we are very well

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poised to accelerate the growth, margin expansion and cash flow generation journey post-integration of the acquisitions and are on track to achieve our FY26 guidance.

With this, I close my opening remarks and invite people to ask questions. Thank you.

Moderator: The first question is from the line of Avnish Tiwari from Vaikarya Change LLP.

Avnish Tiwari: Congratulations on closing these medical device transactions. Prabhat, can you articulate your growth strategy in this medical device segment, let's say, for your branded pharmaceutical segment, you needed acquisitions as well to grow. But here, how you think -- what kind of levers you can pull to accelerate growth here?

Prabhat Agrawal: Yes. Thank you, Avnish. I believe that in MedTech segment, you can grow much faster without a lot of inorganic acquisitions because unlike pharma in MedTech, you can do a lot of pan-India exclusive distribution deals with a lot of companies because there are not many specialized distributors in this space in India. And the companies also are looking for people who have pan-India reach, who can give access to them, who can give customer access at an all-India level to them.

And there are very, very few players who can do that. So now we have kind of built a reasonable scale of INR1,000 crores plus in MedTech. I think it gives a lot of opportunity for us to grow all from here.

Avnish Tiwari: Right. And what is the existing infrastructure you think you can lever

age either physical or as

you grow, which you already have? If you can just help us understand that part?

Prabhat Agrawal: Yes. So like we have 130 warehouses. We have existing relationships with all these pharmaceutical companies who also have MedTech segments. For example, Abbott has diagnostic, devices and stuff like that, same with Roche. So, our existing relationship with the companies, our distribution infrastructure further provides leverage to grow this business together. There's a lot of synergies that can happen between pharma and MedTech for us.

Avnish Tiwari: Right. The second question I had on the margin side. If you look at the leverage to over time with the scale improving margins, it was somewhat different here in MedTech because as you can scale, you get better pricing terms compared to more association-driven segment, which is branded pharmaceutical.

Prabhat Agrawal: Avnish, can you repeat the last part? I didn't understand very well, sorry.

Avnish Tiwari: I meant to say as you become bigger, as you grow in this business, do you have an ability to get better margins or better pricing -- volume-based pricing in MedTech? Is it better than you would have in branded pharmaceuticals?

Prabhat Agrawal: Yes, certainly. The reason because in the MedTech segment, the distributors not only play only the demand fulfillment part, but they also play an active role in demand creation part. So, the companies also depend on distributors to grow sales. And for that, they kind of -- if you grow their business, they are ready to part with more margins with distributors.

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Avnish Tiwari: And lastly, is there an opportunity for over time getting to private label here, which you have seen in some places. But in India, you think not today, but over time, when you scale up in this business, you can think on that line?

Prabhat Agrawal: Yes. One can think on those lines on launching some of your labels as well. We have some

private labels on home healthcare. But as of now, it's not scaled up. It's still pretty small. But over a period of time, we will definitely push for it.

Moderator: The next question is from the line of Dev from Seven Rivers Holding.

Dev: Congratulations on a great set of numbers. Just to clarify, you had given a guidance of achieving a CFO of INR100 crores in FY 26. And so far in 9 months, we've achieved a negative INR8.5 crores CFO. Does that mean that you're looking to generate over INR100 crores in CFO in Q4 alone?

Prabhat Agrawal: Yes, that's what we are shooting for, Dev.

Dev: Got it. Now the earlier guidance that we were given is on your EBITDA margins for the full year to be north of 4%, and looking at the trend so far in 9 months, we have achieved around 3.8%. So to meet that guidance, we'll have to cross 4.5% in EBITDA in Q4 alone. Are you still holding on to that guidance of achieving a 4% EBITDA margin?

Prabhat Agrawal: Yes. So I think now all the eyes will be on quarter 4, because everyone can work out this math that on a full year guidance and subtract 9 months actual, so what is it that needs to be done in quarter 4 to achieve the full year numbers and we are on track to deliver our full year guidance.

Dev: Got it. Lastly, just a bookkeeping question from my end. Why has your interest cost gone up significantly while the working capital days have improved or rather you've generated a CFO this quarter. Why is interest cost going up?

Prabhat Agrawal: Because we have been acquiring companies. So, we have been investing in acquisitions so that cash is going out, which was earning interest for us before. IPO funds are almost used now.

Dev: Are there any plans for a further fund raise or loading on some additional debt for the next set of acquisitions?

Prabhat Agrawal: So broadly, we have completed all the big acquisitions now. As of now, we

are not looking

forward to raise any equity capital. There could be some movement in debt, but overall, we are not looking to do more meaningful acquisitions from here on. I think next few quarters, we will spend in consolidating what we have acquired because we have made big moves in this financial year. So we'll wait for some quarters, stabilize operations, improve margins, improve cash flows, and then we will look for new acquisitions.

Moderator: The next question is from the line of Naman Bagrecha from IIFL Capital Services.

Naman Bagrecha: One question. Our listed, let's say, peer highlighted that they have discontinued their Amazon partnership. Does this benefit Entero in anyway?

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Prabhat Agrawal: Sorry, I didn't hear very well. What have they discontinued?

Naman Bagrecha: They have discontinued the partnership with Amazon -- one of our listed peers highlighted on the call that they discontinued their partnership with Amazon. So does this in any way benefit Entero?

Prabhat Agrawal: Yes, it does.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Good show. Congratulations. One question on the acquisition, you mentioned to slow down a little bit for next couple of few quarters. So next year, the capex required will be lower. We'll be focusing more on generating cash, retain that and then maybe look out for acquisition maybe in FY28. That understanding stands correct?

Prabhat Agrawal: Yes. So that's what I said. Next 2, 3 quarters, we have done some big acquisitions in this year. So we'll focus on integrating those with us. And there are a lot of other businesses that can grow significantly. So MedTech segment also, as I said, is a focus area for growth for us. So I think next 2, 3 quarters will be a little bit slow on acquisitions. Next 3 quarters, we focus and improve our margins, improve our cash flows, and then we'll evaluate more opportunities.

Chintan Sheth: Right. And on the competition front, as I'm seeing PharmEasy kind of getting back on its feet, not completely, but they are at least recovering over time. Does that challenge us in a way that by the time we get into the market for right acquisitions, there will be also a party competing with us in acquiring businesses, which we are kind of looking forward to?

Prabhat Agrawal: In my view, that's not any much of a concern for us right now because when we started off, PharmEasy was acquiring businesses. And we were also acquiring at the same time. And then PharmEasy went through its own set of issues and they kind of stopped the acquisition.

I'm not sure if they are looking to get back into this space aggressively in future. But even if they choose to do so, I don't see much of a problem because the set of distributors available for acquisitions are huge, while the buyers are only 2 or 3.

Chintan Sheth: That dynamic remains the same. That's what you're trying to say.

Prabhat Agrawal: Yes, it doesn't change the dynamics much.

Chintan Sheth: Got it. And on the employee cost, the provision which you have made, that's kind of retrospective. But does that -- on the recurring basis going forward, does have any implication

to our employee cost and margins because of the new labor code? Do we see or expect some incremental pressure on employee cost because of the higher provision required under the new labor code, and if you can quantify?

Balakrishnan Kaushik: Chintan, this is Bala here. So, what we have recognized under exceptional is the past service cost, which is a one-time cost. Going forward, we don't expect the numbers to materially affect our overall margins. We don't expect that.

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Chintan Sheth: So ballpark, what we are currently or historically being operating as a percentage of revenue, we

kind of try to maintain and improve upon it, if at all?

Balakrishnan Kaushik: Yes, that is correct.

Moderator: The next question is from the line of Bhargav Buddhadev from Ambit Asset Management.

Bhargav Buddhadev: Congratulations on good performance. Sir, my first question is, is it possible to share what would be the gross margins and the EBITDA margins in MedTech business?

Prabhat Agrawal: So Bhargav, we have not disclosed product-wise margins. But we have given you a pro forma impact of that, like 70 to 90 basis points improvement over -- on an overall basis for us, on the gross margin and 50 to 75 basis point improvement on the EBITDA on an overall company basis.

Bhargav Buddhadev: Okay. So this is primarily contributed by MedTech?

Prabhat Agrawal: Yes, because what we said in the investor presentation, this is just a pro forma impact, not including impact from anything else.

Bhargav Buddhadev: Okay. Understood. And maybe in the next 3 years, where do you see this business shaping up for you?

Prabhat Agrawal: We are very, very bullish and optimistic about this business. This is an unique opportunity in India in a very large market size, more than INR3 lakh crores of market size available for us to go in with a very clear right to win in this segment. The value proposition that we offer both for our customers and to our vendors is very unique.

Not many people can offer the same value proposition. I give, for example, like GLP drugs, it has been launched. Almost, I would say, 10% of GLP drugs is being sold by us. The reason being because we have a pan-India presence, we can enter into relationship with the companies.

And then at one point in time, they get access to a huge market through us.

Bhargav Buddhadev: And lastly, sir, you said that in terms of acquisitions, now it's time to sort of slow it down. Does that mean that organically only we are seeing almost 20% -25% revenue growth opportunity?

And therefore, it makes sense to first integrate the acquisitions made so far and then maybe 1 year down the line again, we look at acquisitions?

Prabhat Agrawal: So, if you look at the next year, all the acquisitions that we did this year are basically in the second half of this year. And part of it in quarter 3 and some in even quarter 4. So the full impact of these acquisitions will be visible in the next financial year. So, a lot of growth will come just because of the timing impact of acquisition that we did this year, plus the organic growth. So I mean, next year, the revenue growth are all sorted. And we would want to focus on first few quarters on improving it. And then anyway, once we see the cash flows and all that coming, we'll keep identifying opportunities and maybe do something next year for FY28. But FY27 is more or less sorted just because of the work that we have done in this year.

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Bhargav Buddhadev: And lastly, sir, do we have any exposure to this nutraceutical market? How big is that for us? Is it likely to become big?

Prabhat Agrawal: I mean we have exposure to nutraceutical like we are doing distribution for Himalaya, Dabur, Jeena Sikho, many companies, Well being, -- many nutraceutical companies. So it's part of our portfolio. I mean, if they grow at a rate higher than the overall IPM growth rate, we will enjoy that growth rate in our business as well.

Bhargav Buddhadev: And year end the margins will also be better, right, because they need you more than you need them all, maybe I'm wrong.

Prabhat Agrawal: I mean both need each other. So it's like if those products are being sold at a medical counter, a pharmacy counter or a hospital, it will become or it is part of our portfolio. So, the retailers will take it from us. I don't see any big meaningful difference coming from there. See, we are an aggregator. We have all -- as I t

old you, we have 87,000 SKUs in our portfolio with more than 3,000 -plus companies. I don't think anyone would have such a big portfolio . So, few companies will not make a big difference in that portfolio.

Moderator: The next question is from the line of Akshat Mehta from Seven Rivers Holding.

Akshat Mehta: My first question is on the growth path, sir. This year that we guided for 30% like -for-like growth rate. That implies that we will have a 35% growth requirement in Q4. Will we be able to achieve that? And sir, are we planning to get to a 35% revenue growth sir? And on the other side is also, given the acquisition slowdown that we are expecting next year, what is the kind of growth that we should look for? Is it 30% or 20% -25%? What should be kind of taken into our assumptions?

Prabhat Agrawal: So coming first to answer your question on this year, which I answered also previously in this call, that Q4, we can work out the math. And you are right in your math that to deliver 30% like -to-like, we'll have to grow 35% in quarter 4 . And same for margin, same for OCF, everything goes. So what I've said, we are on track to deliver full year, which means we are on track to deliver Q4.

Akshat Mehta: Okay. And sir, next year, how should we look at growth?

Prabhat Agrawal: So next year, whatever acquisition that we have done this year, the impact of this will be felt in the next year, in terms of revenue growth . So, plus there will be organic growth as well. So even without much of an acquisition, our growth rate is not going to materially come down.

Akshat Mehta: Okay, sir. Next is on the margin side, sir. Are...

Prabhat Agrawal: Guidance for next year, maybe I'll give you in Q4 conference call, probably I'll give you the broad range of numbers that we can look for next financial year.

Akshat Mehta: Okay. Sir, next question is on the margin part, sir, you said earlier that we are obviously looking at doing 4.5%. Can you help us understand what will be the factors that will drive 4.5% margins in Q4?

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Prabhat Agrawal: See, the impact of MedTech acquisitions will drive the margins up plus all other factors that we continuously work on.

Akshat Mehta: Okay. Just a small bookkeeping question as well, sir. Our other expenses have kept on increasing very sharply every quarter -on-quarter. Sir, what is the key factor behind increasing other expenses?

Prabhat Agrawal: So when I see the MedTech acquisitions and all, they come with a higher gross margin, but at the same time, they come with a higher cost also because they are in the business of demand generation also. So the cost structures are not as lean as pharma distribution. At the same time, the gross margins are also high. So one should look at the net margin impact -- net EBITDA margin rather than only gross margin or only operating leverage. Excluding that, there is a good operating leverage on our business.

In fact, if you look at even inclusive of that, we were like 20 basis points improvement over quarter 1 of this year. Quarter 1, our expenses were around 6.4%. Now , it has gone to 6.1%.

Akshat Mehta: Okay. One last question, sir. Just wanted your views on what will be the impact of this new trade deals that have happened with U.S. and EU on the industry as a whole and probably for the company, if you can share your views on that?

Prabhat Agrawal: I can speak about our company. In our company, we are insulated from these global trade deals and all that because we are focused on domestic India market . We are not exporting anything out of India and our import component is also very low . So, we are practically more impacted by what happens in India consumption story, what happens in India macro, what happens in India healthcare rather than U S or EU trade deals with India.

Akshat Mehta: So will it not be positive for us

if...

Moderator: Sorry to interrupt you, Akshat. Can you please rejoin the queue for more questions? The next question is from the line of Rikeen Dalal from Ficom Advisors LLP.

Ronil Dalal: It's Ronil Dalal. Sorry, I think it's a mistake in the name . So, my first question is that on the cash flow from operations, you had mentioned to an earlier participant that we are on track to do over INR100 crores for the fourth quarter. So what could be the drivers or mathematics behind that? What are your assumptions there?

Prabhat Agrawal: The assumption would be increase in EBITDA margins and reduction in days of working capital. I mean, basically, cash flow is a function of these two only, how much margins we are generating adjusted for change in working capital.

Ronil Dalal: So we are still on track for working capital days moving towards 60?

Prabhat Agrawal: Yes. I mean what we are saying is we are on track to deliver that INR100 crores of OCF . On a full year basis, which means that it will have to happen in the fourth quarter because on YTD basis, we are almost breaking even on cash flow, which is a significant improvement if you consider versus last year.

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It's not that everything is going to happen in last quarter only. In quarter 3 also, we generated almost INR49 crores of positive cash flow compared to negative INR21 crores in the last year quarter 3. So it's almost like INR70 crore s improvement has happened in this year also in 1 quarter itself.

Ronil Dalal: Sure. The next question is that I just wanted to check some of your older acquired companies, like maybe if I give an example of GS Pharma is reporting losses, while the revenues are still increasing. So what factors are contributing to this? What are the thoughts around shutting down companies which are loss -making for extended periods of time in case any such companies you are having?

Prabhat Agrawal: We have done similar actions before. We have closed down. We closed down a company called CPD Pharma before. We closed down a branch in Tirupati before. We closed down a branch in Belgaum before. So , that's a normal process on where we see that, that particular subsidiary is not making sense, then we kind of walked away from it. Specifically for GS Pharma, I think it's also because of the interest being charged from Entero to the subsidiary while on an EBITDA level, they are not at loss.

Ronil Dalal: Right. Next is that is procurement from pharmaceutical companies currently centralized? Or does it occur at the individual entity or pharmacy level? And the second is, do you operate on a hub and spoke distribution model in markets such as Mumbai, Bangalor e and Hyderabad?

Prabhat Agrawal: So, the first question that whether it's centralized, so all the procurement is happening at the local level. The supplies are being received at a local level from the local CFAs. The discussions, negotiations and anything like that is happening at central level, but the supplies are happening at local level.

Ronil Dalal: So we get the benefit of centralized purchase...

Moderator: Sorry to interrupt you, Mr. Dalal. Sorry to interrupt you. Can you please rejoin the queue?

Ronil Dalal: No, it's the same question.

Prabhat Agrawal: Same question, let him...

Ronil Dalal: I think that the question is not answered yet.

Moderator: Okay.

Prabhat Agrawal: Go ahead, Rikeen -- sorry, Ronil.

Ronil Dalal: No, no. I was just saying that the question was left unanswered. So the second part was on the hub and spoke. And do we get the benefits of centralized purchase?

Prabhat Agrawal: So yes, the centralized purchase -- the discussion negotiations and all that happen at the central level, but supplies happen at the local level because it doesn't make sense to buy centrally in one warehouse and then redistribute to 130 warehouse s. Becaus

e that will just add to your cost. So

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all the deals and discussions happen at the central level, but supplies we are receiving at the local level because that's the most efficient way to do it.

Ronil Dalal: And the hub and spoke, sir?

Prabhat Agrawal: What exactly would you mean by hub and spoke?

Ronil Dalal: No, sir. I was saying that say, supposing like Mumbai, Bangalore, Hyderabad, places where you have like a lot of volumes, instead of having many warehouses, would you maybe have some centralized warehouses? Because earlier, we didn't have that. So I was ju st wondering in case we have transitioned to having large warehouses, which then cater to the smaller areas and...

Prabhat Agrawal: So, it is not possible to supply Hyderabad from Mumbai, for two reasons. One, that we are in the last mile business where...

Ronil Dalal: No, no, not Hyderabad -- sorry, sir, sorry to clarify, but not Hyderabad to Mumbai. In Mumbai, you would have large warehouse catering to Mumbai. Bangalore, larger warehouses catering to Bangalore. For example, earlier, you may have had maybe 10 warehouses in the city of Mumbai, which are smaller in size. Maybe then you move to a large warehouse, which then caters to two-three smaller ones. So then you move from 10 warehouses to 4 example, like.

Prabhat Agrawal: Yes, yes. That we have. So we have a large warehouse in Mumbai, which is catering to large part. And from there, we supply to other smaller places also like Than e and others . So that always happens.

Moderator: The next question is from the line of Vansh Solanki from RSPN Ventures.

Vansh Solanki: My question is on particular on private labels and generic and MedTech. So currently, how much revenue contribution is from these segments? And after the acquisition of Anand, what will be the revenue contribution you are expecting from these segments for private labels, generics and

MedTech?

Prabhat Agrawal: So MedTech, I think we have given that post INR1,000 crores coming into our books, it will reflect almost 15% of our business. Generic and private label are still very small part of our business in low single -digits.

Vansh Solanki: Okay. And second is on that our effective tax rate is continuously lower like 16% -18% in quarter 1 and quarter 2 and also this quarter also, it is 13%. So, are we getting benefit from tax or any taxes or this will continue or we will come to the normal 25% corporate tax levels?

Balakrishnan Kaushik : So currently, we have certain losses available to us carry forward losses on account of which currently you are seeing the effective tax rate at about 18%. As and when those losses get completely consumed, the tax rate obviously will slowly go up a bit. But for this financial year, we are holding on to our 18% of effective tax rate.

Vansh Solanki: Okay. Can you give me a number, how much accumulated losses are there as of now? Or maybe if your number is available for now, then you can give also for September, if you have?

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Balakrishnan Kaushik : So, if you look at the losses, probably we will utilize all those losses maybe by next year.

Vansh Solanki: Okay. That will be also helpful. And last question on the bookkeeping. How much is gross debt and net debt level we have as of quarter 3 end?

Balakrishnan Kaushik : So net debt is at about INR200 crores. And we had cash of about INR250 crores.

Moderator: The next question is from the line of Swaraj Mehta from Perpetual Capital Advisors.

Swaraj Mehta: I'm relatively new to the company. I just had one question. What metrics do we look at before acquiring companies? And what is the reason for acquiring companies? Is it scale or reach to clients?

Prabhat Agrawal: So, we acquire distributors to gain entry into those geographic segment and product segment .

So, with any acquisition, what comes to us is basically a portfolio of companies, a portfolio of customers, operating in a particular product segment or in a particular geography. Did I answer? Or do you want me to elaborate more?

Swaraj Mehta: Yes. And what metrics do we look at before acquiring company? Like what are the key things we look at before acquiring a particular company?

Prabhat Agrawal: So basically, the most important criteria we look at before acquiring company is what is that company going to add to us because we're already sitting on a wide network today . We don't want a duplication of our network. So what is it that unique thing that is going to add to us, which will be more difficult or time -consuming for us to build ourselves. So, either he is giving us a new geography that is a difficult geography for us to go on our own or he is giving a product segment that is very difficult to build on our own or will take time to build on.

So if you look at last year's acquisitions, and I've given that in one of the slides and rationale for each of those acquisitions. So , some acquisition gave us entry into MedTech segment, which was not our forte before. Some people gave us you know say, trade generic exposure. One of the acquisitions gave us one of the largest presence in Pune as a market, which is a large market. So like that, every acquisition has to add something to us, either a new geography or a new product segment like that.

Moderator: The next question is from the line of Pranay Roop Chatterjee from Burman Capital Management.

Pranay Roop Chatterjee: Yes. My question is pertaining to the launch of GLP -1 products expected in the near -term. So , I'm thinking about it from two perspectives. One is you have an existing product, which contributes -- obviously, you put it the other way, where you sell 10% of GLP -1 products. Based on the numbers I can see at an IPM level, that would likely be high single -digit to low double -digit p ercentage of your existing business. So it's a meaningful contributor.

One impact would be when these cheaper alternatives come into the market, there could be some hit to your existing business or there could be a cap to further growth because this existing product has been growing tremendously on a month -on-month basis.

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The other second order impact is that if there is a new product that is expected to be launched, I would expect that a pan -India distributor to get an upfronted disproportionate benefit just for the sake of easier access to the market or wider access before it normalizes and all the smaller guys also get a piece of the pie. So from these 2 perspectives, netting off against each other, how do you see your overall throughput expanding over the next, let's say, 4 quarters simply because of these new products launching?

Prabhat Agrawal: Yes, Pranay, one, we have to look at our base. Our base is huge. Our base is today more than

INR7,000 crores annual revenue . So, any one particular product is not going to make a very meaningful change in our growth profile or anything like that . Because even if we are doing, let's say, the GLP -1 is still a very small proportion of our sales because we are selling so many other products at the same time.

And let's say, by end of March or April, the semaglutide new players come in, generic players come in. And we will continue to sell their products also. How much share they will take from the innovator because today, most of the sales is only from the innovator . So overall, the market is going to expand. But how much it will impact our own growth, I don't think so any very meaningful part I can estimate right now.

Pranay Roop Chatterjee: Got it. My second question is on -- it's more a hygiene question. If I simply divide your organic like-for-like growth of 17% by the

IPM growth of 12%, it comes to about 1.4 x. I know it might be a myopic way to look at your business on a quarterly basis. But that being said, mathematically, this is the lowest quarterly outperformance we have seen, at least since I have started collating the numbers from back in FY '23. So is there any one-off or we should just ignore this quarterly volatility?

Prabhat Agrawal: I would say just ignore this quarterly one. I mean I was also surprised to see such a huge growth on the IPM side because last 4 -5 quarters, the IPM had been growing by 7% -8%. And in this quarter, it grew by 12% . So the denominator completely changed. I wouldn't read much into it.

Moderator: The next question is from the line of Binoy Jariwala from Upadhyay Investments.

Binoy Jariwala : Prabhat, two questions from my side. So one is that you've already called out that next 2 -3 quarters, the focus will be on integrating the acquisitions, improving the margin profile and working on reducing working capital. Is there any target for FY 27 that you would like to call out in terms of cash flow generation as well as working capital day reduction?

And the second question is how many more INR100 crore plus revenue size acquisitions are actually available now for you going forward, whenever the pace -- you decide to increase the pace of acquisition?

Prabhat Agrawal: So, your first question, on FY27, I'm not giving the guidance, except that I can only say that FY27 is going to be far better than FY26, given the fact that a lot of work we have done in the second half of FY26 is going to have a full year impact for next year. But we will talk about the next year numbers in the next call when we'll have the full business plan and everything ready.

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Coming to your second question, how many distributors of above INR100 crores are available?

There are many available. So even today, we have so many in our pipeline. So , when we decide to go back to the market and shop for more, we would find enough targets.

Binoy Jariwala : So just a follow-up on this. Would you say that whenever you go back to the market, you have a pipeline visibility of at least a couple of years?

Prabhat Agrawal: So pipeline is already there with us. There are many people who keep approaching us for collaboration. So , we have the pipeline ready. Once as I told you, next 2 -3 quarters, we improve on our own internal operations, internal metrics. And then we will go and see which of those pipeline are still there and which of those pipeline would make sense to us.

Binoy Jariwala : Understood. If I may ask one more question.

Moderator: Sorry to interrupt you, sir. Can you please rejoin the queue for questions? The next question is from the line of Vineet from Toro Wealth Managers.

Vineet: Yes, sir. So my question was with respect to like one of the participants asked you about the other expenses being increased this quarter, right? But if you can mention about the few of the line items -- a few of the top 5 line items in the other expenses because I didn't exactly get what MedTech is actually making the other expense to increase.

Prabhat Agrawal: So, in MedTech, we are doing demand generation also, which means higher manpower and more qualified manpower as compared to warehouse and delivery manpower in demand fulfilment business . There are other marketing and promotion expenses also there in MedTech. So , these are the 2 big cost items that are there when you do demand generation activity as well. That helps you to drive higher gross margins. But that expense ratio, they will be higher compared to pure-play pharma distribution.

Moderator: The next question is from the line of Reshab Sisodiya from Bastion Research.

Reshab Sisodiya : Yes. Sir, I have a slightly longer-term question about the business. So if you could just explain the levers

behind the organic growth, which we have at 1.5x and more, higher than that. So what are the levers if you could just quantify, let's say, is it the increase of the wallet share of the existing customer? Is it the cross-sell that we do to the newer acquired customers via the M&A activities? The reason I'm asking, I'm trying to understand what would be a sustainable growth

rate for our business, let's say, 5 years down the line when we would be out of having any sizable or meaningful acquisitions?

Prabhat Agrawal: Yes. So a very good question, actually. And this is basically the core of our business. Why should we grow faster than the industry or why should we grow faster than our competitors. And this is totally dependent on the value proposition that we offer to our customers. So what do we offer to our customers?

We offer to our customers a very huge product portfolio. Today, the pharma market is so fragmented that for any retailer to run a shop, he needs 6,000 different items. Those could be divided over 300-400 companies. We offer him an opportunity to consolidate his buying through

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one buyer, one supplier. So, he gets a huge amount of convenience in terms of getting a large portfolio fulfilled through us.

Secondly, our service levels to him in the sense that we are delivering 2 to 3 times per day. We are running our warehouses 24/7. So, he can place the order right before closing a shop and he gets the goods just before opening a shop in the morning. So, he can order on our app, so he doesn't have to do manual ordering and all that. So, all this is a big value add for a customer, and that helps us to gain wallet share at his counter.

And at the same time, we also expand our customer base. We keep hunting for new customer, new shops that are opened in the area. We expand our geographical reach. So, we are going from main center in the city. We are also going to the nearby districts where we offer the same value proposition because we are sitting on a huge portfolio, the portfolio of products. And that gives you a huge advantage over anyone else in business.

And that's the reason why we have been acquiring also companies to build that portfolio because we have the customer -- it's like a 2-way moat. Why do so many companies come to you because you have such a huge customer base and why do so many customers come to you because you have so many products to sell to them or they can buy from you. So that moat reinforces itself every time, every time we add companies or every time we add customers.

Reshab Sisodiya: Understood. Sir, can I have a small follow-up on this?

Prabhat Agrawal: Yes.

Reshab Sisodiya: Sir, can you just give any guidance for maintenance capex for our business? So if you could just explain me that. So we have been continuously increasing our overall warehouses. So I'm just trying to understand what is like a peak asset turns for us or any color on that, it would help us understand better what would be the incremental return on capital potential for our business given we are continuously decreasing our working capital days and what would be -- for the operating leverage benefits for our business?

Prabhat Agrawal: So as you know, our business is not capital intensive. It's only working capital intensive. So fixed assets point of view, we have a very small, fixed asset base because most of the -- not most, all of the warehouses are on leases. So, the only equipment that we would put there are storage equipments and cooling equipments to maintain the temperature and stuff like that.

So capex point of view, it's very minimal compared to the revenues that we generate from that warehouse. Probably to do one warehouse, you would not need more than INR30-40 lakhs of capex.

Moderator: The next question is from the line of Prateek Shrivastava from

Nivesh Wisdom.

Prateek Shrivastava: Sir, I recently attended one of the con calls for the ayurvedic healthcare provider. I think they were mentioning in the -- openly mentioning in the call that they have tied up with you for the distribution of their ayurvedic products. But they also mentioned that for allopathic and other

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devices, the margins are high, but for these, the margins are low. So is that true? And why are we getting into low margin if that is true? So I want your...

Prabhat Agrawal: Sorry, what did they say in the last -- I didn't hear that conference call, so you'll have to tell me what did they say?

Prateek Shrivastava: So, in that conference call, sir, they were saying that they have anyways tied up with Entero for their ayurvedic supplements and other products for distribution. But they were also saying that it is better for them to tie up and they were saying they are getting that at a lower margin than what typically you charge for other like allopathic sort of products like other electronic devices or other things, right? So is that true? I want your -- I want to hear from you also on that. What is the margin -- what are the margins going to be in the ayurvedic products distribution, sir?

Prabhat Agrawal: So ayurvedic products don't carry lower margins than other pharmaceutical products. So, the normal pharmaceutical product margins are like 10% plus. So it's in the same line or it could be more. It won't be less.

Prateek Shrivastava: Okay. All right, sir. Okay. If I can ask just one more question, sir, because on the U.S. Now there are other U.S. devices also coming in...

Moderator: Mr. Pratik, sorry to interrupt you. Please rejoin the queue if you have a follow-up question. The next question is from the line of Sumit from Finserv Analytics.

Sumit: I have a simple bookkeeping question on debtors outstanding for more than 6 months. What is the amount of debtors outstanding for more than 6 months as on December -25?

Prabhat Agrawal: So all the debtors which are at different aging profile, they are adequately provided. We are not giving the debtor hedging separately in the deck. Whatever as per the accounting policy of the company approved by the auditors and the Board, whatever provision is required to be made is being made based on the aging profile of the debtors.

Sumit: Okay. I wanted to understand what is the amount of debtors outstanding for more than 6 months as of December -25?

Prabhat Agrawal: We don't give that kind of a data. Why would you need that data? What would you do with that data?

Sumit: Okay. Just for the valuation purpose and to understand how much provision can come in future?

Prabhat Agrawal: Just based on that data, you wouldn't be able to take a judgment on how much provision is required. That judgment is being taken by the management.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Just a follow-up and clarification on the cash flow, sorry to hop on it. You mentioned third quarter last year was negative INR23-odd crores. And first half, I think it was INR62-odd crores negative. So 9 months, we were down INR85 crores and the full year was down INR77 crores.

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And this year, we are kind of recovered from INR85 crores negative to negative INR8 crores.

Already INR100 crore's delta is -- largely has been covered. So is that the numbers right? I'm just trying to reconcile that. You mentioned INR23 crores, last year it was INR62 crores, INR85 crores was 9 months negative.

Balakrishnan Kaushik: So Chintan, numbers are right. And when you're looking at operating cash flows, yes, there has been a significant improvement in Q3. So like Prabhat mentioned earlier, we've done INR49 crores of positive in

Q3 itself. And we were INR47 crores negative in Q1, INR10 crores negative in Q2. So we are about INR8 crores as of YTD, and we maintain our full year cash flow projections, operating cash flow projections. We maintain that.

Prabhat Agrawal: Last year, on a full year basis, we were INR77 crores negative.

Chintan Sheth: Down INR77 crores, correct. So fourth quarter implied was positive only.

Balakrishnan Kaushik: Yes. Last year, fourth quarter was positive, yes.

Moderator: Ladies and gentlemen, we'll take this as a last question for today due to time constraints. I now hand the conference over to Mr. Prabhat Agrawal for his closing comments. Over to you, sir.

Prabhat Agrawal: Well, thank you, everyone, for joining this call, and thank you for your trust in the company. If you have any questions, which has been left unanswered, please do reach out to SGA or to our IR team. Thank you once again for joining. Bye. Take care.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: Please note that the transcript has been edited for the purpose of readability and accuracy.

Call: Jun 2026

Ref: 12/SE/LC/202 6-27 Date: June 02, 2026

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NSE: ENTERO

ISIN: INE010601016

To,
Head, Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai - 400 001

Head, Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

Dear Sir/Madam,

Subject : Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 - Transcript of Earnings Call/ Conference Call
In continuation to our letter dated May 21, 2026 bearing reference no. 05/SE/LC/2026 -27 and pursuant to Regulation 30 and Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call/ Conference Call held on May 26, 2026 at 12:00 P.M. (IST) to discuss the Company's Audited Financial Results for the Quarter and Year ended March 31, 2026 is annexed herewith .

This is for your information and records.

Yours faithfully,
For Entero Healthcare Solutions Limited

Sanu Kapoor
Vice president - General Counsel, Company Secretary
& Compliance Officer

Encl: as above
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"Entero Healthcare Solutions Limited
Q4 FY26 Earnings Conference Call "
May 26, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 26th May 2026 will prevail.

MANAGEMENT : MR. PRABHAT AGRAWAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. BALAKRISHNAN NATESAN KAUSHIK
– GROUP CHIEF FINANCIAL OFFICER

ANALYST : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '26 Earnings Conference Call of Entero Healthcare Solutions Limited, hosted by Dam Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference call is being recorded.

Before we proceed, this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Nitin Agarwal from Dam Capital Advisors. Thank you, and over to you, sir.

Nitin Agarwal : Thank you. Hi. Good morning, everyone and a very warm welcome to Entero Healthcare Solutions Q4 FY '26 Earnings Call hosted by Dam Capital Advisors Limited. On the call today, we have representing Entero Healthcare Solutions, Mr. Prabhat Agrawal, Managing Director and CEO; and Mr. Balakrishnan Natesan Kaushik , Group CFO. I will hand over the call to the management team to make the opening comments, and we'll open the floor for questions. Please go ahead, sir.

Prabhat Agrawal : Good afternoon, everyone, and thank you for joining our earnings conference call to discuss the performance of quarter 4 financial year '26 and the full year. I'm joined by Mr. Balakrishnan Kaushik, Group CFO; and SGA, our Investor Relations advisers on the call. I hope everyone had an opportunity to go through the financial results and investor presentation, which are uploaded on the stock exchanges as well as on our company's website.

I'll start with the performance update of the full year, followed by quarter update, following which I will cover guidance for financial year 2027 and provide updates on the strategic initiatives and operational improvement efforts in the organization. Let me begin by first reminding ourselves of the vision we have set for our company.

We started this company 8 years ago with a vision to create a scalable, comprehensive and integrated health care distribution platform, which can add value to the entire health care ecosystem. Currently, the health care supply chain industry sized over USD 33 billion is extremely fragmented, which presents a massive opportunity for consolidating the space through use of technology and scale -- sorry, technology.

And scale-led benefits along with capitalizing on available M&A opportunities. We have been on this journey for almost 8 years now and have made significant strides in creating a PAN-India distribution platform, which is today serving more than 100,000 retail pharmacies that is almost 1 out of every 10 pharmacy in India and 3,600 hospitals spread over 523 districts of India to get access to one of the largest product portfolio of 97,500 SKUs.

The platform also serves over 3,300 health care manufacturers who get wide access -- market access. This year, we expanded our presence beyond pharmaceutical to include Medtech, Entero Healthcare Solutions Limited
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especially in the diagnostic and medical device space, which are synergistic and broadens and strengthens our platform.

We believe we are in a unique position to create a very impactful and extremely scalable organization that can proudly support the nation's objective of providing quality and reliable health care access to a billion-plus population in India. Now coming to the financial performance summary. At the beginning of financial year, we set out a few financial targets for us

. And I'm

pleased to share that we have delivered on each of those parameters.

First one, we guided for revenue growth of 30% year-on-year on a like-for-like basis, that is growth adjusting for the base impact of revenue recognized on a net margin basis and divestment of a subsidiary. In line with the guidance, our full year revenue on a like-for-like basis grew by 31.5% with top line at INR6,591 crores.

We outperformed IPM by 1.6x, delivering an organic like-for-like growth of 15.6%. The inorganic growth was 16% year-on-year during the year. Our second parameter for guidance was achieving EBITDA margin of 4% for the full year. Again, I'm pleased to share that we delivered 4% EBITDA margin, which is +67 basis points year-on-year with EBITDA at INR266 crores.

This came on the back of gross margin expansion of 78 basis points year-on-year to 10.3%, driven by better product mix and procurement efficiencies. Gross profit came in at INR680

crores, up 40% year -on-year. Full year PAT stood at INR146 crores with PAT margin of 2.2%. PAT grew by 36% year -on-year.

Our third parameter of guidance was operating cash flow. We continue to optimize working capital and net working capital days continued to improve on a quarterly basis through the initiatives taken during the year. Our optimization efforts, especially on inventory and accounts receivable side, along with improved EBITDA margin drove operating cash flow of INR96.2 crores for the full year.

There is also a steady improvement in the return ratios. Return on capital employed improved to 14.6% in FY '26 from 10.7% in FY '25 and return on equity increased to 12.5% from 7.7% in FY '25. Next, moving on to quarterly performance. In line with our full year results, we saw solid growth momentum in quarter 4.

Revenue grew 42.6% year -on-year with organic growth on like -for-like basis at 17.1% and growth led by new acquisitions at 26%. Gross margin expanded by 110 basis points to 10.9% during the quarter, with gross profit growing by 59% year -on-year to INR207 crores. Our EBITDA margin was at 4.5%, that is 85 basis points plus year -on-year with EBITDA at INR86 crores, growing by 76%.

PAT margin was 2.4%. PAT grew by 44% year -on-year to INR45.1 crores. Our ROCE on a quarterly basis improved to 18.4% from 14.8% in the last quarter. ROE was 16% versus 10.4% in the last quarter. We achieved operating cash flow of INR104.6 crores with net working capital days at 59 days versus 64 days in the previous quarter.

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Now coming to acquisitions. As you are aware, we have closed 7 acquisitions during the year, including 3 in MedTech segment, which is Anand Chemiceutics, Ace Cardiopathy and Bio de Technolog y. With these acquisitions and existing presence that we have in this segment, we have built significant scale and presence in the MedTech space.

The segment now contributes more than INR1,000 crores in annualized revenue for us. We have added scale in the key subsegments of diagnostic reagents and equipment, cardiology and consumables through these acquisitions. Apart from distribution services, we also played a value -added commercial role for some of the manufacturers where we market and promote the products using our sales and marketing team.

We are further forging new partnerships with innovators and global players and expanding our sales and marketing infrastructure in these segments. MedTech distribution is a large and synergistic opportunity and diversifies our revenue mix and strengthens o ur position in the health care distribution platform with wider product offerings.

Finally, as we close FY '26 and move on to next financial year, I reiterate that we have delivered on all parameters of our guidance. With optimism and confidence for the next financial year, let me lay out our guidance for FY '27. We aim for consolidated revenue growth of 2

3% year -on-

year, excluding any new acquisitions with 5% EBITDA margins.

Our focus would be on profitable revenue growth and operational efficiencies to drive margins.

We aim to deliver EBITDA to operating cash flow conversion ratio to be at least 50% to ensure sustainable growth path for future. With this, I close my opening remarks and invite people to ask questions. Thank you.

Moderator: Thank you very much. We will now begin with the question and answer session. We will take the first question from the line of Govindarajan Chellappa from CSIM.

Govindarajan Chellappa : My first question is on the minority interest during the fourth quarter. There's been a significant jump from the third quarter to fourth quarter. And considering that most of your acquisitions, you have 70% to 80% stake, the incremental minority interest is more than half of the incremental EBITDA during the quarter. So that somehow doesn't add up. Could you just explain that?

Prabhat Agrawal : Yes. Sure. Thank you, Govind. In the last quarter of financial year '26, we had an abnormal contribution from one of our subsidiaries, which -- where we have partial stake, not full stake. And that's the reason the minority interest contribution for quart er 4 was abnormally high, b ut over next year, it's going to normalize. The minority interest is not likely to be as high as it was there in quarter 4.

Govindarajan Chellappa : Yes. I mean thanks for giving a specific guidance for FY '27. But honestly, without knowing what the minorities contribution is going to be, it's very hard for us to make sense of the overall numbers ?

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Prabhat Agrawal : So what we can say for next year, you can take around 25% to 27% of PAT before minority interest to be contribution from minority interest. This quarter, the minority interest was almost 38% of our PAT. That will be reduced by 10% to 12% in the next year.

Govindarajan Chellappa : Do you think 25 -- about 25% being minority interest?

Prabhat Agrawal : Yes.

Moderator: We will take the next question from the line of Chintan Sheth from Girik Capital.

Chintan Sheth : Am I audible?

Prabhat Agrawal : Yes, we can hear you.

Chintan Sheth : Great set of numbers. Just to clarify on the growth, you mentioned organic kind of ex acquisitions, we'll be reporting almost 23% Y -o-Y growth in FY '27. Does that include 2 components? One is the calendarization of the acquisitions which we did this year. So basically, the INR1,000 crores pro forma revenue, which we acquired this year, I think we booked around INR500 crores, INR550-odd crores during the year. So, remaining revenue is included in the 23% growth guidance, is it correct understanding, right?

Prabhat Agrawal : Yes.

Chintan Sheth : Okay. And second is, does this high growth organic growth, which we are planning, which we are expecting also includes the expectations of the GLP -1 drug for the full year impact of the generics. And if you can give some -- provide some insight into what kind of -- obviously, the role you are playing for the other part.

But any specific you want to point out on how are you looking and ensuring that we don't lose out on the GLP -1 in the coming year? If you can provide some insight into how you are approaching GLP -1 as a category? Given it's a kind of a big growth driver for the overall IPM expectation for the next year?

Prabhat Agrawal : Right. So our product portfolio is very, very wide. GLP forms a small portion of our product portfolio as GLP forms a small portion of overall IPM industry, right? But our market share in GLP is higher than our overall market share on -- in India because GLP distribution is not as widespread as a lot of other products are, right? A lot of general medicines are, right? So given the fact that we have the cold chain facility in all of our warehouses and there are a few specific

companies doing GLP -1. So we would get a disproportionate share of GLP -1 distribution for sure. It's built into our growth guidance.

Chintan Sheth : Got it. And on the minority, you clarified that. But typically, we take 2 - 3 years, right, to fully consolidate and acquire the remaining stake. That level of buying out the business will be considered or you like to continue the structure with majority ownership, but partial minority with the erstwhile owners. How should one think about it?

Prabhat Agrawal : Right. So every transaction we do or every acquisition that we do, whether in Pharma space or MedTech space, we always have the call option on the remaining of the stake because we clearly

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lay out the path how we will take full ownership of the company, okay? And the time lines, valuation multiples, everything is predetermined in the first contract itself. So we have a time line to -- we have an option to buy the rest of the stake at predetermined valuations and on a defined time line. So that option we always have.

Chintan Sheth : And the time line is basically 2 -3 years post the acquisition or more than that, just to kind of on that?

Prabhat Agrawal : So in some of the cases, it's a 3 -year period. In some cases, it could be 5 year.

Chintan Sheth : Got it. Got it. And last update on my side, and I'll jump back in queue quickly. If I look at your pre-minority net worth - equity, we -- despite the very strong profitability, the absolute number seems to be flattish or slight dip on the net worth side. If you can elaborate what went into it, which resulted into flattish net worth for the year? That will be the last and I'll jump back in queue.

Balakrishnan Kaushik : I'll take that call, Bala here. I'll take that question. So basically, since this year, we have entities where we are not 100% shareholders and the number of entities where we are not 100% has increased. This is basically the impact of the first -time recognition of put option liability. So typically, the -- that's the main reason why you're seeing the net worth flattish. The profit moves into my net worth, but the impact of the put option liability is bringing it down to make it flattish. This is required under Ind AS. So this is more an accounting thing rather than a pure movement of net worth.

Moderator: We take the next question from the line of Akshat Mehta from Seven River Holdings.

Akshat Mehta : First question was if you can help us break up the 20% revenue growth and 5% margins, what will be the key drivers, how you kind of achieve that , can help us with that? And secondly, on the same note, 23% revenue growth seems to be a bit low given that INR1,000 crores of revenue

is going to come from the Medtech acquisition that we've done on the full year. So how should we kind of look at that?

Prabhat Agrawal : So 23% revenue guidance basically based on two, three things. One is, of course, the calendarization impact of the acquisitions done during the last year, right? And the second is the organic growth, right? While calculating the organic growth, we have also taken down some business on a net revenue margin basis also. There are certain businesses that we have added where we are only recognizing the net revenue, okay?

So that has an impact on overall revenue growth for next year. And also, there are certain low-margin business that we are giving up, and we are releasing the working capital to invest in more profitable or more higher return on investment generating assets. So we have factored all this in while giving the revenue growth guidance of 23%.

Akshat Mehta : And sir, on the margin side?

Prabhat Agrawal : Margin side also. We have given 5% EBITDA margins for next year. That factors in the contribution from MedTech that factors in the operating leverage that factors in certain Entero Healthcare

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businesses where we are below margin businesses that we are giving up. So this is the net margin guidance for next year after considering all these impacts.

Akshat Mehta : Okay. My next question is on the working capital cycle. So you've seen some dip in the working capital cycle. But again, on the face of it, it seems like that majorly being driven by the payable cycle actually going up rather than inventory or the payables coming out. I mean how should we look at this in FY '27 and how sustainable is this number at the end of FY '27?

Prabhat Agrawal : So the payables increase is mainly contributed by higher MedTech contribution. MedTech, the payment cycle is not like 7 and 21 days as in pharma. There the credit provided by all these companies are much higher as compared to, I would say, pharma side, right? So that's the reason why you are seeing a higher payable days, right? Going forward for next year, the guidance that I've given is that whatever EBITDA we generate, at least 50% will get converted to cash flow or operating cash flow. So that includes both the margin impact and also working capital rational.

Akshat Mehta : My exact question was that will we see kind of a working capital drawdown because we haven't yet seen the full year impact of the acquisition full year revenue impact of acquisitions that we've done. And our plan is not to have too many acquisitions in FY '27. So will that have an impact on the overall working capital cycle in FY '27?

Prabhat Agrawal : So if you look at my -- this year quarter revenue itself is more than INR1,900 crores. And if you annualize for next year, the annualized number itself is close to INR8,000 crores, right? So I've already built in most of the working capital in this quarter itself. So new -- unless our growth rates are much higher than 23% that we are guiding for, right? -- your incremental working capital is not going to be huge because a lot of the working capital is already in place at end of this year balance sheet.

Akshat Mehta : And last question, sir, what can we expect the tax rate to be in FY '27?

Balakrishnan Kaushik : So we expect it to be in the range of about 22% - 23% for FY '27.

Moderator: We will take the next question from the line of Sudarshan Padmanabhan from ASK NDPMS.

Sudarshan Padmanabhan : Sir, my question is.

Moderator: Sudarshan I would request you to please use your handset mode and speak.

Sudarshan Padmanabhan : Am I audible now? So my question is on your strategy, especially given that we are going to generate good operating cash flows going forward. So we have seen a state of acquisitions in the last 3 to 4 or 5 years. I mean, we are at a certain scale at this point of time. Going forward, one, if you can give some color on the magnitude of cash flows.

Especially magnitude of acquisitions, especially given that our minority has inched up to 25% of the PBT or PAT pre-minority. The second is with respect to the quality of acquisitions because we have seen that MedTech is something that we are focused on. Incrementally, what are we going to focus differently as compared to what we used to focus in the last 4 - 5 years?

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Prabhat Agrawal : Yes. So if you look at my next year guidance, I've given a guidance without including any new acquisitions, right? So we have done a lot of M&A in the last 1 or 2 years. So for next 6 to 8 months, we are only going to focus on delivering organic growth because there are a lot of opportunities that is available to us given that huge platform that we have built. And now our platform is including not only pharma but also MedTech space.

In MedTech space, we are tying up with a lot many new companies, whether it's in Imaging

segment, whether it's in Neuropsychiatry, whether it's Orthopedics, Cardiology, multiple new seg

ments, we are working with a lot of global companies where we can provide them a distribution platform in India.

So our job as a management is cut out for next year is to focus on a lot of organic opportunities that can be built over this platform. And that's the reason I have not included in the guidance any new acquisitions as of now. But as we say, we are not walking away from looking at any new acquisition opportunity. If something interesting comes up, we would definitely look at it. If it creates value for the shareholders, we would definitely look at it. And if that happens, accordingly, we will revise our guidance upwards.

Sudarshan Padmanabhan : Sure. And sir, with respect to the GLP -1, I mean, we have seen that this is actually encouraging to see the scale up happening in the ones that have gone generic. Can you give some color with respect to the positive impact it is having on our business? And if I take, say, 2, 3 years down the line, I mean, the positive thing is we have made entry into MedTech. Where do we see MedTech as a proportion of our business in terms of both sales and EBITDA?

Prabhat Agrawal : So on revenue side, the MedTech contribution now given all the acquisition that we have done and now everything we have consolidated in our revenues, it will be more than 15%.

Sudarshan Padmanabhan : And this figure, what would you expect or what would you aspire it to be, sir, in, say, 2 - 3 years?

Prabhat Agrawal : It can go up to 20%. See, pharma will still remain a core part of our business, right, because that's where we have massive scale as well. MedTech is a synergistic opportunity. And if you look at the industry size of MedTech and compare it with the industry size of pharma, this is what the ratio is approximately.

Sudarshan Padmanabhan : Sure. And I would assume that the impact on EBITDA would be higher, even that MedTech typically has about 50% to higher 100%, the kind of margins that we make on the pharma side ?

Prabhat Agrawal : Yes. And the reason why MedTech, the margins are higher than pharma is because we play a more commercial role in those contracts, where we are also responsible for generating demand and sales for the companies. And that's why we end up enjoying better margins.

Sudarshan Padmanabhan : Sir, one final thing before I join back is your view on the GLP -1. How do you see this positively impacting ?

Moderator: Sorry to Sudarshan. I would request you to please rejoin the queue again for more questions.

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Prabhat Agrawal : I think I will answer the GLP -1 because I think that's a question from many analyst on this call or many participants on this call, right? So GLP -1, as we said, at the end of the day, see, we are doing approximately INR10 crores to INR12 crores of GLP sales per month, okay, which is approximately, I would say, let's say, 5% of all GLP value -- GLP overall industry value.

Moderator: We will take the next question from the line of Vansh Solanki from RSPN Ventures.

Vansh Solanki : My question is on the finance cost in last call, Mr. Prabhat mentioned that the finance cost will continue to rise and also in this quarter also, it has increased very well. And as you are not going to acquire new acquisitions, I said I think this finance cost will come down sequentially in FY '27. Is my understanding correct?

Balakrishnan Kaushik : This is Bala here Vansh. So we expect finance cost to remain relatively stable and then come down in future. So because in the earlier years, we had the IPO funds, which were also parked pending investment into acquisitions, which has happened in the last year. So that's the reason you see the higher interest cost in this year. So like you rightly mentioned, this will sequentially come down over the next couple of years. It's expected to remain stable in the near term, maybe in the next couple of quarter

s, and then you will see some reduction coming through.

Vansh Solanki : Okay. And the second question is on the depreciation. Depreciation has increased sequentially approx. 50%. So is it due to the new acquisitions we have done in the last 2 quarters or what?

Balakrishnan Kaushik : You are right. The depreciation has increased because in the MedTech business is slightly different from your typical pharma distribution business where there will be assets that will be placed at customer levels as well. And that's the reason why you're seeing a higher depreciation.

Vansh Solanki : Okay. So this depreciation is continue to be in this level and maybe increase if we acquire new MedTech acquisition in next year?

Prabhat Agrawal : Not all MedTech business has this depreciation component. Specifically, I would say, in the IVD segment of MedTech, where we are providing machines on reagent rental model, where we are putting our machines in the lab against a 5 -year revenue contract with them, that -- those machines we are depreciating, right . So on other parts of business like cardiology and others, we don't have much of a depreciating machine.

Moderator: We will take the next question from the line of Aditya Chheda from InCred Asset Management.

Aditya Chheda : So my question is on the working capital, which is as a percentage of sales, it has been in the

range of 20% to 22%. So what is your outlook on the best operating efficiency that you can have in this area? So some math that I did is that for the incremental sales guidance that we have, we will need an additional INR300 crores of working capital versus an EBITDA of INR400 crores, that would leave us with INR100 crores of OCF, which implies a 25% OCF to EBITDA conversion rate. So whether we expect this working capital as a percent of sales to come down directionally?

Prabhat Agrawal : No. So what we are comparing is -- what you are comparing is year -to-year, but compare with quarter 4 to next year numbers, right? My quarter 4 already has a working capital investment of

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almost what, if you annualize INR1,900 crores of revenue -- 7,600 crores revenue worth of working capital is already there in the balance sheet, right? So we are looking at what the revenue guidance, this is only INR500 crores plus over quarter 4, which is hardly, INR50 crores, INR60 crores.

Aditya Chheda : Got it. So on a reported basis for next year, this ratio will come down, which is working capital as a percentage of sales?

Prabhat Agrawal : Yes. I mean incremental working capital as a percentage of incremental revenue.

Aditya Chheda : Right. My next question was about the acquisitions that we do. What are the typical valuations that we pay for the valuations that we do?

Prabhat Agrawal : The same that we have always said before, which is 5 to 7x of enterprise value to EBITDA.

Moderator: We will take the next question from the line of Sidharth Negandhi from CWC.

Sidharth Negandhi : Just wanted to understand, you mentioned about certain global customers whom you are distributing products for in India. Given the current Middle East crisis, are you seeing a challenge either on pricing or on availability for this? And how do you see that playing out, especially, say, in the first half of FY '27? That was question one. Question two, just a clarification, when you mentioned the minority interest proportion going down from 38% to 25% I'm assuming that is not for the profits, right? That's for your net worth. Just a clarification?

Prabhat Agrawal : So I try to understand your second question better. But the first question that you talked about is the global challenges from the Middle East conflict. No, we are not importing a lot of stuff, okay? So even if we are working with a lot of partners, we are working with their local subsidiaries in India.

So they are importin

g the stuff, and we are doing the distribution and commercial role for them, right . There are -- but our direct imports from abroad is very small portion of our sales, right . So it's not going to impact directly anything significant to us in our business plan that we have prepared -- but if the whole industry faces a challenge like the pharma industry faces challenge or MedTech industry faces challenge in terms of their own typical critical imports, then we might -- we will be impacted by that as well.

Sidharth Negandhi : Sure. I appreciate that, Prabhat. What I meant to ask is while you may not be directly importing, if there is an import challenge that, say, their local subsidiary is facing, are you seeing any impact on your business from the local subsidiary not being able to provide products or anything of that sort or do you believe that largely you are insulated from the crisis currently?

Prabhat Agrawal : Largely, we are insulated. To be honest, like if you look at the last quarter, the conflict started in end of February, our numbers for the quarter was good. Next year also, we are forecasting good numbers. So I don't see any significant impact coming from -- we are largely insulated on this front because a lot of our business is domestic. our import component is very, very small in our overall business. So we are primarily a domestic player confined to issues.

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Sidharth Negandhi : Sure. I hear you. I'll take the minority one offline later. Just a second question on the breakdown of your 23% growth. If you could give us some color on MedTech versus pharma? And if you could give us some color on organic versus calendarization in this will have obviously the three elements ?

Prabhat Agrawal : Calendarization impact is around 11%, and the rest is organic in our 22% guidance. And the growth on pharma and MedTech both are equally contributing to the organic growth for next year.

Moderator: We will take the next question from the line of Shubham Aggarwal from Burman Capital.

Shubham Aggarwal : Sir, my first question is on organic growth. And I asked this question last quarter as well. So if I were to take a 12 -quarter average of your IPM outperformance up to Q2 FY 26, I come to a number of 1.9. Q3 dipped suddenly to 1.4%. And when I asked this question, the response was

that IPM numbers sometimes are inflated and it's revised onwards.

But what we see is IPM continues to be in that 10% - 12% range. And 1.4x is again the outperformance in Q4 as well. Now if I were to think about IPM next year, 10%, let's put it at 10%. You just mentioned to the previous participant that out of 23% growth, 11% is from calendarization.

So if I just deduct that, 12% is basically the remaining growth. If I just add in some benefit because you are reducing some business voluntarily, it will add to that somehow. But maybe like 14% - 15% is the like-for-like, if I just add back the businesses are shutting down. So again, I'm coming to the 1.4, 1.5x number. So structurally, is the outperformance number reset for us because of the higher scale and because MedTech does not really grow in line with IPM. So we should look at it as more like a lesser rate? Or how should we look at it?

Prabhat Agrawal : See, you are right. The last two quarters, we have seen that IPM growth rate used to be 7% - 8% has gone to 12%, okay? And that's why our multiplier has gone down from 1.7%, 1.8% to 1.4%.

If you look at our organic growth rate for last two quarters also has been in the range of 16%, 17% as it was in earlier years as well, right? -- earlier quarters as well.

But the denominator has increased significantly from 7% to 9%, it has gone to now 12% for last two quarters. And that's why you see this 1.4x against 1.7, 1.8x that we used to have earlier, okay. Now next year, your question is very valid that even if,

let's say, industry grows at 12%,

why are we forecasting only 12% organic growth, okay.

And the answer to that is the one that I told before that there are certain businesses that we are giving up because they are not generating very high ROIC for us. And like-for-like in certain businesses that we are taking up on a net margin basis, okay? So like-to-like growth is actually around 15%, which is again coming back to 1.5x of industry growth rate, but revenue recognized is lower in our financials, because of the accounting treatment.

Shubham Aggarwal : Great. My second question is again on minority interest, but I'll ask it in a different way. So sir, the first time you asked that question in this call, you responded that there was abnormal profits

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in one subsidiary where it's probably close to 50% - 60%, I'm not sure, but the minority interest hence from that one subsidiary increased.

My counterpoint or response to that to you is, wouldn't that also have hence driven your -- a lot of your EBITDA margin expansion quarter-on-quarter, right? So let's say, there is a subsidiary where you have, let's say, 55% or 60% interest. And let's say, that's done really well, right? And in terms of margins, that has been consolidated fully in your numbers.

So EBITDA has taken the benefit, EBIT, there is a benefit, PBT, there is a benefit, PAT, there is a benefit. But then it gets leaked out to non-controlling interest, right? So when you say -- so now number one, is that the case? Is then the right number for EBITDA margin, 4.5% not the case if this was an abnormal case?

And then the second part to that is, if we should expect a reduction in the run rate of minority interest in the incremental quarters, wouldn't that hence, be a headwind to your margins because it helped your margins in Q4? I am just trying to understand that.

Prabhat Agrawal : No. So the next year... Quarter 4 EBITDA margins was 4.5%, right? While for next year, the guidance I'm giving is 5%, right. So definitely, there is a much higher margin in next year that we are projecting vis-a-vis this year, right. So on an overall margin basis, I'm revising my guidance upwards, not reducing, right.

Now the reason I told you was that the minority interest was abnormally higher in one subsidiary because there were certain sales that were preponed by the customer. So the customer -- we were planning for that sales in quarter 4 -- quarter 1 of this year, but the customer requested for those equipments in quarter 4 itself because the government project was executed before time. So that's the reason.

Otherwise, there is no abnormal as such. And the margin guidance that I've given is not only MedTech, there are a lot of other factors on margin improvement. There are certain businesses which we are giving up because of low margin. That also adds to the margin uplift. There are a lot of organic businesses that we are building in the company on MedTech space.

So that's all our higher-margin contribution businesses, right? There are operating leverage coming, again, 23% growth we are talking about. So operating leverage is also contributing. So there are many factors which is going to impact and keep our margin another 50 basis points higher than what it was in quarter 4.

Moderator: We will take the next question from the line of Divya Agrawal from Ficom Family Office.

Divya Agrawal: Yes. So firstly, I just wanted to know, so currently, I believe we have around 4 MedTech companies. So is the target for INR1,000 crores revenue achievable from these companies? Or will we need some additions in this segment?

Prabhat Agrawal : INR1,000 crores is just based on what we have today, what we are delivering today. We don't need more companies to take to INR1000, 1,000 crores base already achieved. Next year with organic growth, it will be about IN

R1,000 crores without adding anything more.
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Divya Ag rawal: Our earlier growth was 30%. So now we are coming down to 23%?

Prabhat Agrawal : Because last year, we did a lot of acquisitions also. So in 23% next year, we are not including any new acquisition, right? So last year, I think the new acquisitions contributed almost 16% to our growth, right? Next year, that component is basically 0.

Divya Ag rawal: So are there limited opportunities available for this MedTech segment acquisition?

Prabhat Agrawal : No, it's not the question of opportunities. Opportunities are a lot. Now we have already proven that we can buy MedTech acquisitions at reasonable price and execute it. So there is no shortage of pipeline, but we have to chew what we have already acquired, right? So we need to build on this.

We need to spend more time on organically building this business, optimizing this business, going after a lot of opportunities that present itself based on the platform that we have. So today, a lot many global companies are looking at us or tying up with us because they know that this is a business expertise that we have built over the last 2 years. So we would rather focus our energies on that rather than chasing new acquisition targets.

Divya Ag rawal: Right. And lastly, sir, just wanted to know your CFO.

Moderator: Sorry to interrupt in between Divya I would request you to please rejoin the queue again.

Divya Agrawal: Sure.

Moderator: Thank you. We take the next question from the line of Vineet from Toro Wealth Managers. Please go ahead.

Vineet: Hi, sir. Good afternoon and congratulations for great results.

Moderator: Sorry to interrupt in between Vineet you are not audible.

Vineet: Am I audible now?

Moderator: No you are not audible. Please use your handset and speak. Vineet as there is no response. I will request to please rejoin the queue again.

Vineet: Am I audible now?

Moderator: No you are not audible, sir. I would request you to please rejoin the queue again. Thank you. We will take the next question from the line of Kumar Saurabh from Scientific Investment. Please go ahead.

Kumar Saurabh : My question is around the acquisitions we have done. I'm not looking at exact number, but in what percentage of these acquisitions, the key management persons are still there with us?

Prabhat Agrawal : 100% of the acquisition. The recent acquisition we are talking about?

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Kumar Saurabh : No, I mean in last 2, 3 years because my understanding is this is a business where the key management person is very important for the sales and for the collection. So with that intent, my question is there.

Prabhat Agrawal : So generally, whenever we are doing an acquisition, even if we are doing a 100% acquisition, the promoters or the selling shareholders stay with us for at least 1 year, right . That's the contract that we negotiate with them, right . So if you look at our earlier acquisitions, the ones that we did in FY '19, '20, '21, some of the promoters have left because the lock -in period is over. But the recent acquisitions, everyone is with us because they want to be with us.

And anyway, we have not bought 100% of their stake in the acquisition that we have done post IPO, right? So they all guys are with us. And they believe in this Entero vision. So we are working together and jointly trying to grow business. And since they hold a part of the stake also, there is skin in the game for them. There is an upside available to them.

Kumar Saurabh : Great. Sir, one related question. So once some of these promoters leave, how do we take care of that relationship building, which they had with the organization? And second, in the acquired companies, what has been the growth rate of the acquired companies pre-acquisiti

on and post

acquisition, if you have that data?

Prabhat Agrawal : So the first question, how do we take care of this? First of all, even if somebody leaves. Only the selling shareholder leaves the management team stays with us, right? So the salespeople, the operations people, the customer interface people, they are all still in the company. It's only one

person or two person that leaves the company, right?

So it's not that -- and by the time we have already had paused the relationship ourself, we have people in our company who are closely working with these companies at a pan -India level. So we maintain those relationships and carry those relationships even if they exit after the lock -in periods are over.

Kumar Saurabh : Great. And the second question on the pre and post -acquisition growth rates ?

Prabhat Agrawal : I will share with you separately. Maybe the finance team can share with you data because offline if I tell you something, it may not be very accurate.

Kumar Saurabh : Sure. And the last question is given we have.

Moderator: Sorry to interrupt in between. Saurabh I will request you to please rejoin the queue for more questions.

Kumar Saurabh: Sure.

Moderator: Thank you. We will take the next question from the line of Utkarsh Somaiya from Eiko Quantum Solutions Private Limited.

Utkarsh Somaiya : This is Utkarsh from Eiko Quantum Solutions. I actually wanted to understand that if you don't do any acquisitions for the foreseeable future, your FY '28 growth, assuming 1.4x

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outperformance versus IPM should be 14%, 15% given that IPM would be 10%. Is that a fair assumption?

Prabhat Agrawal : Every FY '28 guidance I'm not giving. There are a lot of business that we are trying to build in this year, which will determine the growth rate of FY '28. There are a lot of organic opportunities, massive organic opportunities that are available with us, right? So we are working on that. So maybe in the second half of the year, I can give you more visibility for FY '28.

Utkarsh Somaiya : Okay. And this interest cost and depreciation that you have in this quarter has gone up. Is that sustainable? Is that a sustainable number for the next year?

Prabhat Agrawal : Interest cost will go up because we have acquired many entities for which we are paying up.

And we have already finished up the IPO funds, right? So that is leading to increase in debt levels or liquidation of the investments that we had, right . So the interest costs will go up for some time till the time we pay all those debt levels.

Utkarsh Somaiya : What is a number we can work with for the full year FY '27? Interest cost?

Prabhat Agrawal : Why don't we -- our finance team will give you a range.

Moderator: Thank you. We will take the next question from the line Anupam Aggarwal from Lucky Investments.

Anupam Aggarwal : Congratulations on good numbers, sir. Just one question. A lot of questions have been asked on EBITDA margin. My question will solely be focusing on gross margins. We've improved about 90 basis points for the quarter Y -o-Y and 80 basis points for the whole year. How are you able to kind of source better from the manufacturers? And what kind of better margins you have been able to take from the entire channel? If you can maybe give some idea and color there, please?

Prabhat Agrawal : So why we are able to get a better margin just because of our scale. Once you buy so much in those quantities, of course, you can enjoy economics of purchasing, right . So that's number one. Secondly, in many places, as we said, we are playing a commercial role. Commercial role means we are also responsible for sales and demand generation.

In that scenario, the gross margin that the companies give us is much higher than the gross margin that they would give for a pure fulfillment role. So the impact of -- the reason for increase

se

in gross margins is coming from basically these 2 reasons. One is the scale -led purchase economies and secondly is more commercial role being played.

When I say commercial role, when I say for many companies, we are exclusive distributor for the entire India market, right . So we are doing end -to-end work for them from developing the customer , service, installation of equipment, creating the distributor network in the country, launching new products. So a full agency model as we say in other countries where we have full commercial role we are playing. Once you play a full commercial role, you would certainly expect much better gross margins than when you would play just a demand fulfiller role.

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Anupam Aggarwal : Understood. Sir, how much would be the contribution of these third -party manufactured products, sir?

Prabhat Agrawal : So I would say in more than 10% to 15% of our sales is coming from where we are playing a full commercial role.

Anupam Aggarwal : And have you seen that contribution increasing, sir, over the last 3 to 4 years?

Prabhat Agrawal : Yes. And that contribution should increase going forward as well because we are targeting such kind of opportunities.

Anupam Aggarwal : Understood. How much incremental margins you would be getting, sir, in these kind of model compared to your generic distribution model?

Prabhat Agrawal : It depends on what is the scale potential of these companies. It's no uniform number I can give you, but it could be at least double of normal distribution margin.

Anupam Aggarwal : Understood. Great, sir. Just last question.

Moderator: Sorry to interrupt in between Anupam I will request you to please rejoin the queue again.

Anupam Aggarwal: Sure. Thank you.

Moderator: Thank you. We will take the next question from the line of Karan Gupta from ACMIL.

Karan Gupta : So 2 questions, one on margin, one on working capital side. The gross margin part that you also mentioned in your PPT is in the range of 8% to 15%. It is the gross margin, right?

Prabhat Agrawal : Which slide?

Karan Gupta : Slide number 28. Just for confirmation, the 8% to 15% on the distributor side, it is basically the gross margin that you are saying?

Prabhat Agrawal : Yes.

Karan Gupta : Okay. Okay. So the band, we are at the lower margin side, 9% something. What it will lead to increase the margin maybe in the 11% to 12% kind of range -- and what is our margin in core pharma and MedTech right now? That's the one question.

Prabhat Agrawal : See, large part of margin expansion, the EBITDA margin expansion that I'm talking about for next year also is going to come from gross margin expansion. This year also, if you look at large part of our EBITDA margin expansion has come from gross margin expansion itself.

Karan Gupta : Okay. Okay. So what is the gross margin right now, core pharma and MedTech if you just gross numbers ...

Prabhat Agrawal : What the total gross margin for this quarter was 10.9%.

Moderator: We will take the next question from the line of Bharat C. Shah from BCS Capital Ideas Limited.

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Bharat Shah : I just wanted to understand what is the desired return on capital employed that you are looking forward to and when? And in sync with that, what is the likely sustainable growth because superior ROC will have impact on your ability to grow your growth also will have impact on your ROCE through the operating leverage. And therefore, can you first talk about what in your opinion is the desirable ROCE? And when do you see that being achieved without diluting debt?

Prabhat Agrawal : So the ROCE for this quarter was 1.4%, right? And with the margin expansion to next year by another 0.5% from the current quarter, definitely the ROCE for next year will exceed 20%...

Bharat Shah : My question w

as, is that the desirable ROCE that you look forward to in your opinion, that is more or less in the character business that you can achieve?

Prabhat Agrawal : No, if you're asking are there opportunities to increase the ROCE beyond 20%, yes, it is available for sure, right? But it may not happen in maybe next year or next quarter.

Bharat Shah : What in your opinion is the real competitive advantage you bring on the table for you to earn 22%, 24% ROCE. I mean at the end of the day, there is a demand for the product. And pure distribution, even in consumer businesses, we have seen over a period of time, consumer businesses which were riding on high ROCE through impregnable distribution strength that advantage is eroded. So what really is the core moat and the sustainable advantage which will protect and enhance the return on capital employed?

Prabhat Agrawal : So you have come to a very strategic point what is the moat available. I tell you the kind of moat that we have, it's very difficult for anyone to build. We have 100,000 customers in India, right? -- and we have more than 3,000 companies that -- for which we are the distributors in the country, right? Nobody has that kind of a network.

So many customers are there with us because there are so many companies' products we have available. And so many companies are with us because we have so much of customers, right?

So it's a 2-way moat . It's a 2-way closed-loop system. More companies come to you because we have so much of customers and more customers come to you because we have so many companies, right?

So it's very difficult for anyone to build this 2-way moat . And we have taken like 7, 8 years. We have done so many 40, 50 M&As to build this kind of a mode. And that gives us a sustainable long-term advantage because so many companies, we do a large part of their business in India. There's not much of options available outside us. The option available is going to smaller distributors who can only do a limited role, right? So the ROCE will keep on increasing as long as we keep on building this 2-way moat . And I believe that if somebody can forecast 4 - 5 years down the line, that will create a very unique barrier to entry for this business.

Bharat Shah : And if the retail becomes more and more consolidated and institutionalized, much like you are institutionalizing the distribution, will the equation in the terms of the trade change between the 2?

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Prabhat Agrawal : Yes. So the reason why we have this unique advantage is because the supplier base is also very fragmented. And the customer base is also very fragmented. And you asked specifically about the retail being unorganized in India. Retail, do you see a lot of consolidation happening in retail space?

I don't see that because India has more than 1 million pharmacy stores. The number of stores that belong to chain stores is hardly 15,000. So still 97%, 98% of store network in India is basically mom-and-pop. And even that 1%, 2% organized retail is happening after 30, 40 years. The biggest store network in India is MedPlus, which is 5,500 and second biggest, let's say, -- sorry, first is Apollo, second is MedPlus. Together, they add up to like 10,000, 12,000 stores in the country, and they are adding like 500 - 600 stores every year. So you imagine -- and then after MedPlus and Apollo, there is no one having even 500 stores in India, right? So the consolidation on retail is not going to be such that the organized chain will start contributing a large part of India's pharmacy business, pharmacy retailing business.

Bharat Shah : Sure. And just one last bit. On the other income, I just wanted clarity from Bala. It seems to swing year-by-year being high in fiscal '25 and moderating in fiscal '26. So can you highlight the source of the other income, which is swing? There was one exc

ptional income or expense that

I'm ignoring but how is that other income behavior?

Balakrishnan Kaushik : So basically, FY '25, we had a large other income mainly because we had funds from the IPO that were there during -- that were invested during FY '25 in deposits, mutual funds, etcetera. We've utilized those funds for acquisitions and for working capital as the purpose for which the IPO was done. So since those funds have now been invested into the business, you don't see it in other income in FY '26.

Bharat Shah : Got it. So last year is more representative now?

Balakrishnan Kaushik : Yes. FY '26 is more representative. You're right.

Moderator: Ladies and gentlemen, due to time constraint, we will take that as the last question for today. I would now like to hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Prabhat Agrawal : Thank you, everyone, for joining this call. I hope I was able to address some of your queries during this call. But if any queries remain unanswered, please feel free to reach out to our Investor Relations team. Thank you once again for your support and confidence in the company. Thank you so much.

Moderator: Thank you, members of the management. On behalf of Dam Capital Advisors, we conclude this conference. Thank you all for joining with us today, and you may now disconnect your lines